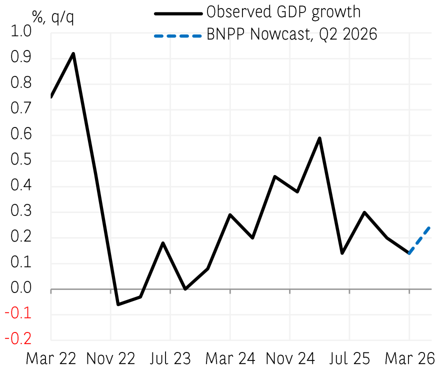
The scenario, forecasts and nowcasts of the Economic Research – 18 May 2026

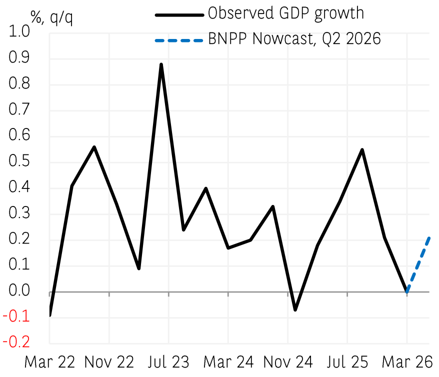
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



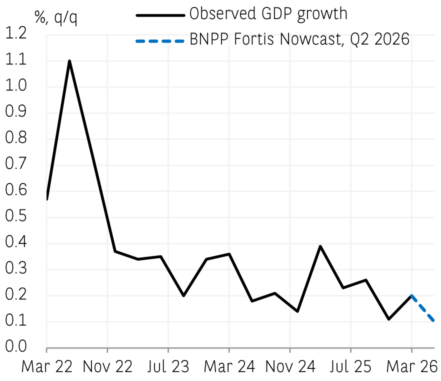
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Eurozone growth indicates a strengthening of activity in Q2 (+0.3% q/q). This is driven primarily by stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI during Q2 2026, which is supported by inventory effects.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a low figure (0.1% q/q), driven by the propagation of energy price shock throughout the economy, with 40% of construction and manufacturing firms announcing selling price hikes in the next 3 months.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2.8	2.1	2.4	2.3	2.9	2.7	3.8	3.0
Japan	0.1	1.2	0.5	0.4	2.7	3.1	2.6	3.3
United Kingdom	1.1	1.4	0.7	1.2	2.5	3.4	3.6	3.3
Euro Area	0.9	1.5	1.0	1.3	2.4	2.1	3.0	3.3
Germany	-0.5	0.4	0.8	1.1	2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1	2.3	1.0	2.4	1.9
Italy	0.5	0.7	0.7	0.8	1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.4
India*	7.1	7.6	6.6	6.8	4.6	2.1	4.5	4.2
Brazil	3.4	2.3	2.0	1.6	4.4	5.0	4.7	4.5

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 18 May 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, % End of period		Spot 15/05	2026 Q2	2026 Q3	2026 Q4	2027 Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.60	4.40	4.50	4.55	4.55
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.13	3.15	3.20	3.35	3.10
	OAT 10y	3.74	3.77	4.00	4.17	3.60
	BTP 10y	3.94	3.85	3.95	4.10	3.60
	BONO 10y	3.60	3.57	3.64	3.79	3.42
UK	Base rate	3.75	4.00	4.25	4.25	3.50
	Gilts 10y	5.18	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.68	2.40	2.55	2.60	2.70

Exchange Rates End of period		Spot 15/05	2026 Q2	2026 Q3	2026 Q4	2027 Q4
USD	EUR / USD	1.16	1.19	1.20	1.21	1.25
	USD / JPY	159	159	159	160	160
	GBP / USD	1.33	1.35	1.35	1.35	1.36
EUR	EUR / GBP	0.87	0.88	0.89	0.90	0.92
	EUR / JPY	184	189	191	194	200

Brent Quarter Average		Spot 15/05	2026 Q2	2026 Q3	2026 Q4	2027 Q4
Brent	USD/bbl	106	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 18/05/2026

Contacts
Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.8% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is experiencing a slowdown in both demand and supply, reflecting a less dynamic economy than after the pandemic and the administration's tighter immigration policy. We expect the Fed Funds target range to remain steady at 3.5% - 3.75%, with a FOMC shifting to a 'two-sided outlook', signaling equal readiness to implement rate hikes or cuts if warranted.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow due to spillovers from the Middle East conflict. In Q1 2026, GDP growth disappointed as a result of one-off factors (France and Ireland) but remained resilient in Germany and Italy. In 2026, consumption, would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 1.0% in 2026 and 1.3% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to 0% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.4% in 2026, after 1% en 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow down in 2026, with growth limited to 0.7% after 1.4% in 2025; following a forecasted +0.4% q/q in Q1, the average quarterly pace would fall to around +0.1%. This slowdown would occur against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation would reach 3.6% y/y before easing only gradually to 3.3% y/y in 2027, remaining well above BoE's target. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.2% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.

THE IMPACT OF THE ENERGY CRISIS ON PUBLIC FINANCES IN EMERGING ASIA

Johanna Melka

Rising subsidies should moderately widen fiscal deficits

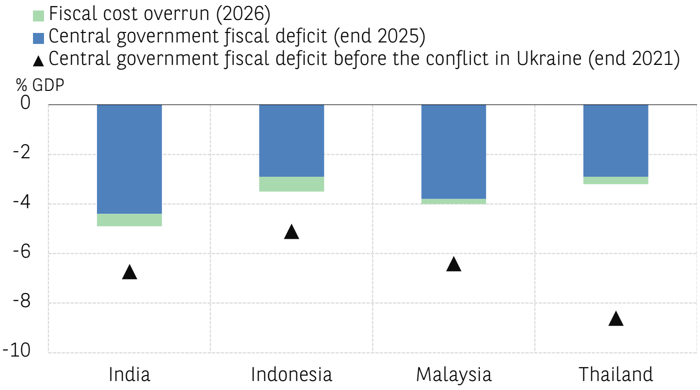


CHART 1 SOURCE: MOF, BNP PARIBAS

Indonesia: more vulnerable to rising US long-term yields

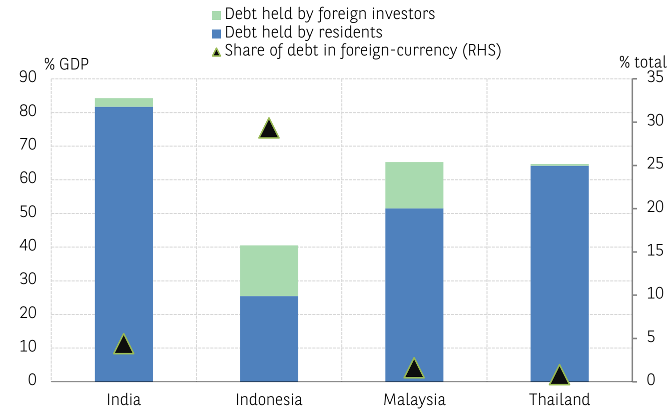


CHART 2 SOURCE: MOF, BNP PARIBAS

Emerging Asian countries are particularly vulnerable to the energy shock caused by the conflict in the Middle East. Beyond supply issues, rising prices pose a significant risk to these countries, where domestic demand is a major driver of economic growth. To limit the impact, some Asian countries (notably India, Indonesia, Malaysia and Thailand) have opted to partially subsidise energy and fertilisers. The additional cost to their public finances is expected to remain manageable provided that the average crude oil price does not exceed USD 100 per barrel over the year. However, this subsidy policy poses risks to their public finances, particularly if external financing conditions tighten. Indonesia is the country most exposed to a rise in US long-term interest rates.

Increased subsidies to contain the cost borne by households

In response to the sharp rise in international energy prices, India and Indonesia (whose growth is mainly driven by domestic demand) have kept pump prices fixed since the start of the conflict in the Middle East. Malaysia has chosen to exclusively keep stable the price of the fuel mainly used by households (RON 95). Meanwhile, Thailand, after leaving its prices unchanged in the early weeks of the conflict, has ultimately decided to target only the most vulnerable households and businesses by providing them with partial direct subsidies. India has also increased its fertiliser subsidies so as not to increase significantly production costs for farmers, at a time when a number of elections were taking place in states where the ruling party historically did not hold a majority.

Such a strategy will undermine the ongoing fiscal consolidation.

What would be the fiscal cost if the price of a barrel of Brent crude averaged USD 92 in 2026?

Asian countries are in a much more comfortable fiscal position than they were on the eve of the energy crisis triggered by the war in Ukraine in early 2022. At that time, they were just emerging from the pandemic and their fiscal deficits had reached unprecedented levels.

The impact on public finances of the increased subsidies introduced since the start of the conflict in the Middle East is expected to remain modest (see Chart 1) as long as the average crude oil price does not exceed USD 100 per barrel over the year. The cost is estimated at between 0.2% of GDP in Malaysia and 0.6% of GDP in Indonesia, assuming that currencies stabilise at current levels, as any further depreciation against the dollar would automatically increase the cost incurred. In India, the resulting cost from increased fertiliser subsidies and the loss of fiscal revenue caused by the reduced excise duties on petroleum products is estimated at 0.5% of GDP. India, like Indonesia, Malaysia and Thailand, has the capacity to absorb this new shock to its public finances. Nevertheless, the increase in subsidies will delay their fiscal consolidation. Indonesia's fiscal deficit could exceed the 3% of GDP threshold set by parliament in 2026 (unless the government reduces significantly other kind of expenditures), which would cause significant concern among foreign investors.

Which countries would be most vulnerable to a rise in US long-term interest rates?

Rising bond yields are another source of risk for these countries. So far, central banks have kept their key policy rates unchanged and the rise in long-term rates has remained contained. However, a significant rise in US bond yields could change the situation. The most exposed country would be Indonesia, whose domestic market is too small to cover the government's financing needs and offset any tightening of financing conditions on international markets.

Since the start of the conflict in the Middle East, ten-year bond yields in emerging Asia have risen less than during the war in Ukraine. The increase ranged from 0 bps in Malaysia to 49 bps in Thailand (compared with an average of +65 bps in 2022). However, this trend could intensify should there be a rise in US long-term rates, which would weigh on these economies via three channels: i) capital outflows ii) downward pressure on currencies and iii) an increase in debt servicing costs. The most exposed countries would be those with the highest interest burdens (India), with short maturities, debt held more widely by foreign residents (Indonesia and Malaysia) and denominated more widely in foreign currencies (Indonesia).

The country whose government is least exposed to these risks is Thailand, as its debt (64.2% of GDP) is almost exclusively denominated in domestic currency and held by residents, whilst its interest burden is low (6% of revenue).

By contrast, although modest (40.5% of GDP), the structure of the Indonesian government's debt is viewed as the most fragile among the countries studied. Over 37% is held by foreign investors and more than 29% is denominated in foreign currency (see Chart 2). Furthermore, interest payments on its debt are already high (17.1% of its fiscal revenue in 2025), and higher than the level recorded in other countries, with the exception of India.

In Malaysia, although a significant proportion of government debt (65.3% of GDP) is also held by foreign investors (21.1% of the total), this debt has long maturities, which reduces its vulnerability to volatility in international financial markets. Furthermore, the domestic capital markets and the local investor base are sufficiently developed to finance the government's needs.

Finally, although the Indian government's debt is the highest (84.3% of GDP), its structure is risk-free, as it is almost exclusively denominated in local currency and held by residents. On the other hand, the interest burden on the debt is already very high (37.1% of its budget revenue), which severely constrains its investment spending. A significant rise in (domestic) interest rates represents the main risk.

Johanna Melka

johanna.melka@bnpparibas.com

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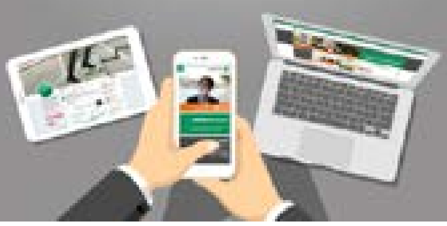

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CHINA'S 15TH FIVE-YEAR PLAN: PRIORITISING POWER OVER ADDRESSING IMBALANCES

The 15th Five-Year Plan, which outlines the roadmap for the Chinese economy from 2026 to 2030, does not signify a major shift in direction but rather continues on the path of the previous plan. It confirms, or rather reinforces, China's development strategy based on asserting its export, industrial and technological power. Rather than focusing on rebalancing the growth model and boosting domestic consumption, Beijing is prioritising industry and innovation, seeking to increase its dominance in critical sectors and guarantee its 'national security'. This approach should serve as a warning to the rest of the world: while it may alleviate inflationary pressures and ease the cost of the low-carbon transition, it also fuels significant competitive pressure and trade tensions, and introduces a risk of new dependencies on China in high-tech sectors.

GROWTH MODEL: NO REBALANCING

The priority given to the export-oriented manufacturing sector and industrial policy is clearly articulated in the 15th Five-Year Plan, the final version of which was published in March. The document explicitly calls for "*continuing the modernisation of the industrial system*" and "*developing new quality productive forces*".

This strategy will perpetuate the imbalances between the internal and external drivers of Chinese growth. Since emerging from the 2020-2022 Covid crisis, economic growth has relied primarily on exports, while domestic demand has struggled to recover. In 2025, real GDP growth reached 5%. Net exports accounted for one-third of this growth rate, a historically high level, whereas the contribution from household consumption remained below pre-Covid levels (only 40% of real GDP growth), and investment growth hit a low point (under 2% in real terms).

The 15th Five-Year Plan does not directly address this Imbalance, which is nevertheless one of the main vulnerabilities of the Chinese economy. Admittedly, boosting private consumption is explicitly mentioned as an objective for the next five years. The authorities are considering measures to foster employment, increase incomes and improve the social protection system. However, this objective remains secondary, with no binding figures or timetable, in contrast to the clear and ambitious targets set for innovation and industry.

For example, strengthening the healthcare and social protection systems is envisaged through a series of small measures, some of which have already been in place for several months (allowances for parents of young children, increases in retirement pensions, extension of the long-term care insurance scheme, etc.). However, these measures and the other proposed actions are modest. They do little to address the main drag on consumption: low household confidence, fuelled by the housing crisis since 2021 and a labour market that has not returned to pre-Covid conditions (slower growth in disposable income, weaker job creation, and higher unemployment, particularly among young people).

Other strategies are suggested to gradually boost consumption. Urbanisation, for example, is no longer viewed as an end in itself as it was in previous plans, but now forms part of a broader strategy aimed, among other objectives, at improving access to public services. Building a unified national market, notably to reduce regional distortions, is also mentioned. In fact, the 15th Five-Year Plan calls for the expansion of the supply of goods and services to "*unlock consumption potential*", and for promoting the consumption of green products, goods with higher added value, and "*quality*" services (in healthcare, tourism, sport, etc.). However, the main problem of China's imbalanced growth model lies with demand, not supply.

The authorities appear to operate under the implicit assumption that private consumption will inevitably "follow" the structural changes happening in the economy, society, the market and available supply of goods and services. The plan is predicated on a gradual increase in domestic consumption over the long term, rather than relying on a genuine short-term stimulus.

INNOVATION, AI AND CUTTING-EDGE TECHNOLOGIES: A STRATEGIC IMPERATIVE

The 15th Five-Year Plan is primarily centred on innovation, which serves as the driving force for modernisation and is a strategic imperative on several levels.

Firstly, innovation, science and technology, along with artificial intelligence (AI), are levers of growth that are essential for increasing **productivity gains** and mitigating the effects of demographic decline. Beijing aims to double real per capita GDP between 2020 and 2035, which requires an average annual economic growth rate of 4.2% over the next decade (this rate slowed from +7.7% per year during 2010-2019 to +4.9% during 2020-2025). This is an ambitious target, which can only be achieved through significant productivity gains. In particular, the development of AI across the entire value chain – from critical materials to chips, from the most powerful models to their applications across all sectors of the economy and the population – is at the heart of China's strategy to boost productivity.

Furthermore, technological advances are a **direct arena of competition with the United States.** The race for semiconductors (a "*pillar sector*"), AI and quantum computing is fuelling the rivalry between the two powers. Against this backdrop, the 15th Five-Year Plan prioritises achieving dominance in the most advanced technologies for Beijing.

Finally, **national security** emerges as a key principle of the new five-year plan, regarded as an absolute priority. This explains the emphasis placed on "*control of industrial and supply chains*", "*strengthening scientific and technological capabilities*" and the development of strategic sectors (as well as energy and food security). The pursuit of national security, self-sufficiency and technological sovereignty justifies prioritising industrial policy and innovation over policies aimed at stimulating demand and increasing private consumption.

The pursuit of technological power and autonomy will be underpinned by massive investment in research, innovation and digital infrastructure. R&D expenditure (already 2.8% of GDP in 2025) is set to grow by more than 7% annually between 2026 and 2030, similar to the trajectory outlined in the 14th Five-Year Plan, but with greater emphasis on fundamental research.

While China has long focused on the development and commercialisation of applied technologies, the 15th Five-Year Plan calls for "*decisive breakthroughs*" to "win the battle for key technologies". China intends to continue rising the value chain, developing critical technologies and future industries, and rapidly consolidating its comparative advantage in a growing number of sectors.

Key targeted industries include, in particular, next-generation batteries and green energy, semiconductors, AI, robotics, biotechnology and aerospace. The 15th Plan also calls for the modernisation of traditional industries through innovation. All these sectors will continue to benefit from public subsidies, preferential access to energy and raw materials, logistical support and a favourable regulatory framework.

A MORE POWERFUL AND ASSERTIVE CHINA: A CHALLENGE FOR THE REST OF THE WORLD

China's strategy will continue to have significant implications for the rest of the world. Firstly, the competitive pressure exerted by Chinese goods will persist and impact a wider range of sectors. High price competitiveness, along with the expansion of industrial production and a rapid rise in the value chain—while maintaining a significant advantage in lower value-added sectors—combined with weak domestic demand, will ensure that exports remain substantial. The technological dominance of the US could be under threat; European growth, which relies on exports and the complementarity of comparative advantages, will face limitations; and the developing industries of emerging countries will be weakened.

Furthermore, the 15th Five-Year Plan also calls for the relocation of Chinese production capacity. It advocates for "*supporting companies in their overseas expansion*", promoting direct investments for economic and geopolitical purposes. This should enable China to circumvent trade barriers, secure access to critical resources and markets, and relocate production to create jobs in partner countries, thereby easing tensions.

At the same time, policies of import substitution, securing supply chains, achieving self-sufficiency and industrial upgrading will further reduce China's import needs and, consequently, the market opportunities for its trade partners that export manufactured goods.

On the other hand, there are still opportunities in the services sector, particularly in technology services, where Chinese demand will continue to grow and rely on foreign expertise. The 15th Five-Year Plan mentions the possibility of encouraging foreign direct investment, particularly in 'modern services' sectors such as healthcare and culture.

Ultimately, the rise in the industrial value chain could increase the rest of the world's dependence on China. Following critical minerals and green technologies, China could also become a key supplier in emerging high-tech segments. This poses major strategic challenges for advanced economies.

Beijing's strategy also provides certain advantages for its trade partners, granting them access to low-cost goods, thereby reducing the cost of adopting low-carbon energy and helping to curb inflation. These benefits are all the more valuable in the current context of rising energy prices, inflationary pressures and the energy transition.

***

The 15th Five-Year Plan does not seek to correct the imbalances in the Chinese growth model, but rather reinforces the path followed during the post-Covid era. The development strategy to be maintained in the short and medium term is based on supply, enhancing sovereignty, and achieving technological and export dominance. This approach addresses China's internal constraints (demographic, budgetary) as well as its geopolitical ambitions. By failing to rebalance its growth drivers in favour of domestic consumption, China remains reliant on the rest of the world's willingness to continue absorbing its surpluses of goods, capital and productive capacity. Negotiations between China and its trade partners present a huge challenge and are likely to adopt various strategies. For partner countries, the challenge will be to adapt to the rise of Chinese industry and technology, to protect themselves against the high level of price competitiveness of Chinese goods (while China also has the tools to counter protectionist measures, notably through controls on exports of critical materials), and to attempt to reduce trade imbalances. Moreover, and most importantly, new forms of partnership will need to be established. Given the structurally weak domestic demand and the ongoing decoupling from the United States, it is in China's best interests to maintain good relations with Europe and the rest of the world. *See our next editorial in the 18 May issue of EcoWeek*.

Christine Peltier
christine.peltier@bnpparibas.com

Find out more in our scenario and forecasts

INTERNATIONAL TRADE

US-EU trade agreement under an ultimatum. The imposition of 25% US tariffs on European cars, as indicated by Donald Trump, has been postponed until 4 July, contingent on the EU's ability to implement the agreement. Meanwhile, the US International Trade Court has ruled that the 10% tariffs imposed under Section 122 are unlawful, but this ruling only applies to two specific cases and does not invalidate the measure in its entirety. Furthermore, Brussels has announced the cessation of subsidies granted to Chinese suppliers of photovoltaic inverters, effective as of 1 November, which it has described as "one of the most pressing threats" to the EU's critical infrastructure (risk of power cuts).

ADVANCED ECONOMIES

UNITED STATES

A buoyant labour market and deteriorating household sentiment. Payroll employment rose by 115,000 in April (a cumulative increase of 304,000 in 2026, compared with 116,000 in 2025). The growth was mainly driven by education and healthcare (+46,000), but also by transport (+60,000). The unemployment rate remained stable (4.3%) but the labour force participation rate fell again (-0.1pp to 61.8%). Q1 2026 saw hourly productivity grow by +0.8% on an annualised basis (+1.6% in Q4 2025). The non-manufacturing ISM index held steady in April (-0.4 m/m to 53.6) despite a slowdown in new orders; pressures on prices and supply lead times persist. Consumer sentiment (Michigan) hit a record low of 48.2 (-1.6 m/m) in May. The US trade deficit widened slightly in March (USD 88.7bn compared with USD 84.6bn in February), but the 12-month smoothed deficit is at its lowest since 2021, largely due to the rise in energy exports. March's industrial orders confirm the strength of investment: the core measure (capital goods excluding defence) jumped by 3.4% m/m (the sharpest rise since 2017), following a 1.5% m/m increase in February. *Coming up: CPI inflation (Tuesday), producer prices (Wednesday), retail sales (Thursday).*

EUROZONE

Weaker services sector (primarily in tourism and transport). In April, 1/ the composite PMI fell to 48.8 (-1.9 m/m), dragged down by services; 2/ sectoral PMIs indicate that this decline was largely due to the tourism and leisure sector as well as transport services, while the automotive sector PMI improved; 3/ the construction PMI deteriorated (-2.6 m/m to 41.7). Retail sales fell by 0.1% m/m in March. The ECB's wage tracker remains stable. The index (excluding bonuses) is projected to rise by 2.6% y/y in the second half of 2026. According to producer prices, the inflationary shock was confined to energy in March: the core PPI (excluding energy and construction) rose by 0.4% m/m and 1.4% y/y. *Coming up: Q1 GDP and employment, industrial production (Wednesday).*

- France: Industry and exports holding up well; deterioration in services. Manufacturing output rose by 1.2% m/m in March, bolstered by aerospace, electronics and refining. The current account deficit remained contained in March (EUR 1.2bn, totalling 8.2bn over 12 months), despite oil prices (the fall in import volumes offset the rise in prices). The robust growth in goods exports was confirmed (+€5bn y/y according to customs figures for Q1 2026), mainly within the EU (including +€2bn to Germany). Car registrations stabilised in April. The share of electric vehicles has grown (27% in January-April) but could decline with the end of the second social leasing scheme (a third is planned for this summer). The composite PMI contracted to 47.6 in April (-1.2 m/m), dragged down by services (46.5; -2.3 m/m), particularly in retail, transport and temporary employment. The government estimates the cost of overseas military operations at EUR 2.4 billion in 2026 (EUR 1 billion over the budgeted provision for 2026). *Coming up: business insolvencies (Monday), Banque de France business survey, unemployment, labour costs and business start-ups (Wednesday).*

- Germany: Rising demand in industry. New industrial orders rose by 5% m/m in March and by 6.5% on average over the last six months (compared with the previous six months), driven by the aerospace sector, while the manufacturing PMI remained in expansionary territory in April (51.4; +0.2 m/m): positive developments against the backdrop of a 0.8% m/m decline in industrial production in March. Construction output rose by 1.9% m/m in March.

- Italy: Business sentiment rebounds. The services PMI rose in April to 49.8 (+1 m/m), bolstered by a slight increase in new orders. The composite PMI returned to expansionary territory, at 50.5 (+1.3 m/m). However, the rise in input prices reached its highest level in three and a half years. Retail sales accelerated in March (+3.7% y/y; +0.8% m/m), driven mainly by food. *Coming up: industrial production (Monday).*

- Spain: A sharp decline in confidence indices. The composite PMI contracted in April to 48.7 (-3.7 m/m), dragged down by the services sector (47.9; -5.4 m/m, the lowest level since July 2022), particularly in tourism. The labour market remains buoyant: the number of unemployed fell by more than 62,000 in April (to 2.4 million, a level not seen since June 2008).

JAPAN

Foreign exchange market interventions and wage growth. The Japanese authorities are reported to have continued to prop up the yen (JPY) with an estimated total of USD 64 billion. This intervention allowed the USD/JPY exchange rate to hover around 156.5 (compared with around 160 at the time of the first intervention on 30 April). Wage growth slowed to +2.7% y/y (-0.7pp) in March 2026 due to reduced bonus payouts, but the underlying measure of scheduled contractual wages held steady (+3.2% y/y, or -0.2pp). At the same time, the real wage index remains in positive territory (+1.0% y/y) but is slowing in the face of rising inflation (-1.0pp compared with February). *Coming up: industrial production (Friday).*

UNITED KINGDOM

Long-term rates tested by political risk. Long-term rates, which hit record highs on 5 May (5.78% for the 30-year and 5.08% for the 10-year) ahead of the local elections, have since fallen following Keir Starmer's pledge to remain in office. The composite PMI rebounded in April (52.6; +2.3 m/m), bolstered by services (52.7; +2.2 m/m), particularly digital services. Conversely, the construction PMI contracted to 39.7 points (-5.9 m/m). *Coming up: Q1 GDP, industrial production and foreign trade (Thursday).*

Find out more in our scenario and forecasts

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

The war has had a significant but unequal impact on the Gulf economies. In April, PMI indices remained below 50 in Kuwait (46.6) and Qatar (46.4), indicating a contraction in non-oil activities for the second consecutive month. In contrast, the PMI rebounded in Saudi Arabia to 51.5 from 48.8 in March, while it reached 52.1 in the United Arab Emirates. For both countries, robust domestic demand is partly offsetting the deterioration in the external environment.

Saudi Arabia: Deterioration in public finances in Q1. The budget deficit reached USD 33bn in Q1 2026, marking the highest level since 2018 (more than double that of Q1 2025). The majority of the deficit increase is attributed to higher expenditure (+20% y/y), particularly in subsidies (+170%). Investment expenditure also rose sharply (+56%). In contrast, revenue held up well (down just 1% despite the closure of the Strait of Hormuz).

ASIA

Inflation accelerated in April. Rising international energy prices are feeding through to inflation in Thailand, Vietnam and the Philippines. Prices rose by +2.9%, +5.5% and +7.2% y/y respectively. In Indonesia, price rises remain contained (+2.4%) as the government has kept fuel prices stable.

China: Inflation is rising, and export growth remains robust ahead of the China-US summit. Producer price inflation reached +2.8% y/y in April, its highest level since August 2022. CPI inflation continued to accelerate (to +1.2% year-on-year), driven by petrol prices (+17.4%). A price regulation mechanism is mitigating the impact of the global energy shock on consumers. Goods exports rose by +14.1% y/y in April (following +17.4% in Q1 2026), attributed to a sharp rise in volumes and a smaller fall in prices. Imports rose by 25.3% y/y in April (22.5% in Q1), due in particular to the rise in hydrocarbon prices. With Presidents Donald Trump and Xi Jinping due to meet on 14 and 15 May in Beijing, trade between China and the US increased in April (Chinese exports to the US rose by +11.3% y/y, following a -13.3% decline in Q1, while Chinese imports of US goods increased by +4.9%, following a -19.6% decline in Q1). According to Chinese statistics, the bilateral trade surplus for the first four months of 2026 has decreased compared with the same period in 2025. The international context is also expected to strengthen Beijing's negotiating stance with Washington.

Growth held up in Indonesia in Q1 2026 but slowed in the Philippines. Growth in Indonesia reached its highest level since 2022 (+5.6% y/y). Details of the GDP components are not yet known, but economic indicators suggest that growth was driven by household consumption and an uptick in business investment, whilst exports slowed. Conversely, in the Philippines, the energy shock exacerbated the slowdown in growth (+2.8% y/y in Q1, compared with 3% in Q4 2025). Investment continued to decline while the growth in private consumption slowed. However, exports remained buoyant.

EMERGING EUROPE

Romania: Political crisis. On 5 May, the no-confidence vote against the government secured 281 votes (233 were required). The current government can serve in an interim capacity over the next few weeks pending the appointment of a new Prime Minister. In the financial markets, the Romanian currency is under significant pressure (-1.8% against the euro over the past week). This period of uncertainty is likely to weigh on economic activity. Furthermore, European funds earmarked for the country could be suspended if the continuation of the fiscal austerity policy is called into question.

Poland and the Czech Republic: Monetary policy on hold. Both central banks have kept their key interest rates unchanged, in line with expectations. This policy stance is likely to last several months, while the Central banks balance on the one hand, fresh inflationary pressures and, on the other, the risks of an economic slowdown. Key interest rate hikes are possible in the event of a sharp rise in inflation.

Czech Republic: Inflation accelerates. Inflation rose to 2.5% y/y in April, following 1.9% in March and 1.4% in February. It remains within the Central Bank's target range of 2% ±1 percentage point, leaving some room for manoeuvre in monetary policy.

LATIN AMERICA

Inflationary pressures increased in April, driven by the 'energy' and 'transport' components. In Peru, Chile and Colombia, prices rose by 3.7%, 4% and 5.7% y/y respectively. Chile is seeing a particularly sharp acceleration in inflation, mainly due to the end of fuel subsidies. Expectations for the coming months are largely on an upward trajectory. Nearly 30% of the Chilean CPI basket comprises indexed products (rents, financial charges, insurance), the prices of which have yet to be adjusted.

Mexico is currently the exception. Inflation slowed in April (4.4% y/y after 4.6% in March), mainly due to the fall in electricity prices and the slowdown in domestic demand. On 7 May, the Central Bank provided justification for a further cut in its key interest rate (-25 bp, to 6.5%) on the grounds of this slowdown in economic activity. It stated that "it would be appropriate to maintain the rate at its current level for an extended period". Headline inflation forecasts have been revised slightly upwards for the next two quarters, but core inflation forecasts remain unchanged, as does the convergence target of 3% for Q2 2027.

COMMODITIES

Markets took a breather last week amid the potential for progress towards a deal between the US and Iran. Consequently, Brent and TTF (European spot gas price) prices fell by 11.5% and 8.3% respectively. Despite this, the rise in prices since the start of the conflict remains significant: +44% for Brent at USD 104.5/b and +39% for TTF at EUR 44.5/MWh this morning. Nevertheless, in the oil market, the scale of current and future disruptions appears to be more accurately reflected. The spread between the price of a barrel of Dated Brent (the futures contract for the nearest physical delivery) and that of Brent (the contract maturing in July 2026) has narrowed in recent days (the spread is now less than $5/b). Brent futures for December 2026 delivery are up (USD 88.7/b this morning) and remain close to their peak (USD 92/b on 4 May).

European imports of Russian LNG hit a record high in the first four months of 2026, up 18% compared with the same period in 2025. They account for around 7% of total European gas imports. These imports have been banned since 25 April 2026 for short-term contracts concluded before 17 June 2025. Meanwhile, **European LNG imports from the United States also hit a record high in Q1 2026** (accounting for 28% of total European gas imports). European demand for gas is expected to keep rising in the coming months due to the need to replenish stocks ahead of next winter.

US exports of petroleum products (both crude and refined) hit a record high this week, at 8.2 mb/d, according to the US Energy Information Administration.

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	06/05/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.51	-8.2	-8.9	+41.9	+76.5
Bund 5Y	2.66	-5.3	-3.7	+19.9	+64.3
Bund 10Y	2.96	-3.5	-0.5	+10.2	+43.0
OAT 10Y	3.56	-7.0	-6.9	+5.8	+30.1
BTP 10Y	3.75	-11.4	-9.7	+24.8	+10.8
BONO 10Y	3.43	-7.2	-4.8	+18.2	+23.7
Treasuries 2Y	3.85	-1.4	-0.1	+37.4	+4.5
Treasuries 5Y	4.00	-2.5	+1.6	+27.5	+10.6
Treasuries 10Y	4.35	-1.2	+1.4	+18.8	+3.2
Gilt 2Y	4.39	-3.6	+6.3	+63.5	+56.5
Treasuries 5Y	4.48	-0.6	+9.7	+63.5	+50.5
Gilt 10Y	4.94	-3.9	+10.4	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	06/05/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.18	-0.1	+1.9	+0.1	+3.6
GBP/USD	1.36	-0.1	+2.8	+1.1	+1.7
USD/JPY	156.30	-0.2	-2.1	-0.3	+9.4
DXY	98.02	-0.1	-2.0	-0.3	-2.2
EUR/GBP	0.86	+0.0	-0.9	-1.0	+1.9
EUR/CHF	0.92	-0.1	-0.6	-1.6	-2.0
EUR/JPY	183.75	-0.3	-0.3	-0.2	+13.4
Oil, Brent ($/bbl)	101.47	-6.2	-6.8	+66.8	+63.2
Gold ($/ounce)	4697	+1.3	+0.7	+8.6	+38.3

Equity Indices

	Level	Change, %			
	06/05/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4754	+1.7	+9.8	+7.3	+28.9
North America					
S&P500	7365	+1.9	+11.4	+7.6	+31.4
Dow Jones	49911	+0.8	+6.9	+3.8	+22.2
Nasdaq composite	25839	+2.9	+17.5	+11.2	+46.1
Europe					
CAC 40	8299	+2.3	+4.2	+1.8	+7.8
DAX 30	24919	+2.6	+7.6	+1.7	+7.2
EuroStoxx50	6027	+2.5	+5.9	+4.1	+14.5
FTSE100	10439	+0.7	+0.0	+5.1	+21.4
Asia					
MSCI, loc.	1827	+0.5	+3.0	+8.2	+30.4
Nikkei 225	59513	+0.0	+11.4	+18.2	+61.6
Emerging					
MSCI Emerging ($)	1699	+6.1	+17.2	+20.9	+49.4
China	79	+1.8	+4.1	-4.0	+9.2
India	961	+2.2	+6.3	-9.2	-7.4
Brazil	2043	+0.4	+3.2	+24.1	+51.1

Performance by sector

Eurostoxx600

Year 2026 to 6-5, €

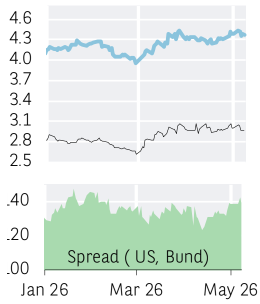
+34.0%	Oil & Gas
+24.0%	Commodities
+21.6%	Telecoms
+14.5%	Utilities
+11.4%	Technology
+9.3%	Industry
+9.1%	Chemical
+5.2%	**Eurostoxx600**
+5.0%	Construction
+3.1%	Banks
+1.7%	Food industry
+1.5%	Financial services
+0.8%	Real Estate
+0.0%	Insurance
-3.8%	Health
-6.5%	Retail
-7.3%	Travel & leisure
-7.8%	Media
-13.2%	Consumption Goods

S&P500

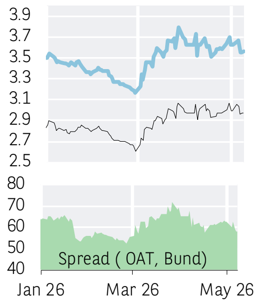
Year 2026 to 6-5, $

+32.0%	Energy
+26.7%	Semiconductors
+16.5%	Tech. Hardware & Equip.
+16.0%	Capital Goods
+15.8%	Retail
+11.9%	Materials
+11.7%	Consumer Discretionary
+10.2%	Media
+8.6%	Utilities
+8.6%	Food, Beverage & Tobacco
+6.0%	**S&P500**
+4.4%	Telecoms
-2.5%	Bank
-3.3%	Pharmaceuticals
-5.7%	Consumer Services
-5.7%	Insurance
-10.9%	Healthcare
-12.7%	Commercial & Pro. Services
-13.0%	Automobiles
-25.2%	Real Estate

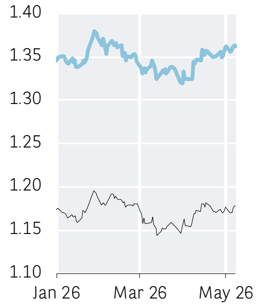
Bund 10Y & US Treas. 10Y



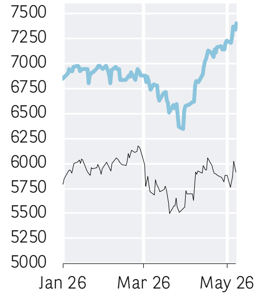
Bund 10Y & OAT 10Y



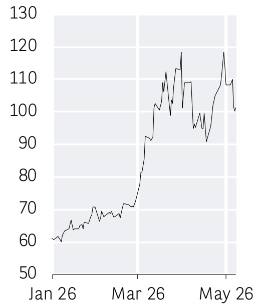
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500

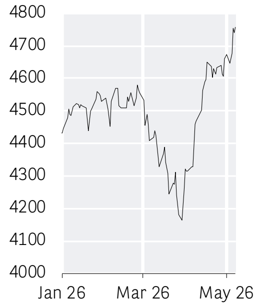


Oil, Brent ($/bbl)

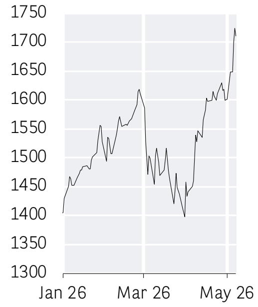


Gold ($/ounce)

MSCI World ($)



MSCI Emerging ($)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

FRANCE: INFLATION IS STARTING TO SPREAD BUT IS STILL SPARING CONSUMER GOODS AND SERVICES

Stéphane Colliac

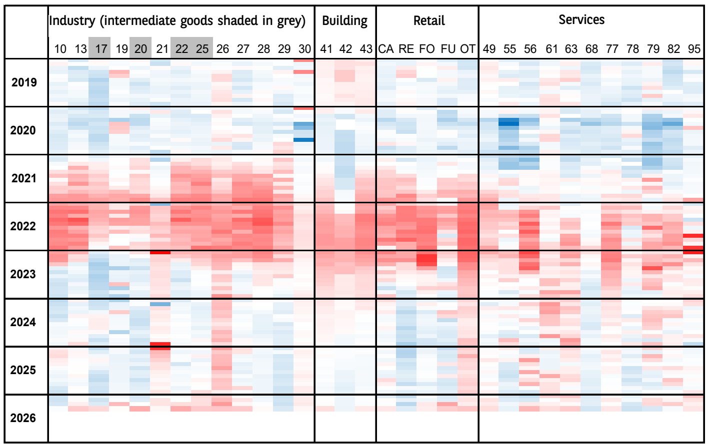
The energy shock is beginning to feed through into French inflation. In March and April, inflation was limited to refining activities and fuel prices. It is expected to affect more sectors in the second quarter, according to the European Commission's survey on three-month selling price expectations. In France, the pass-through is expected to mainly affect intermediate goods in Q2. However, inflationary pressures on consumer goods and services or construction are expected to remain quite moderate. These factors are consistent with our scenario of a limited acceleration in French inflation (see our scenario) and a moderate impact of the energy shock on growth (read our analysis of French growth in the first quarter).

In France, sector-specific business surveys indicate that the energy shock is beginning to feed through into selling prices, with prices expected to rise over the next three months (primarily for industrial inputs). This conclusion is drawn from an analysis of data from the European Commission's April survey. However, the proportion of companies anticipating such increases remains moderate. It is higher among companies in sectors that produce intermediate goods, particularly those that are most oil-intensive (chemicals, plastics and rubber). These inputs are used to produce consumer or investment goods, which will therefore lead to an increase in production costs. However, manufacturers in these sectors (including automotive, pharmaceuticals and agri-food) do not plan to raise their selling prices. This observation was noted by INSEE in its quarterly survey of industry: 'other industries' (which include intermediate goods) expect their selling prices to rise by 1.7% over the next three months, while sectors producing final consumer goods do not anticipate any increase.

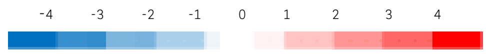
For the households, a slight impact is expected via food prices. Although the agri-food sector does not anticipate a price rise, agriculture is more exposed to energy costs, which account for a higher proportion of the goods produced. Consequently, the food retail and catering sectors (which either sell or process fresh products) expect to raise their prices (this is also linked to the rise in freight costs). An acceleration in food inflation is therefore quite likely. In the short term, this would be limited to fresh products. The food component of the consumer price index slowed in April (to 1.3% y/y) and price rises in the retail sector or the catering industry should remain limited.

Rising costs are expected to impact manufacturers in the second quarter, potentially resulting in these costs being passed on to retail prices in more sectors from the third quarter onwards. Producer prices remained stable in March (excluding fuel). However, the prospect of higher input prices is likely to contribute to rising production costs and exert pressure on margins in the second quarter. While the price of consumer goods may increase, it is likely to remain moderate. Indeed, other business costs, particularly wages, are not expected to exert an additional pressure (with the exception of the likely increase in the minimum wage at the end of the second quarter). Businesses may also opt to reduce their margins (against a backdrop of moderate demand), which would lessen the impact of the energy price shock on core inflation.

Prospects for price increases in France: companies in the intermediate goods sectors are more likely than others to raise their prices



Indicators are converted into z-scores, i.e. deviations from their long-term average (expressed in standard deviations). Red shading corresponds to higher inflation pressures, while blue indicates downward price expectations, and white a stability.



Sectors considered: 10: food; 13: textiles; 17: paper; 19: refining; 20: chemicals; 21: pharmaceuticals; 22: plastics/rubber; 25: processed metals; 26: IT/electronics; 27: electrical equipment; 28: machinery and equipment; 29: automotive; 30: other transport equipment; 41: building construction; 42: civil engineering; 43: specialised construction; CA: motor vehicle trade; RE: vehicle repair; FO: food trade; FU: fuel trade; OT: retail, other; 49: freight transport; 55: hotels; 56: restaurants; 61: telecommunications; 63: information services; 68: real estate; 77: rental and leasing; 78: employment support; 79: travel agencies; 82: administrative services; 95: IT repairs

SOURCE: DG ECFIN, BNP PARIBAS

Consequently, consumer price inflation is not expected to become widespread by the end of the second quarter (read our analyses concerning the eurozone and advanced economies as a whole). However, a more pronounced rebound in producer prices (which remain moderate outside the refining sector for now) could feed through, from the third quarter onwards, into consumer prices.

stephane.colliac@bnpparibas.com

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La banque
d'un monde
qui change

FOUR CENTRAL BANKS AND JUST AS MANY SHADES OF *STATUS QUO*

Unsurprisingly, the Bank of Japan (BoJ), the U.S. Federal Reserve (Fed), the European Central Bank (ECB), and the Bank of England (BoE) opted to keep their policy rates unchanged at their meetings in April. However, beneath this shared decision lie subtle differences that enable us to categorize each central bank based on how ready they are for a rate hike in the near future. The ECB ranks first, followed closely by the BoJ and the BoE, with the Fed remaining apart. Although the current energy shock is a global phenomenon and of a stagflationary nature (leading to lower growth and higher inflation), the dilemma varies for each central bank. The United States is experiencing higher inflation but it is benefiting from higher growth too, while economic activity is expected to be more adversely affected in other countries. Assuming a gradual normalization of the situation in the Middle East, the reaction function of each central bank suggests that we can expect a 25-basis-point (bp) rate hike in June from the ECB, the BoE, and the BoJ, while the Fed is likely to maintain its current stance (albeit with a low but growing risk of aligning with this trend).

FOUR *STATUS QUO* PERSPECTIVES

Our comparison is based on the following factors: the number of dissenting votes, the tone of the statements and press conferences, the characterization of monetary policy, and the presentation of the economic situation and outlook for each country[1]. It appears that, in our assessment, the ECB exhibits the most hawkish bias—indicating the clearest inclination to raise its policy rates soon in response to the inflationary impact of the ongoing energy shock. Its *status quo* in April (the only unanimous decision among the four central banks) does not mean that a response is not required. The decision was warranted given the lack of sufficient information to act as early as this month, coupled with the fact that the ongoing tightening of credit conditions is already doing part of the job. However, the possibility of a rate hike was discussed at length. President Christine Lagarde refrained from making any explicit pre-commitment and reiterated the ECB's data-dependent, meeting-by-meeting approach. Nevertheless, a clear signal was given in favor of a rate hike in June, barring a sudden change in conditions.

The BoJ stands out from its counterparts with a *status quo* that is difficult to justify given the macroeconomic situation of the country (an economy close to full employment, inflation above 2%, and real interest rates that remain negative). In March, the BoJ appeared poised to raise rates in April. The revision of its forecasts was more hawkish than expected: not only has the inflation outlook been significantly raised, but the BoJ, while also acknowledging downside risks to growth, placed particular emphasis on the need to prevent upside risks to inflation from materializing. Finally, the rewording of its forward guidance suggests that a rate hike could be considered even if the economy were to slow down. The split vote (6 in favor of the *status quo*, 3 in favor of a hike) illustrates this situation. The factor that appears to have influenced the BoJ's decision to postpone a rate hike in April is the lack of government support.

The BoE also appears ready to hike rates, while keeping the *status quo* option open—slightly more so than the ECB. Its April *status quo* was less hawkish than we had expected just before the meeting: we had anticipated a tighter vote (7-2 or even 6-3, but it turned out to be 8-1) and a more explicit reference to a rate hike in June. The central scenario was not only downplayed in favor of alternative scenarios; it was not even explicitly articulated. And of the three alternative scenarios presented, only one embeds significant second-round effects on inflation.

Among the four central banks, the Fed is the least inclined to implement a rate hike. Monetary policy is still deemed well-positioned given the economic outlook and the balance of risks. While its tone has shifted slightly, it has not done so as clearly as we had anticipated. Indeed, it has not explicitly abandoned its dovish bias in favor of a symmetric bias (indicating equal likelihood that the next rate move will be a hike or a cut). However, this symmetric bias effectively emerged in Jerome Powell's remarks, as he described the committee as "close to changing the guidance" and "in a good position to move in either direction." This FOMC meeting was also notable for an unusually high number of dissenting votes (4), pointing in opposite directions[2].

THE SAME SHOCK, BUT TO VARYING DEGREES

Data from all four countries shows signs of weakening growth and rising inflation, albeit to varying degrees. As highlighted by the ECB, the current inflation data was insufficient to warrant a rate hike in April, even as a precautionary measure. Nevertheless, the situation poses challenges for central banks, as their patience is being tested by numerous inflationary signals[3] and the uncertainty surrounding the potential peak of inflation.

Regarding growth, the initial estimates for Q1 2026 for both the United States and the Eurozone (published on 30 April, i.e. after the central banks' meetings) fell short of expectations (0.1% q/q for the Eurozone versus 0.3% according to our forecast; 0.5% q/q for the United States versus 0.7% expected). However, these figures conceal more positive aspects. The Eurozone, in particular, is not starting the year as poorly as it may seem. Q1 growth was dragged down by the sharp contraction in Irish GDP (-2% q/q, contributing a drag of -0.1 percentage points) and by the unexpected stagnation of French GDP. However, Irish growth is notoriously volatile, and the French flat growth is due, for the most part, to exceptional factors[4]. Growth in Germany (0.3%), Spain (0.6%), and Italy (0.2%) has lived up to expectations.

1 *See*, for a summary of the decisions, Four Central Banks on "Active Hold", April 30, 2026.
2 Governor Miran voted in favor of a rate cut (-25bp), while three regional Fed presidents opposed maintaining the "dovish bias" in the statement.
3 *See*, for a monthly tracking of these trends, Inflation Tracker - April 2026, April 28, 2026.
4 *See*: France: one-off factors largely account for zero growth in Q1, April 30, 2026.

On the other hand, confidence surveys in the Eurozone for April conveyed, unsurprisingly, a negative signal[5]. Additionally, inflation continues to escalate (3% year-on-year for the headline figure according to Eurostat's flash estimate). Consumer inflation expectations for the upcoming year have also risen significantly, along with inflationary pressures on input and output prices. However—and this is an important and positive point—this has not yet spread to core inflation, which edged down slightly in April (-0.1 percentage points, to 2.2% y/y).

Economic news from the United States is more favorable in terms of growth (still bolstered by the AI boom) but not on the inflation front (with both headline and core figures up in March—the latest available data—for the Consumer Price Index as well as the PCE deflator). Jerome Powell also expressed optimism when describing the growth figures ("really solid") and the labor market situation ("pretty good"), marking a significant change from earlier concerns about the labour market and the risk of a sudden and sharp deterioration. On the other hand, there are emerging concerns about the stability of long-term inflation expectations, given that inflation has exceeded 2% for the sixth consecutive year and, in addition to the energy shock, is being fueled by higher tariffs and robust growth.

This robust growth, combined with the United States' position as a net exporter of hydrocarbons, means that it is less exposed to a stagflation-type scenario than the Eurozone, the United Kingdom, and Japan. Among these four major economies, the United States experiences the least significant adjustments in our forecasts (downward revision of growth forecasts of-0.3 percentage points to 2.4% in 2026 in annual average terms and upward revision of inflation forecasts of +0.5 percentage points to 3.3%) . In contrast, the United Kingdom faces the highest inflation rate (close to 4% annualy in 2026) and one of the lowest growth rates (0.7%). Japan is expected to have even lower real GDP growth (0.5%) but also the lowest inflation (close to but below 3%). The Eurozone finds itself in a middle ground, with growth expected to be relatively low (1%) yet still positive, and inflation kept in check (3.1%).

FOUR *STATUS QUOS* IN APRIL; THREE (PLUS ONE?) RATE HIKES IN JUNE?

While rate hikes in April were deemed premature, the four central banks could take action at their upcoming meetings in June. Between now and June, our base case scenario assumes a gradual normalization of the situation in the Middle East, with oil prices projected to average USD 110 per barrel in Q2 (before a decline to around USD 85/b by year-end). By June, the window of opportunity to look through the inflationary impact of the energy shock will likely have closed, and this impact should be sufficiently clear to justify a response. This is our scenario for the ECB, the BoE and the BoJ. For the Fed, we anticipate another *status quo* while identifying a low but growing risk that it will also proceed with a rate hike.

As for the ECB, a rate hike in June appears to be the default option. The inflation data available at that time (including possible early signs of second-round effects on core inflation) should support such a move, unless, in the meantime, energy prices fall sharply and consistently. If, on the contrary, they rise further, we expect the debate to shift towards the magnitude of the hike. Even in the event of a sharp drop in energy prices, the justification for a rate hike would not disappear entirely, given the persistence of the energy shock and the lengthy period required for the oil flows situation to return to normal.

As for the BoE, rate cuts are no longer on the table. Admittedly, its communication in April was cautious enough to retain full flexibility in an uncertain environment, allowing for more time to monitor developments. However, since we expect second-round effects to be more significant and/or occur more rapidly than the BoE anticipates, we think the central bank will have to raise its bank rate in June.

For the BoJ, which is already in a hiking cycle, gradually normalizing its monetary policy from very low interest rates, the question is when its next rate hike will take place. We believe it will be in June. Its "active hold" in April, the general tone of its forecasts, and the fact that it is already "behind the curve" (in our view) point in this direction. However, if the primary reason for postponing the hike in April was the difficulty in securing government support, the same risk looms over upcoming meetings.

According to our baseline scenario, the Fed would stand apart from its counterparts with a *status quo* in June, as downside risks to employment balance out upside risks to inflation. However, setting aside the fact that this will be the first FOMC meeting chaired by Kevin Warsh and focusing solely on the economic conditions prevailing at that time, a rate hike in June is a tail risk that cannot be ignored. We believe that such a move would be triggered by a combination of the unemployment rate approaching 4% (a level likely to fuel a wage-price spiral) and an increase in households' 5-year inflation expectations similar to that observed in the first months of 2025 (+1.4 percentage points between December 2024 and the peak of 4.4% in April 2025, the month of Liberation Day). As a reminder, the U.S. unemployment rate was 4.3% in March 2026 (a low, with two decimal places, since July 2025), and 5-year household inflation expectations stood at 3.5% in April 2026 according to the University of Michigan survey (up 0.3 percentage points since December 2025).

Hélène Baudchon
hélène.baudchon@bnpparibas.com

5 See our dashboard on page 7 in this issue of Ecoweek.

ECONEWS

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

UNITED STATES / EUROPEAN UNION

New tariff threats. President Trump is considering imposing a 25% tariff on trucks and cars imported from Europe, citing the EU's sluggishness in implementing its part of the agreement reached in 2025. Furthermore, he has announced the withdrawal of 5,000 US troops stationed in Germany.

UNITED STATES

Key interest rate stable, smooth transition at the Fed and growth driven by AI. The FOMC has maintained the Fed Funds target range at 3.5%-3.75%, judging its policy to be 'well positioned' (see our EcoFlash). The Senate Banking Committee has approved K. Warsh's nomination as head of the Fed to be put to a vote before the full House. GDP growth accelerated to +2% q/q on an annualised basis in Q1 2026 (+0.5% in Q4 2025), bolstered by the end of the shutdown, AI-related investment and the resilience of household consumption. Household confidence (Conference Board) improved in April (+0.6 m/m, to 92.8). *Coming up: employment survey (Friday), non-manufacturing ISM (Tuesday), trade figures and JOLTS survey (Tuesday), Michigan household confidence (Friday).*

EUROPEAN UNION

Relaxation of state aid rules. For agriculture, fisheries and transport, compensation could cover up to 70% of the additional costs resulting from price rises (fuel, fertilisers). For energy-intensive industries, the aid ceiling has been raised from 50% to 70% for electricity. The European Commission has announced measures to simplify regulations in 12 sectors and remove national requirements that go beyond European obligations (gold-plating). It has also proposed new rules to simplify European laws governing mergers.

EUROZONE

Misleading GDP figures, hawkish tone from the ECB. Growth slowed to 0.1% quarter-on-quarter in Q1, hindered by one-off factors (France, as detailed below, and Ireland at -2% quarter-on-quarter), despite strong figures in Germany and Italy. The economic sentiment index hit its lowest level since November 2020 in April, dragged down by consumers (-4.2 points) and services (-3.2 points), while construction and industry held up. Inflation climbed to 3% y/y (2.5% y/y in March), driven by energy (+10.1% y/y), although core inflation slowed (-0.1 pp, to 2.2% y/y). Household inflation expectations for the next 12 months rose (+1.5 pp to 4%), as did expectations at a 3-year horizon (+0.5 pp to 3.0%, close to the 2022 peak). The ECB kept its key interest rates unchanged but noted an intensification of upside risks to inflation and downside risks to growth (see our EcoFlash). The unemployment rate fell to 6.2% in March (a record low). Restocking effects supported the manufacturing PMI in April (+0.6 m/m to 52.2). According to the ECB, credit conditions and lending criteria for households and businesses tightened more than anticipated in Q1 2026 (perceived risk increasing); this tightening is expected to continue in Q2, as is the deterioration in banks' access to funding sources (deposits, money markets, debt securities and securitisation).

- France: One-off factors explain the stagnation in GDP in Q1. Growth was held back by i/ the slowdown in aerospace exports (-20% q/q), while production continued to rise in Q1 (+1.5% q/q); ii/ a decrease in construction investment (-1.5% q/q) due to the end of the electoral cycle and the delayed approval of the 2026 budget (although the floor area of housing starts increased by 14.7% q/q in Q1); iii/ a decline in household consumption (-0.1% q/q) which may continue as inflation stands at 2.5% y/y in April (+14.4% y/y for energy). Employment contracted by 0.1% q/q in Q1, primarily due to the construction sector, but the number of people registered with France Travail in category A fell by 1.2% q/q in Q1. The manufacturing PMI rose to 52.8 in April (+2.8 m/m), supported by production and demand. *Coming up: car registrations (Tuesday), industrial production (Wednesday), foreign trade (Thursday).*

- Germany: Improved growth and fiscal outlook for 2027. GDP growth reached +0.3% q/q in Q1 (+0.2% q/q in Q4), driven by both private and public consumption as well as exports. The manufacturing PMI (51.4; -0.8 m/m) recorded its second-best result in four years. Retail sales fell by 2% y/y in March (-3.3% in food). Harmonised inflation stood at 2.9% in April (+0.1pp m/m), while core inflation slowed (2.3%; -0.2pp). The government has unveiled the broad outlines of the 2027 budget: a 3.6% increase in public spending, defence spending equivalent to 3.1% of GDP, and net borrowing of EUR 196.5 billion (+8.2%). Measures have been announced to consolidate public finances over the coming years: reducing bureaucracy, digitising administration, introducing taxes (on plastic, sugar and tobacco), combating tax fraud, and reforming the healthcare system (with a plan to cut expenditure by EUR 16.3 billion from 2027). *Coming up: new industrial orders (Thursday), foreign trade and industrial production (Friday).*

- Italy: GDP growth holds up, inflation accelerates. Growth (0.2% q/q in Q1, following 0.3% in Q4) was driven by external demand. Harmonised inflation rose to 2.9% y/y in April (1.6% in March) due to rising energy prices (core inflation fell by 0.1pp to 1.7% y/y). The unemployment rate fell to 5.2% in March (-0.1pp m/m). The manufacturing PMI rose in April (+0.8 m/m to 52.1), driven by production, while demand declined. *Coming up: retail sales, composite PMI (Wednesday), industrial production (Friday).*

- Spain: Growth remains robust at 0.6% q/q in Q1 (after +0.8% in Q4), with two-thirds of this growth driven by domestic demand. Inflation rose by 0.1 percentage points in April to +3.5% y/y. The manufacturing PMI rose to 51.7 (+3 m/m) in April, driven by a rise in production. *Coming up: Composite PMI (Wednesday).*

JAPAN

The BoJ has kept its key interest rate at 0.75% (see our EcoFlash). The central bank has revised its inflation forecast (+0.9pp to 2.8%) and growth forecast (-0.5pp to +0.5%) for 2026. The exchange rate strengthened on 30 April, with the USD/JPY falling below 157 after exceeding the 160 threshold the previous day, following intervention in the foreign exchange market. Industrial production fell in March (-0.5% m/m) but shows significant improvement in Q1 2026. Retail sales rose (+1.3% m/m) following a decline in February. In April, household confidence (32.2, -1.1 m/m) continued to be adversely affected by the energy shock. *Coming up: BoJ minutes (Thursday).*

UNITED KINGDOM

The Bank of England kept its bank rate at 3.75% in a near-unanimous decision (8-1), with the chief economist voting in favour of a 0.25% rise. Market expectations point to two to three rate hikes by the end of 2026 (see our EcoFlash). The manufacturing PMI rebounded to 53.7 in April (+2.7 m/m), driven by production and demand. *Coming up: local elections (Thursday).*

Find out more in our scenario and forecasts

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

China is abolishing customs duties on imports from Africa with effect from 1 May. This policy applies to all countries that maintain diplomatic relations with China (which excludes Eswatini). China is the primary destination for African exports (20% of total exports).

Saudi Arabia: Sharp slowdown in Q1 growth. Real GDP grew by 2.8% y/y, compared with 5% in Q4 2025. This slowdown is widespread and is expected to continue in Q2. However, the Saudi economy seems to be less affected than other Gulf countries, largely due to its ability to bypass the Strait of Hormuz via the Red Sea.

Qatar: Inflation spiked in March. The CPI index rose by 4.2% (+1.7 percentage points compared with February). The rise in food prices (+8.7% in March compared with 2% in February) stems from additional logistics costs linked to the closure of the Strait of Hormuz (on which Qatar's supplies are almost entirely reliant). The other components of the CPI index remain stable.

ASIA

Asia: Pressure on currencies is mounting with the risk of a prolonged war in Iran and rising oil prices. The most vulnerable countries (net importers of oil and gas, heavily dependent on Gulf producers and/or with significant macroeconomic imbalances) have seen the sharpest depreciation since 20 April, notably the Philippine peso (-2.3% against the USD) and the Indian rupee (-1.9%).

South-East Asia: Decline in manufacturing PMIs, except in Malaysia. Surveys confirm a weakening in activity in Indonesia and the Philippines (PMIs at 49.1 and 48.3 respectively), and a slowdown in Vietnam (index at 50.5, the lowest level since September) due to a reduction in new orders (particularly for exports) alongside rising costs.

China: April's official PMIs confirm the strength of the export sector (the manufacturing PMI fell by just 0.1 percentage points to 50.3 despite the war in Iran) and the fragility of domestic demand. The services PMI slipped back into contraction territory (49.6, down from 50.2 in March). The 'input prices' and 'producer prices' sub-indices did not rise as much as in March but remain high.

China: Resumption of exports related to refined products. Chinese refineries are preparing to resume their exports of kerosene, petrol and diesel. Beijing is reported to have set a new quota for the main state-owned refineries, allowing them to export to Asian customers and relaxing the export ban in force until now.

Taiwan: Growth remained very strong in Q1 2026, driven by AI. Real GDP growth reached +13.7% y/y (after +12.7% in Q4 2025) and +2.8% q/q (after +5.4%). It is driven primarily by exports of AI-related semiconductors, while the effects of the export sector's momentum on domestic demand have strengthened. However, in the short term, the energy shock and potential supply issues could weigh on economic activity. However, the government is introducing support measures and the central bank is expected to keep its key interest rates unchanged, with inflation remaining very moderate (stable at +1.2% y/y in March). Above all, the economy should continue to benefit from the AI boom. Manufacturing PMIs also rose in April (reaching 55.3 in Taiwan and 53.6 in Korea).

EMERGING EUROPE

Hungary: Renewed optimism and a rebound in activity. Real GDP growth accelerated to +1.7% y/y in Q1 2026 (+0.8% q/q), bolstered by the strong performance of services and renewed momentum in industry. The central bank kept its key interest rate unchanged at 6.25%, despite inflation being below its 3% target (1.8% y/y) and the lack of pressure on the forint (+3.7% against the euro since late February). The central bank remains cautious amidst the energy price shock.

Czech Republic: Moderate slowdown. Q1 GDP growth slowed to 2.1% y/y and +0.2% q/q (after +0.7% in Q4 2025), driven in particular by a negative contribution from foreign trade.

Manufacturing PMI: Overall indices are largely unaffected by the war in the Middle East, although sub-indices have been more significantly impacted. In Poland and Romania, PMIs remain below 50 but have risen slightly compared with March. In the Czech Republic and Hungary, they are above 50 and are seeing slight increases. There is evidence of longer delivery times, higher input costs and increased input stock levels.

Türkiye: Pressure on foreign exchange reserves and the lira. The Central Bank's (CbT) foreign exchange reserves, which had recovered between late March and mid-April, have declined. As of 24 April, international foreign exchange reserves (including gold holdings) stood at USD 171 billion, and over the past week, the CbT's net external position (which acts as a proxy of the foreign exchange reserve movement) has deteriorated. In April, the lira depreciated by 1.4%, the sharpest monthly fall since July 2025. Furthermore, the manufacturing PMI remains in contraction territory.

LATIN AMERICA

Monetary policy: War-related inflation is shaking things up. The Central Bank of **Brazil** has cut its key interest rate by 25 basis points for the second consecutive month (to 14.5%), but the upward revision to the inflation forecast for 2026 (4.6%, +0.7 percentage points) is expected to limit its room for maneuver. In **Chile**, the Central Bank left its rate unchanged at 4.5% but may take action soon to ensure that two-year inflation expectations remain anchored at 3%. In **Colombia**, the Central Bank left its key rate unchanged at 11.25% after raising it by 200 basis points since the start of the year.

Brazil is turning to the euro to diversify its financing. The government recently raised EUR 5 billion (its first euro-denominated issue since 2014). This operation is part of the Treasury's strategy to tap into different markets and creates a euro benchmark that should facilitate future issues by Brazilian companies abroad. Foreign currency borrowings account for around 7% of public debt.

COMMODITIES

The United Arab Emirates announced its withdrawal from OPEC on 1 May. This decision reflects the differences between the UAE and some of the other cartel members regarding medium- and long-term oil policy. The UAE is the cartel's third-largest producer (3.4 mb/d in January 2026) and, alongside Saudi Arabia, the only member with rapidly deployable spare production capacity (in excess of 1 mb/d). Once the Strait of Hormuz reopens, the Emirates will be able to increase their production without being constrained by OPEC quotas. Current production capacity is estimated at around 4.8 mb/d (the authorities are targeting 5 mb/d by 2027).

T**he OPEC+ member countries have announced an increase in their production by 0.188 million barrels per day in June.** However, this announcement will remain largely symbolic as long as the Strait of Hormuz remains blocked.

The sharp rise in nitrogen fertiliser prices (+70% since late February) since the closure of the Strait of Hormuz (through which one-third of the world's fertiliser trade passes) **is a cause for concern as it threatens food security in the most vulnerable countries.** The possible occurrence of a severe El Nino episode exacerbates risks related to global food security

Paris, 30 April 2026

EcoFlash

Four Central Banks on “Active Hold”

The central banks of the world’s leading advanced economies met this week, and all decided to leave their policy rates unchanged despite significantly higher inflation prints and outlooks. In the words of Bank of England (BoE) Governor Andrew Bailey, these were “active holds”. They are not fully hawkish yet, but the hawks have made their dissent heard while still in the minority. But they are no longer in a pure passive “wait-and-see” mode. We expect hikes to come through in June, at least for the BoE, BoJ and ECB.

FOMC: One step closer to a two-sided stance. The FOMC has decided to hold the Fed Funds target range steady at 3.5% - 3.75%. The committee views its stance as “well-positioned” given the current outlook and balance of risks, including a softened labour market, an inflation now depicted as “elevated” (vs. “somewhat elevated” previously), and solid economic growth. That provides it with leeway to wait to see in the data the actual effects of the shocks (including the energy shock) before potentially taking action. Importantly, the vote featured an unusually high number of dissents (four, which is unseen since 1992), on opposite sides: Governor Miran favored a rate cut (-25bp), while three regional Fed presidents opposed, maintaining the “easing bias” in the statement. That said, although the shift from an easing bias to a two-sided outlook has not been formalized, it has emerged *de facto* throughout Chair Powell’s remarks. Indeed, he described the committee as “close to changing the guidance” and “in a good place to move in either direction”. This, **alongside our growth and inflation outlook**, strengthens our call of a steady policy rate through end-2027, with growing tail-risk of a hike as next move. Finally, Powell confirmed that he would retain his seat on the Board of Governors “for an indefinite period of time” **after handing over the Chair position to Kevin Warsh next month**. Whilst he linked this to the Department of Justice’s investigations against him and the Fed not yet being “well and truly over with transparency and finality”, this has the effect of forcing Governor Miran—by far the most dovish FOMC member— to step down from the Board of Governors in order to allow Kevin Warsh to take over as Chair. Following the meeting, markets nearly priced out any cut in 2026 and see a small probability of a hike in 2027.

ECB: Well positioned to wait for less insufficient information. Unlike at the other central banks, the decision to hold the main policy rate (at 2%) was unanimous; however, President Lagarde revealed that the option of a hike at today’s meeting was discussed at length, suggesting there were vocal hawks in Frankfurt too. While no new scenarios were released, President Lagarde conceded that things were “certainly moving away from the baseline”, with now “intensified” downside risks to growth and upside risks to inflation. But she stressed that financial conditions have already tightened, that the ECB is not seeing evidence of second-round effects yet, and that longer-term inflation expectations remain well-anchored. All in all, the ECB left the door wide open to a June rate hike, but restated its “data-dependent, meeting-by-meeting, and no pre-commitment to any rate path” approach. We expect the ECB to hike by 25bp in June and by another 25bp later in the year, consistent with market pricing and unchanged from before the meeting.

BoE: Keeping options open. The Bank of England kept its policy rate unchanged at 3.75% with the chief economist dissenting in favor of a 25bp hike. Rather than a central forecast, the BoE offered three scenarios centered on a more dovish outcome than the ECB’s and many private-sector ones. In the first, there are no second-round effects to energy-induced inflation, owing to relatively weak demand constraining the ability of firms to increase prices to preserve margins and the ability of workers to obtain higher wages. In the second, there are some, owing to a slightly greater persistence of the shock, but the “headroom” created by markets moving from pricing multiple rate cuts pre-war to pricing multiple hikes means rate hikes may, in fact, not be forthcoming. In the third, the shock is more persistent and second round effects larger, and inflation exceeds 6%. In this scenario, a policy response would be unavoidable, said Deputy Governor Lombardelli. But overall, interest rate hikes are not a given, stressed Governor Bailey, whereas markets are pricing-in two to three hikes by 2026 year-end.

BoJ: Rate hikes unavoidable but postponed. The Bank of Japan kept its policy rate unchanged at 0.75%, with three dissents favoring a rate hike. For now, the central bank adopts a “look-through” approach to the energy shock, waiting to gauge the impact on activity before further adjusting the degree of monetary accommodation. Though expected, the decision still seems at odds with the BoJ’s own updated outlook and risks, which include GDP growth roughly in line with potential, coupled with a persisting inflation overshoot in FY2026. The postponement of the rate hike might be related to a lack of government support, whilst the government has strongly signaled its reluctance to rate hikes through dovish board appointments (Asada since April, Sato to join in July). Governor Ueda did not provide any guidance for the timing of future adjustments, but the path for the policy rate remains unchanged: we expect a June hike (+25pb – 65% chance according to markets) and a 2.0% terminal rate by end-2027. However, the more rate hikes are delayed, the greater the risk that more tightening will be needed. The JPY had weakened following the meeting, as the USD/JPY exceeded 160 on 29 April, before strengthening significantly below 157 on 30 April amid a “final warning” from the Ministry of Finance regarding FX market intervention, which was reportedly carried out.

Isabelle Mateos y Lago
Group Chief Economist
isabelle.mateosylago@bnpparibas.com

Anis Bensaidani
Economist – US and Japan
anis.bensaidani@bnpparibas.com

Paris, 30 April 2026

EcoFlash

France: one-off factors largely account for zero growth in Q1

French growth was lower than expected in the first quarter, at 0% QoQ, mainly hampered by exceptional factors, mostly aeronautics deliveries and public investment. These factors explain why this figure is significantly lower than our *nowcast* and that of the Banque de France, which estimated that growth had reached 0.3% in Q1, based on production indicators in industry and services. This lead taken by production is reflected in a strongly positive contribution from changes in inventories (+0.8 percentage points), driven mainly by transport equipment.

French GDP stagnated in the first quarter, mainly held back by aeronautics exports. Exports fell by 3.8% QoQ (a negative contribution of 1.2 percentage points to growth), a decline linked to very subdued aircraft deliveries (114 aircraft in Q1 2026, compared with 136 in Q1 2025 and 286 in Q4 2025). However, this weakness in deliveries was not driven by a decline in the production of transport equipment. Production of transport equipment rose by 1.5% QoQ in Q1 2026. Furthermore, changes in inventories contributed positively to first-quarter growth (by 0.8 percentage points), and this increase in inventories is largely attributable to transport equipment. We estimate that this exceptional factor (delayed aircraft deliveries) would have dampened first-quarter growth by 0.3 percentage points and is likely to be recouped subsequently. Indeed, production in the sector shows no signs of slowing down and the order book is full. A rebound in exports is therefore plausible, but would be spread over the coming quarters, as ramp-up typically takes time.

An upside risk to our forecast for the second quarter, despite uncertainties that are likely to weigh on the outlook. We recently revised our growth forecast for the second quarter to 0% QoQ, since accelerating inflation (2.5% y/y in April according to the harmonised index) should lead to a decline in household consumption, a view we maintain. Household confidence fell by 5 points mom in April 2026, with a sizeable decline in the opportunity to make major purchases. Following a decrease by 0.1% QoQ in the first quarter, we expect consumption to contract by 0.3% QoQ in Q2 according to our forecasts and to stagnate in 2026. However, the likely rebound in exports introduces an upside risk to our forecast. Growth could therefore be slightly positive in both second and third quarters, and France would thus avoid recession.

Investment: cautious optimism, despite a poor first quarter and uncertainty. Investment took a hit in the first quarter of 2026, with a decline in business and household construction investment (which had strengthened in the second half of 2025) and a fall in public investment (due to the local election cycle and the late adoption of the 2026 Finance Act). Recent data, notably including an increase in housing starts observed over the last three months, nevertheless show that the trend towards improvement remains intact. Furthermore, structural trends, such as business investment in digital technology, continue to support growth and have led to a sharp rise in business creations (+14% y/y in Q1). Uncertainty surrounding the conflict in Iran and the scale of the monetary policy response (which will determine the extent of the ECB's rate hikes, +50 basis points in our scenario for 2026) is likely to weigh on investment intentions in the coming quarters. However, we expect investment growth to continue, albeit at a more moderate pace than in 2025 (+0.5% in 2026, compared with +0.8% in 2025).

Stéphane Colliac
Head of the 'Advanced Economies' team, France Economist
stephane.colliac@bnpparibas.com

CHART OF THE WEEK

29 April 2026

ITALY'S STRATEGIC IMPORT RISK: SAME EXPOSURE AS EUROPE, DEEPER FAULT LINES IN ENERGY

Simona Costagli

Italy's strategic import risk: same exposure as Europe, deeper fault lines in energy

Weight of strategic import in some EU countries

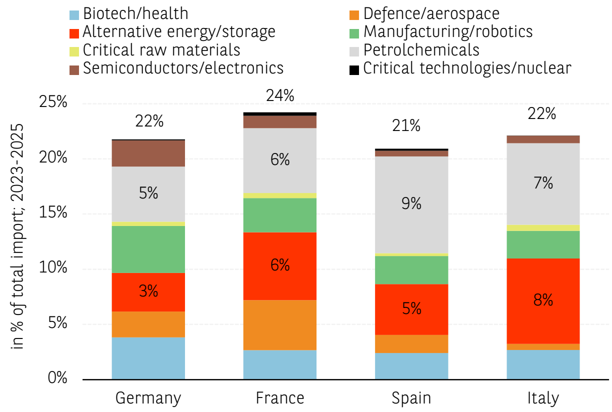

CHART 1 SOURCE: ISTAT

Distribution of strategic imports by political stability of supplier countries

(1st quintile = low risk; 5th quintile = high risk)

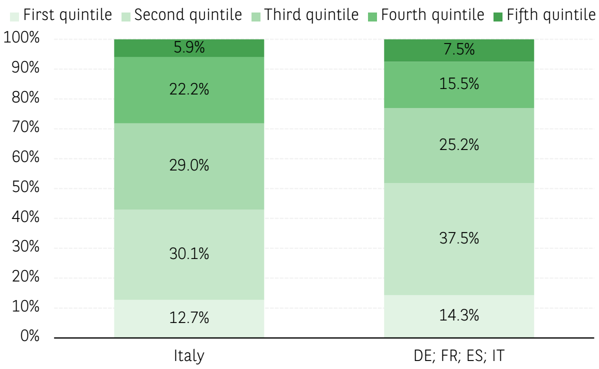

CHART 2 SOURCE: ISTAT

EU's main strength and weakness: being open to trade... The trade openness of EU countries represents both a strength and a weakness, making active initiatives necessary to enhance economic security. According to the World Bank, in 2024 the EU's trade openness[1] stood at 92%, compared with 25% for the United States and 37% for China. For Italy, the figure was 63%, among the highest among Member States, with particularly strong exposure to extra-EU demand. The evolution of the international geopolitical and economic context, together with the country's dependence on the import of energy materials, suggests that careful consideration should be given to the potential vulnerability of Italian imports to possible total or partial disruptions in the external supply of strategically significant products.

Identifying strategic imports in the EU. In the area of economic security, the EU, through the STEP platform (Strategic Technologies for Europe Platform), has identified three priority macro-sectors of strategic technological importance: digital and deep-tech technologies; clean and resource-efficient technologies; and biotechnology[2]. Based on this framework, a recent study by Istat[3] identified the products of strategic importance for which a reduction or interruption of imports could compromise the economic security of the productive systems of Italy, France, Germany, and Spain.

The analysis, conducted for the period 2023–2025, found that strategically defined products account on average for more than 20% of the value of imports in all four countries , with France showing the highest share (24.2%) (*see top chart*). Germany imports proportionally larger shares of pharmaceutical and medical products, machinery and industrial robots, and electronic products. France's imports of strategic goods are more concentrated in defence and aerospace, while Spain and Italy are the countries that import more raw materials and technologies related to alternative energy (i.e., the cornerstone of the EU's energy transition policy).[4]

China controls the main share of EU strategic imports. Over the three years examined, and with reference to the total value of strategic imports, China is the main supplier of strategic products imported by the four EU countries (with a share of 9.3%). The Asian country is particularly significant for Italy (11.3% of strategic imports) and Germany (9.3% of strategic imports). China's role is predominant in the machinery and industrial robotics sector, where it accounts for more than 20% of the value of sectoral strategic imports in both Germany and Italy.

Another relevant aspect of strategic dependence concerns the degree of political risk associated with supplier countries. Based on the World Bank's Worldwide Governance Indicators[5], the same Istat study finds that the four countries examined purchase just under 50% of their strategic imports from suppliers classified as "high" or "upper-middle" political risk (on a risk scale divided into quintiles), while for Italy alone this share rises to 60% (*see bottom chart*).

Italy's composition of strategic import makes it more exposed to turbulence of geopolitics. Overall, judging by the imports' share, Italy depends on foreign suppliers of strategic products to a similar extent as the other main EU countries. Compared with Germany and France, however, the country shows greater dependence on external sources for energy materials (petrochemicals as well as alternative energy), which are more directly exposed – in terms of availability and, above all, prices – to the turbulence of international politics.

1 Trade openness is defined as the sum of exports and imports of goods and services as a share of GDP.
2 Strategic autonomy aims to achieve a high degree of independence in sectors, processes, and technologies that are defined as strategic, minimizing dependencies on external actors deemed politically unreliable or even hostile.
3 Istat, *Report on the competitiveness of industrial sectors 2026*, April.
4 The study identifies 317 products of strategic relevance, classified into eight groups based on their respective technical-physical or technological characteristics: Advanced manufacturing and robotics (62 products, 19.6% of the total); Critical raw materials (49 products, 15.5%); Alternative energy and storage (44 products, 13.9%); Semiconductors and electronics (44 products, 13.9%); Defence and aerospace (39 products, 12.3%); Biotechnology and health (33 products, 10.4%); Petrochemicals and basic chemicals (27 products, 8.5%); Critical technologies for nuclear energy (19 products, 6%).
5 The Worldwide Governance Indicators measure the quality of governance in over 200 countries and territories since 1996. The WGI aggregate hundreds of variables drawn from around 30 primary sources – including the Economist Intelligence Unit, Freedom House, the World Economic Forum, Varieties of Democracy (V-Dem), the African Development Bank, and the World Bank – summarizing them into six composite indicators: Voice and Accountability (VA); Political Stability and Absence of Violence/Terrorism (PV); Government Effectiveness (GE); Regulatory Quality (RQ); Rule of Law (RL); Control of Corruption (CC). Each indicator is expressed in terms of a standardized score and a percentile rank.

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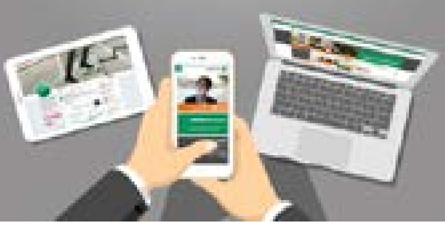

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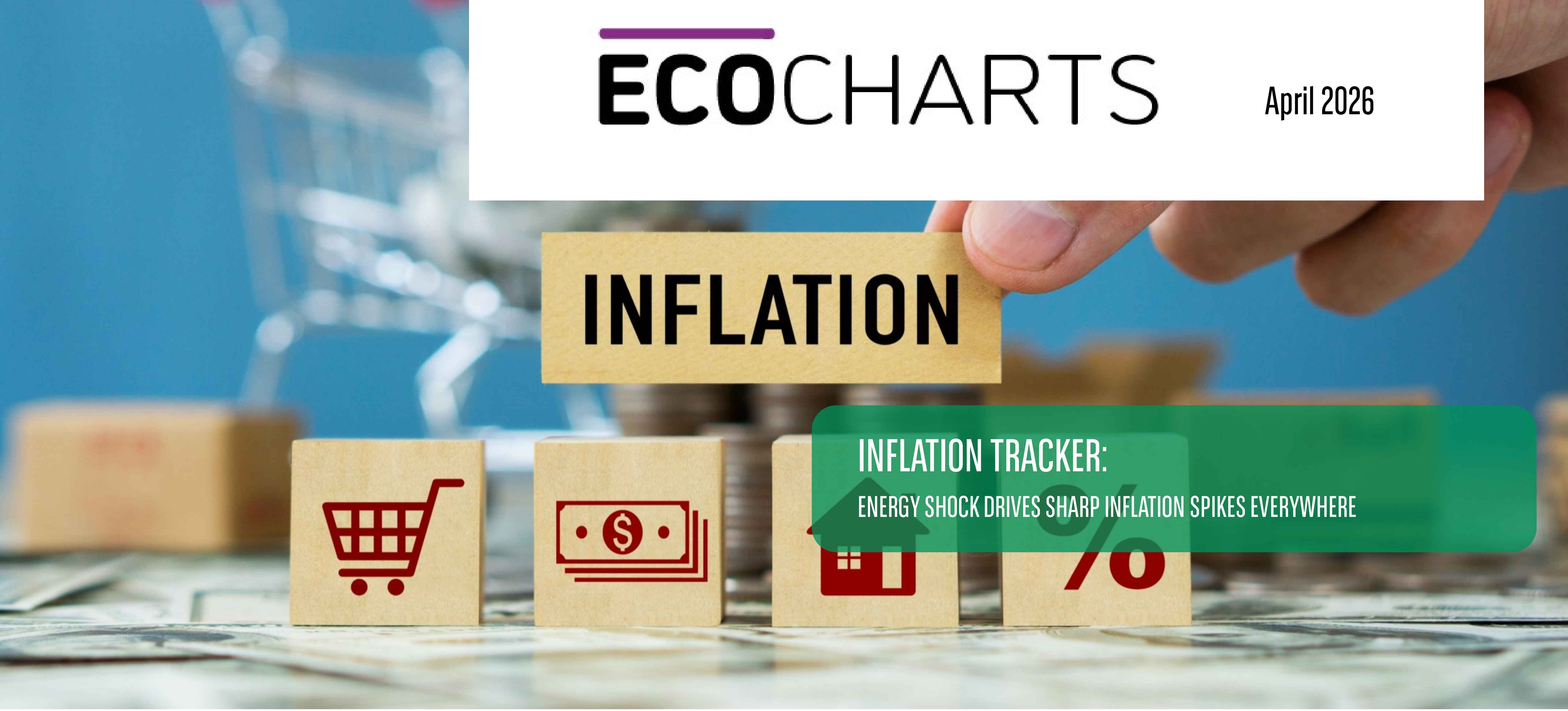


INFLATION TRACKER:

ENERGY SHOCK DRIVES SHARP INFLATION SPIKES EVERYWHERE

BNP PARIBAS

The bank for a changing world

General dynamics of inflation:

A clear rebound, driven by energy prices, now spreading across all countries

Inflation and survey data:

Price pressure indicators are surging, signaling an early warning for further sharp increases ahead

Inflation expectations (households, forecasters, markets):

For now, short-term inflation expectations – whether from households (especially in the US), forecasters, or markets – are rising noticeably. Longer-term expectations remain stable

Inflation-wage dynamics:

A wage-price spiral is unlikely at this stage, and the risk remains contained

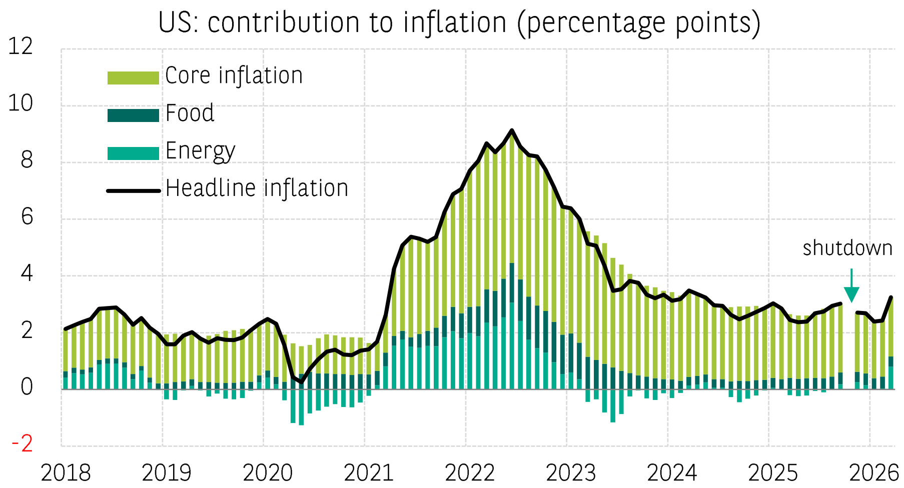
Commodities:

The Middle East conflict has pushed up oil prices and, to a far lesser extent, gas prices. These increases are now spilling over into industrial metals and agricultural products

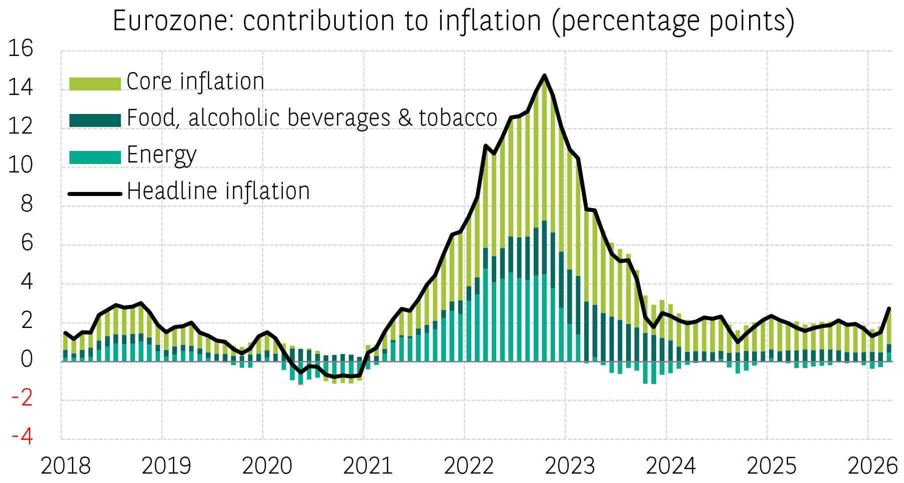
General dynamics of inflation:

A clear rebound, driven by energy prices, now spreading across all countries

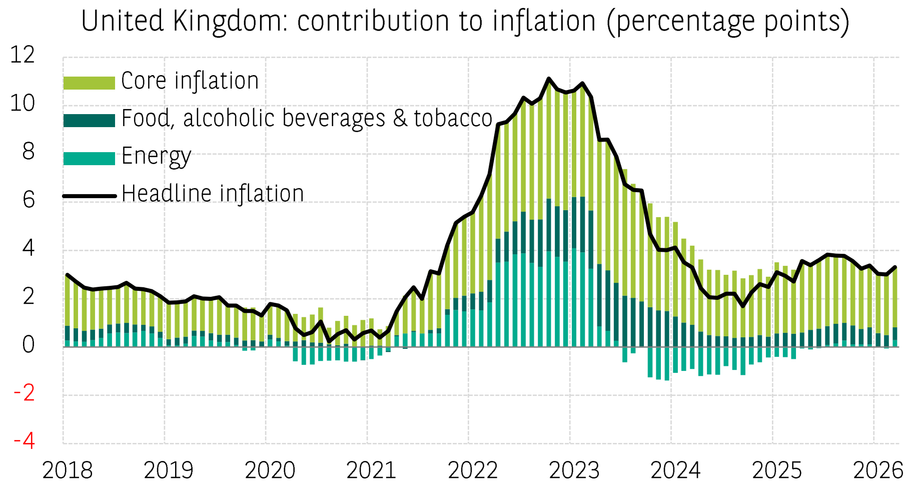
General dynamics of inflation: decomposition of inflation



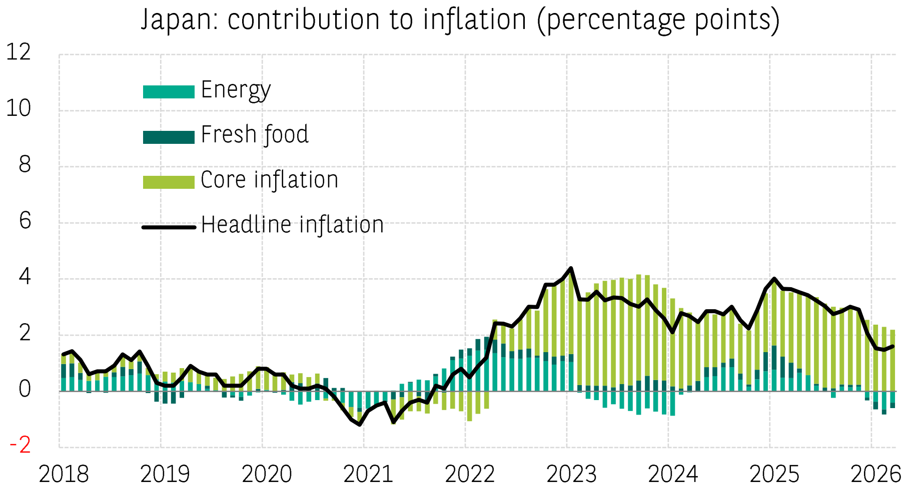
Source: BLS, BNP Paribas calculations



Source: Eurostat, BNP Paribas calculations



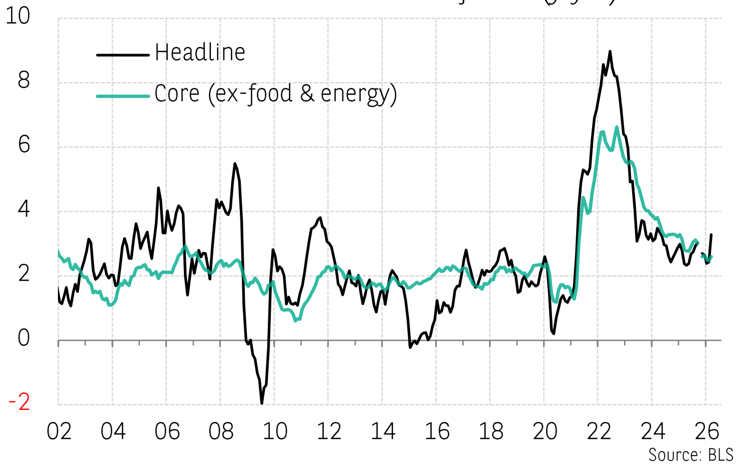
Source: ONS, BNP Paribas calculations



Source: Japan Statistics Bureau, BNP Paribas calculations

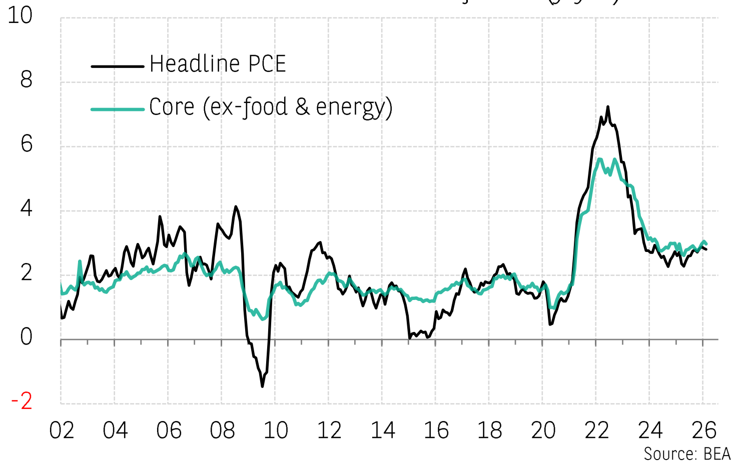
Inflation dynamics in the United States: different metrics and degree of generalisation

US: headline and core CPI inflation (y/y %)



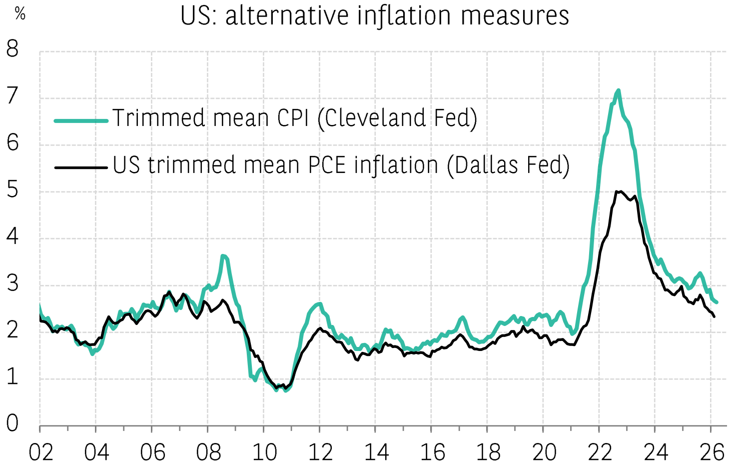
Source: BLS

US: headline and core PCE inflation (y/y %)



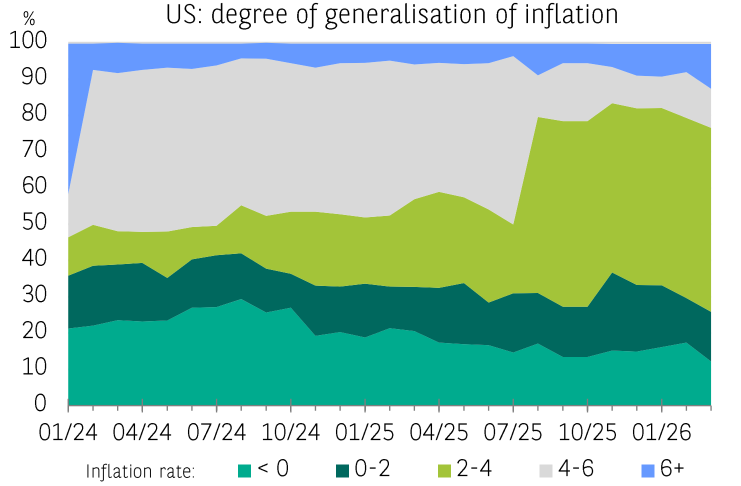
Source: BEA

US: alternative inflation measures



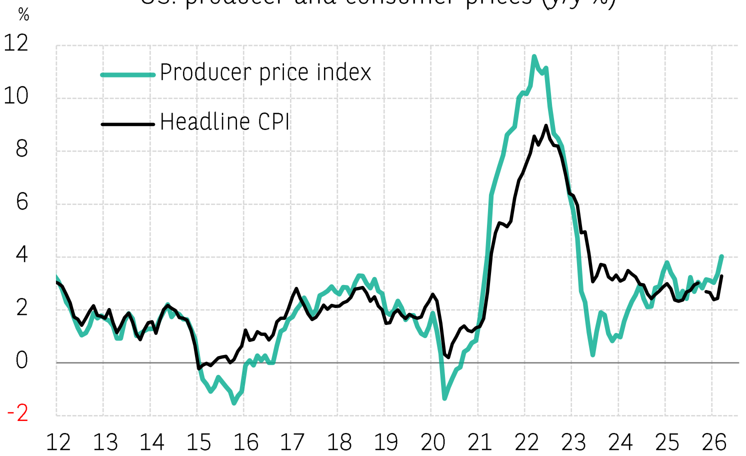
Source: BLS, Dallas Fed, Cleveland Fed

US: degree of generalisation of inflation



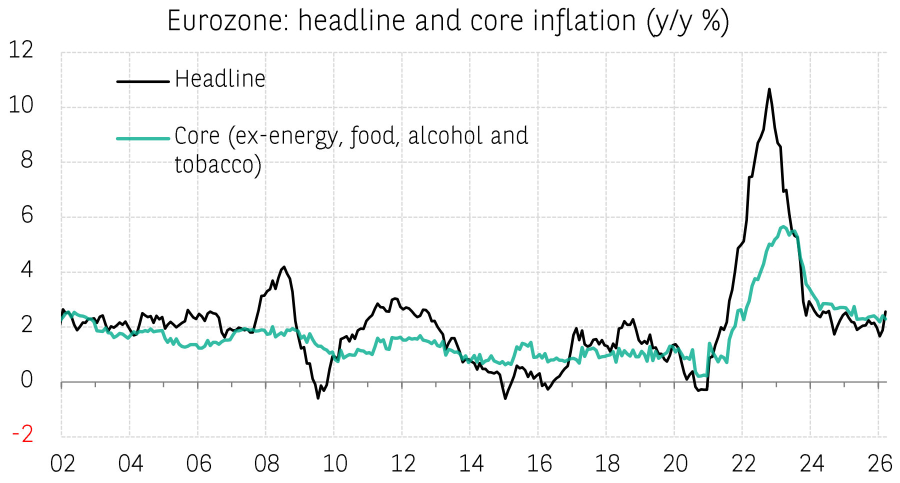
Source: BLS, BNP Paribas calculations

US: producer and consumer prices (y/y %)

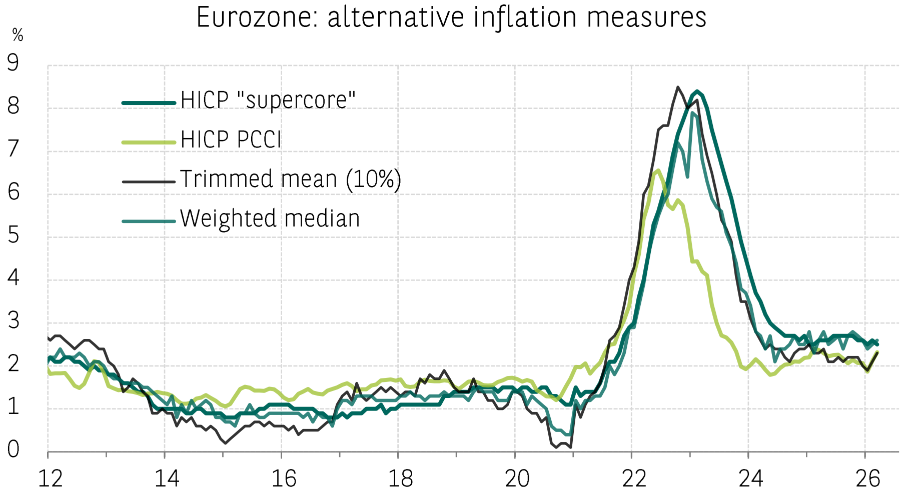


Source: BLS

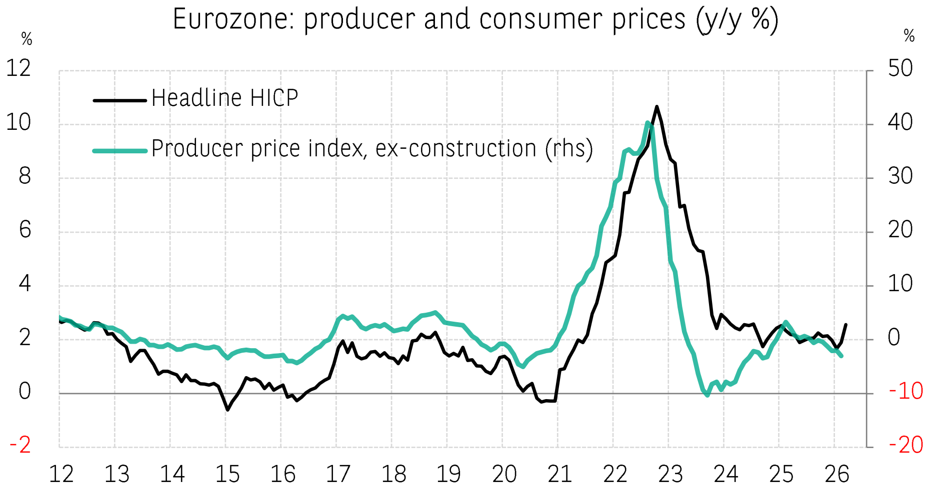
Inflation dynamics in the Eurozone: different metrics and degree of generalisation



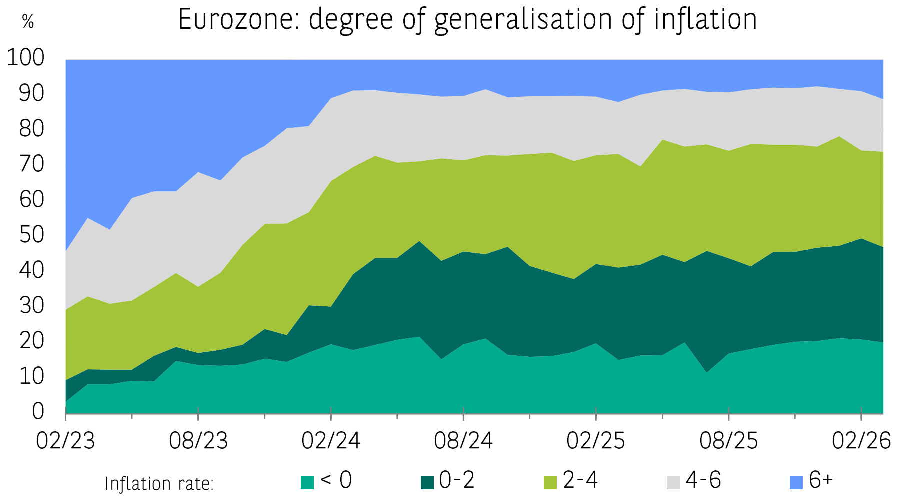
Source: Eurostat



Source: Eurostat, ECB

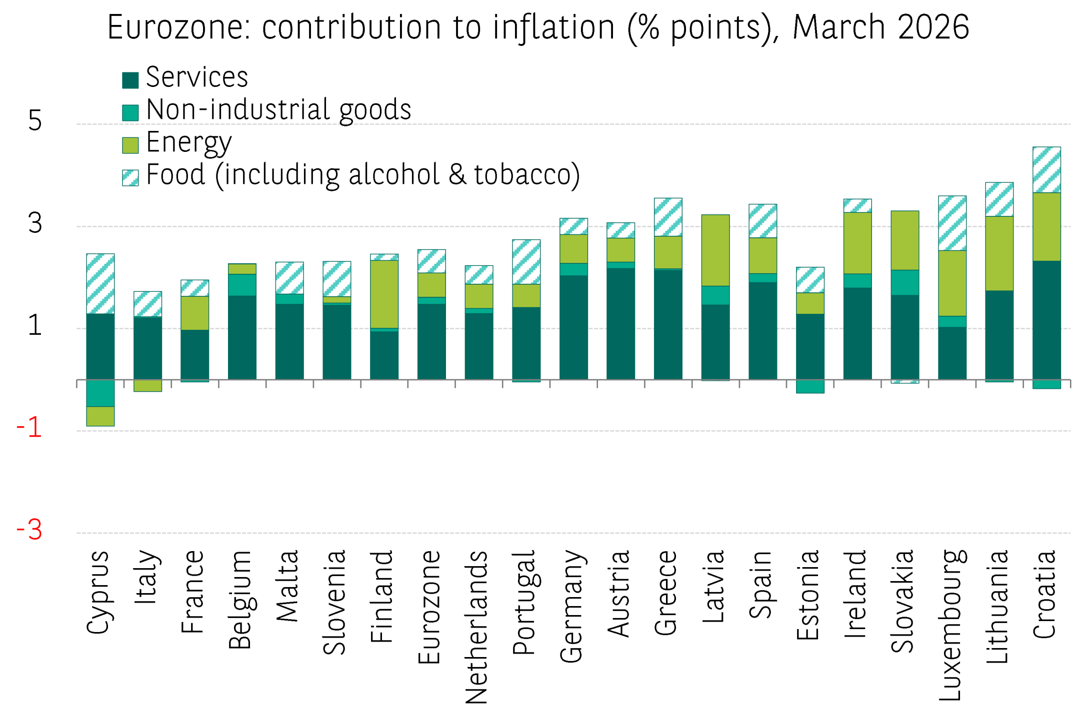


Source: Eurostat

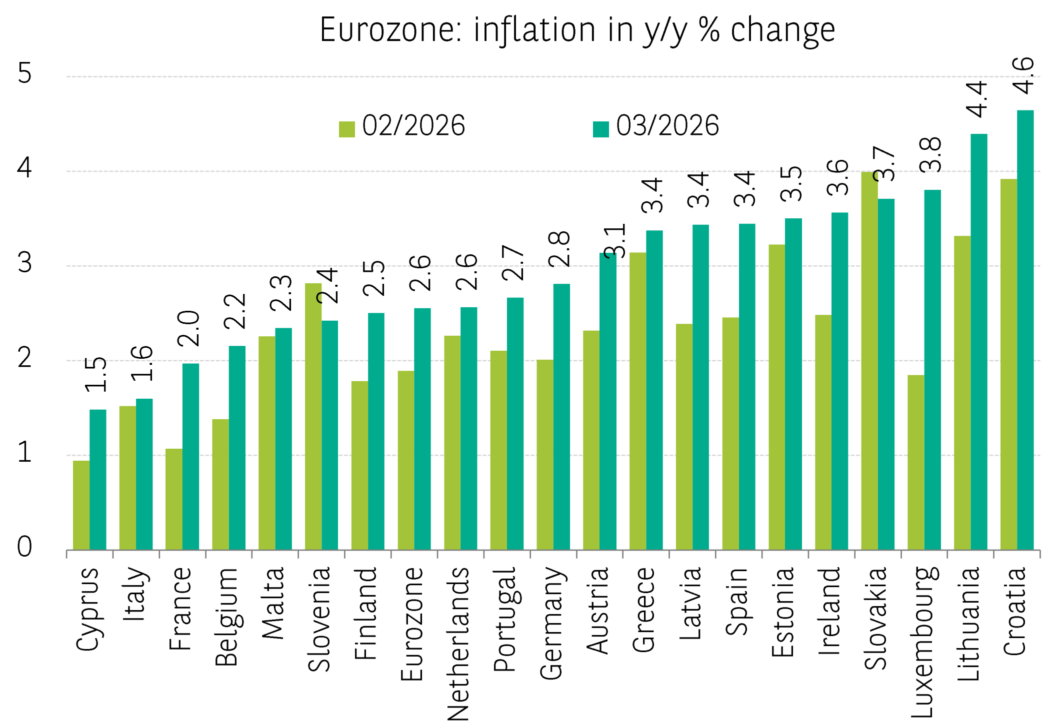


Source: Eurostat, BNP Paribas calculations

Inflation dynamics in the Eurozone by country (1)

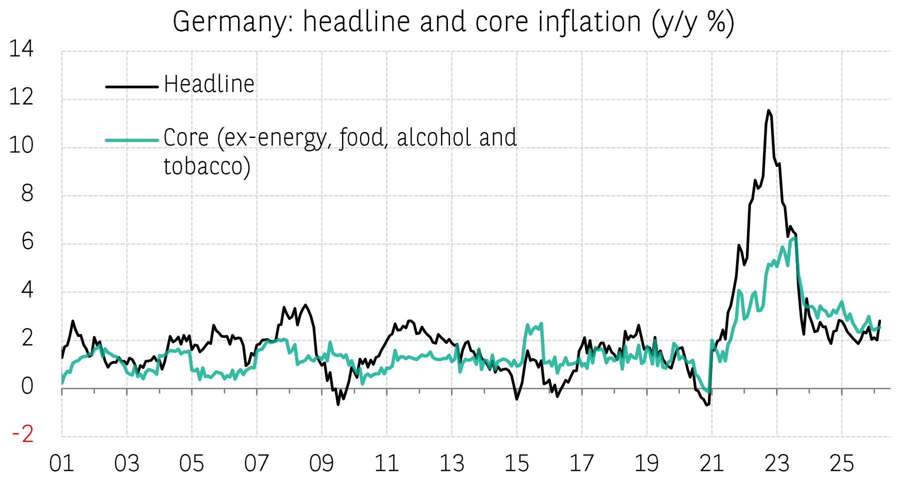


Source: Eurostat

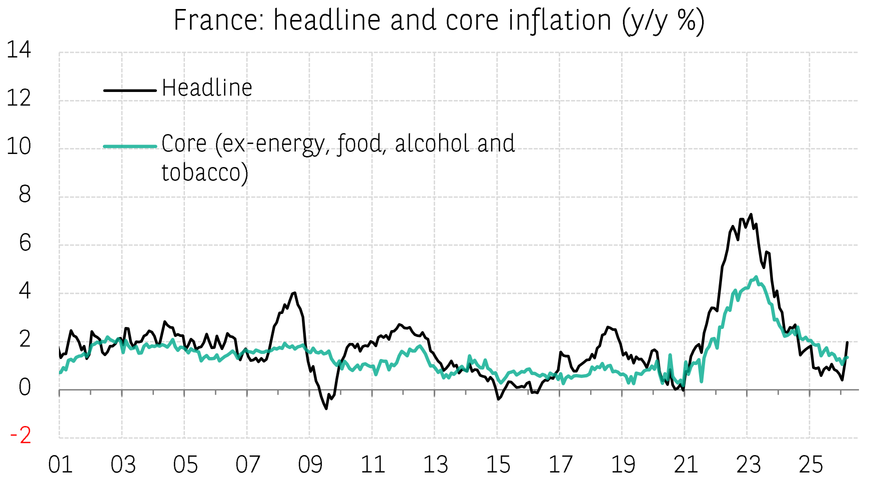


Source: Eurostat

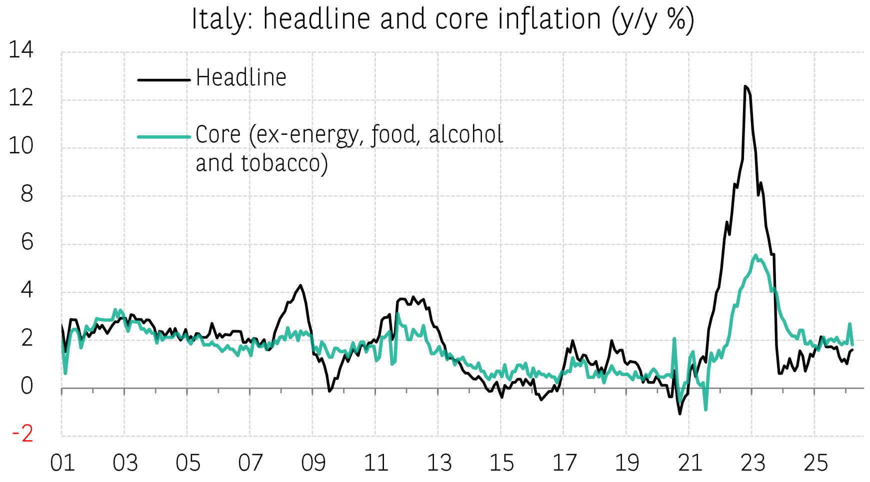
Inflation dynamics in the Eurozone by country (2)



Source: Eurostat



Source: Eurostat



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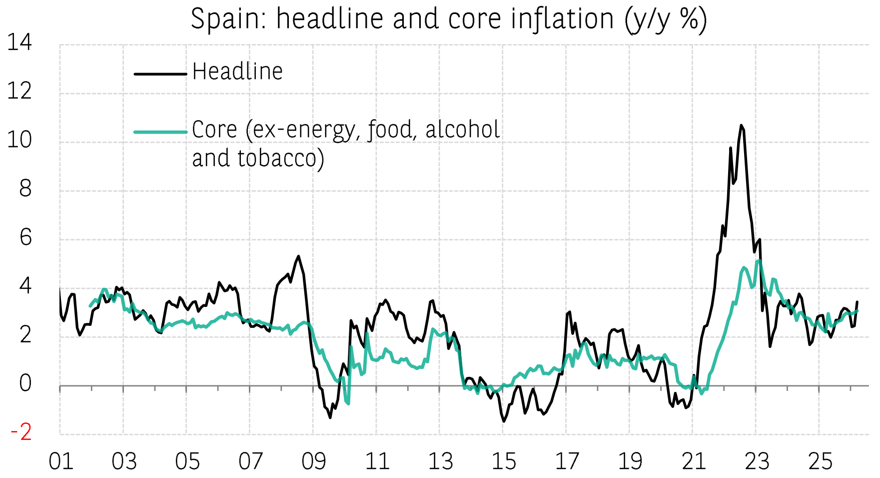
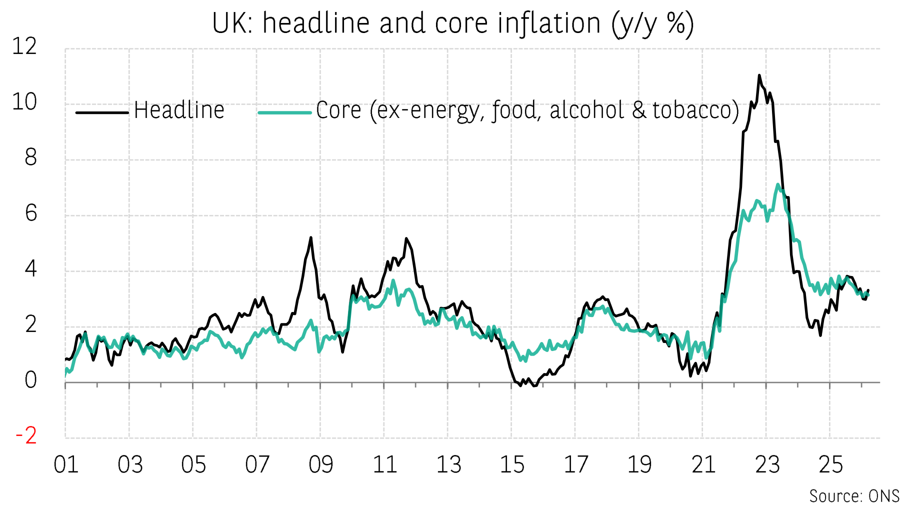
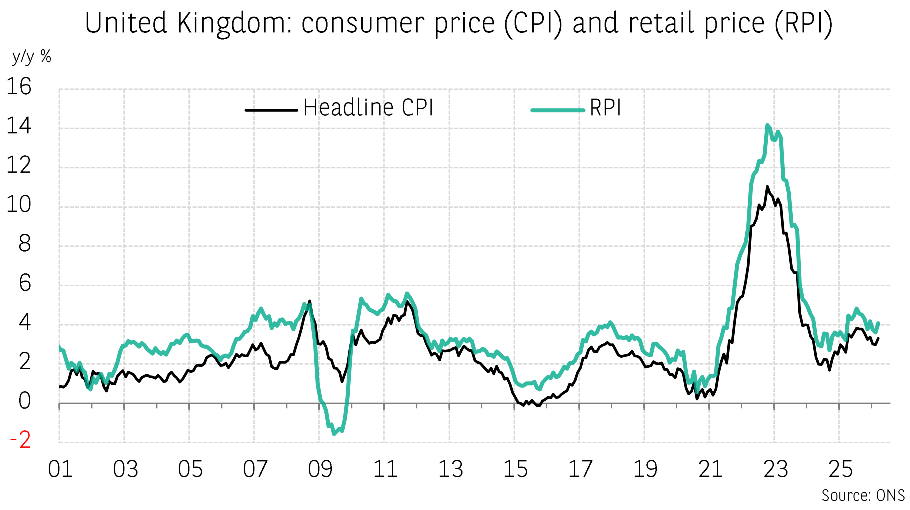
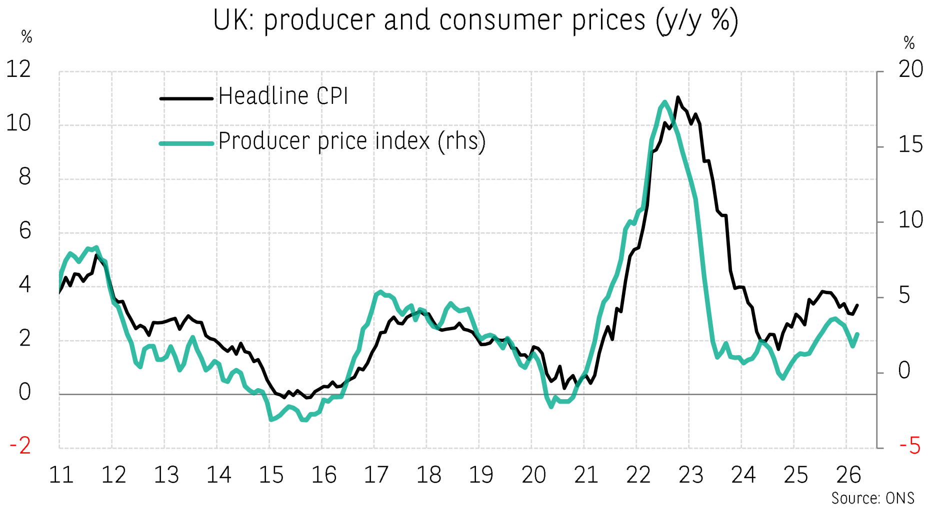


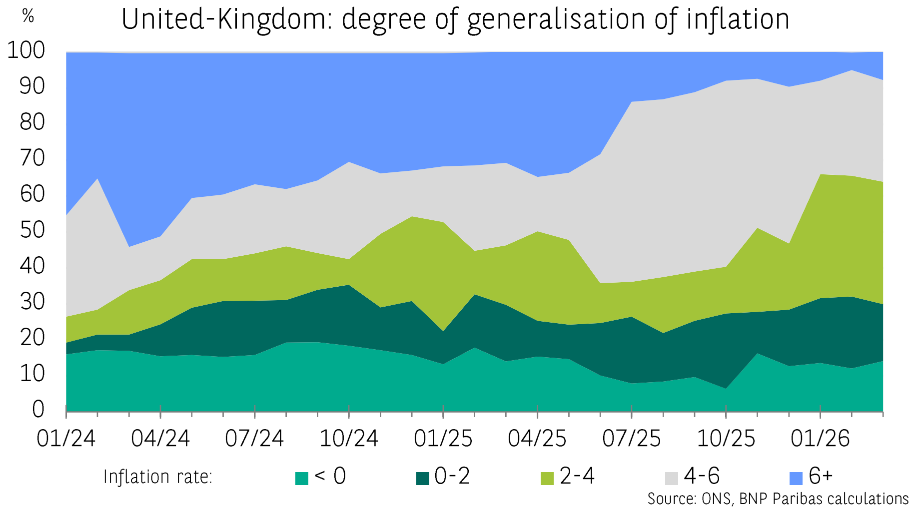
Source: Eurostat

Inflation dynamics in the United Kingdom: different metrics and degree of generalisation



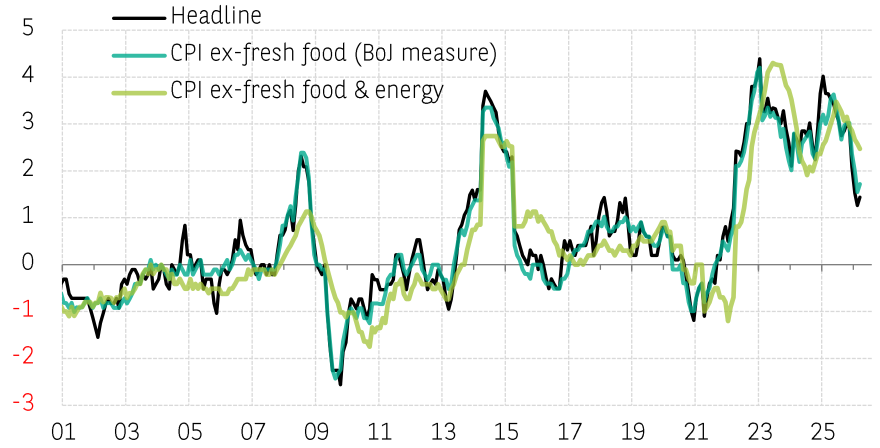






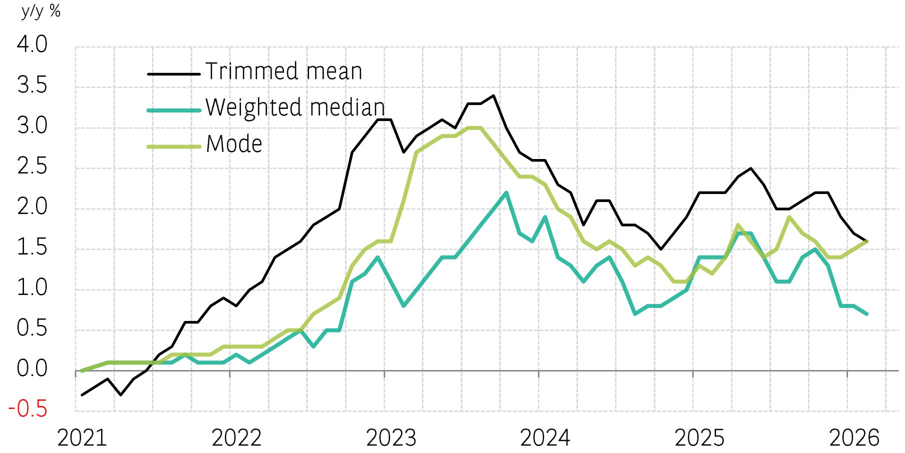
Inflation dynamics in Japan: different metrics and degree of generalisation

Japan: headline and core inflation (y/y %)



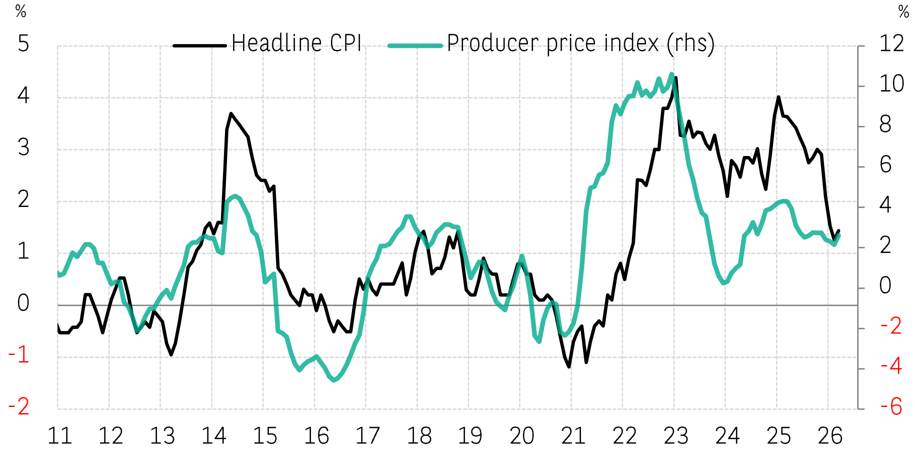
Source: Statistics Bureau of Japan

Japan: alternative inflation measures



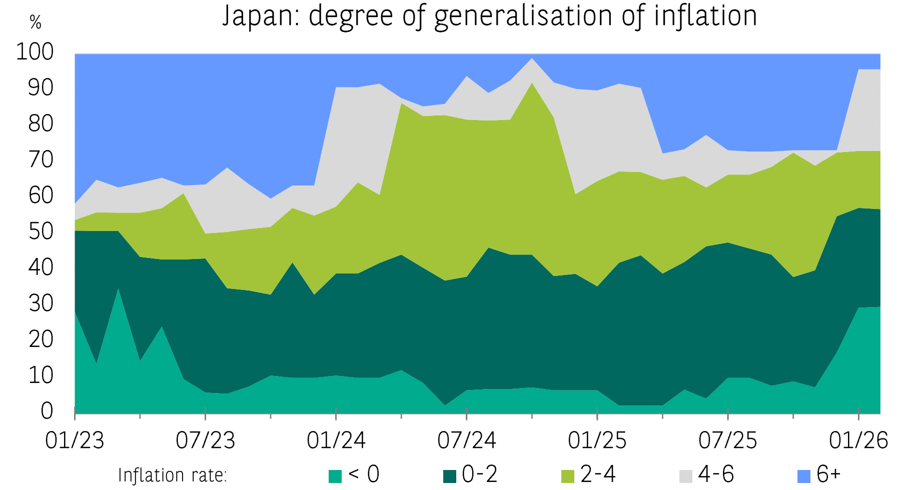
Source: Bank of Japan

Japan: producer and consumer prices (y/y %)



Source: Japan Statistics Bureau, BOJ

Japan: degree of generalisation of inflation

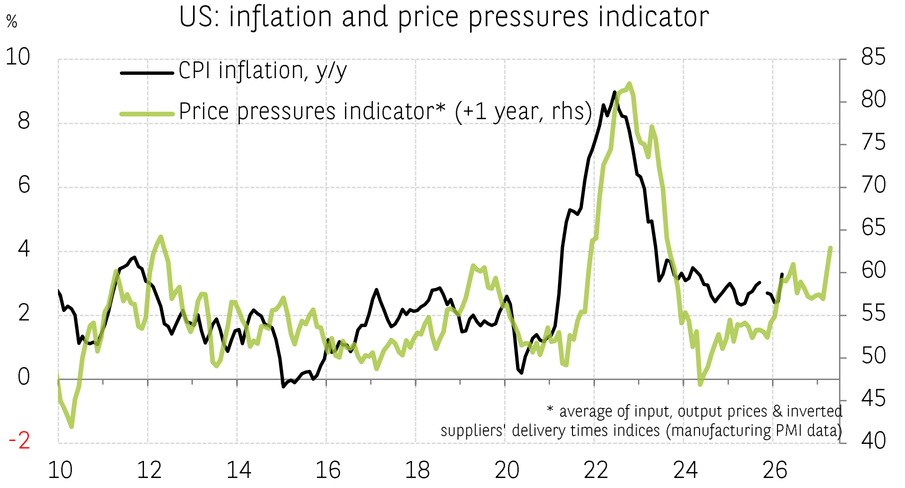


Source: Bureau des Statistiques du Japon, calculs BNP Paribas

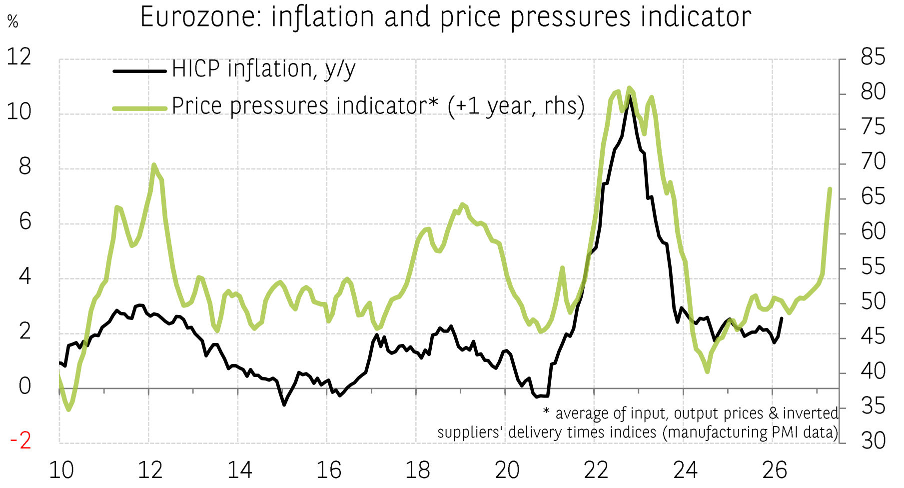
Inflation and survey data:

Price pressure indicators are surging, signaling an early warning for further sharp increases ahead

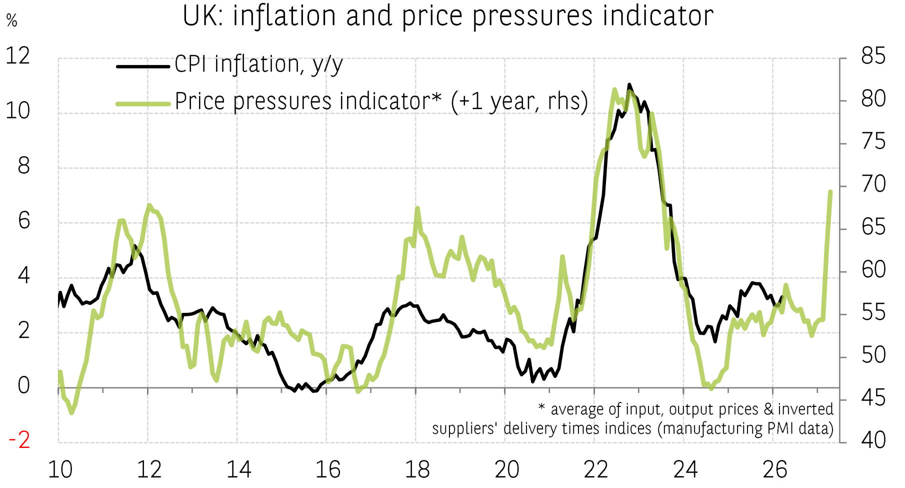
PMI surveys: an indication of inflationary pressures



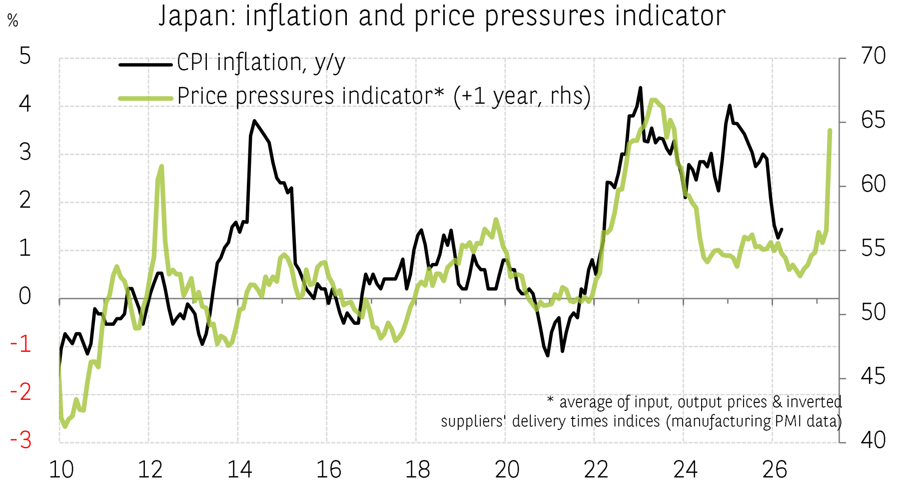
Source: BLS, S&P Global



Source: Eurostat, S&P Global



Source: ONS, S&P Global

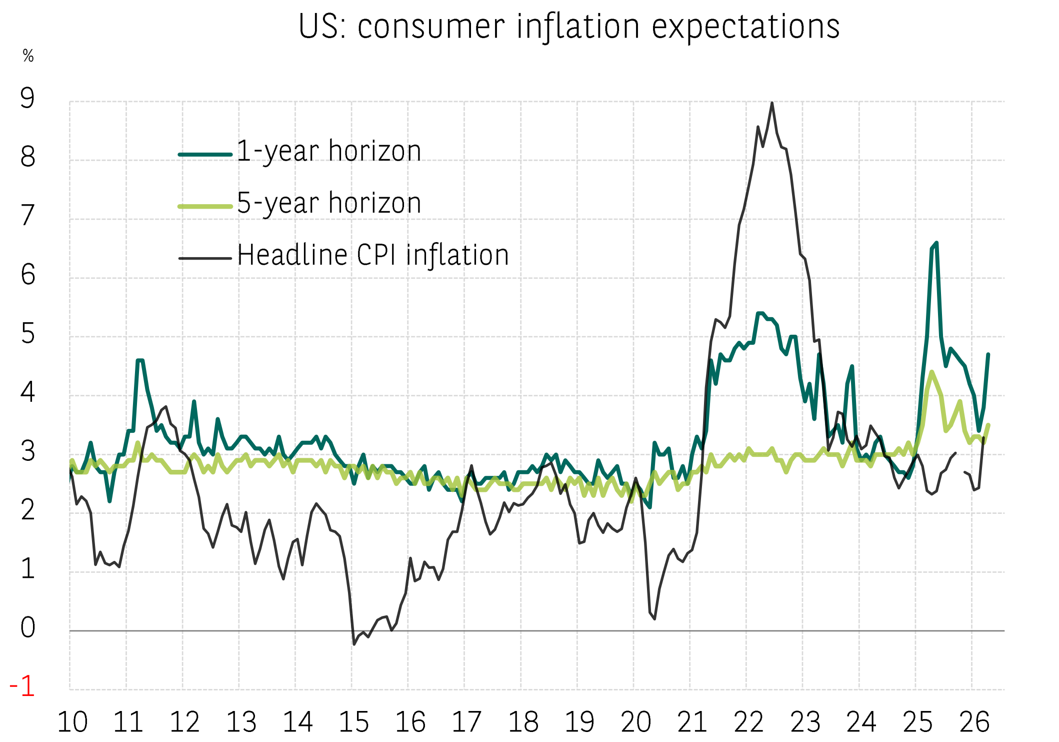


Source: Statistics Bureau of Japan, S&P Global

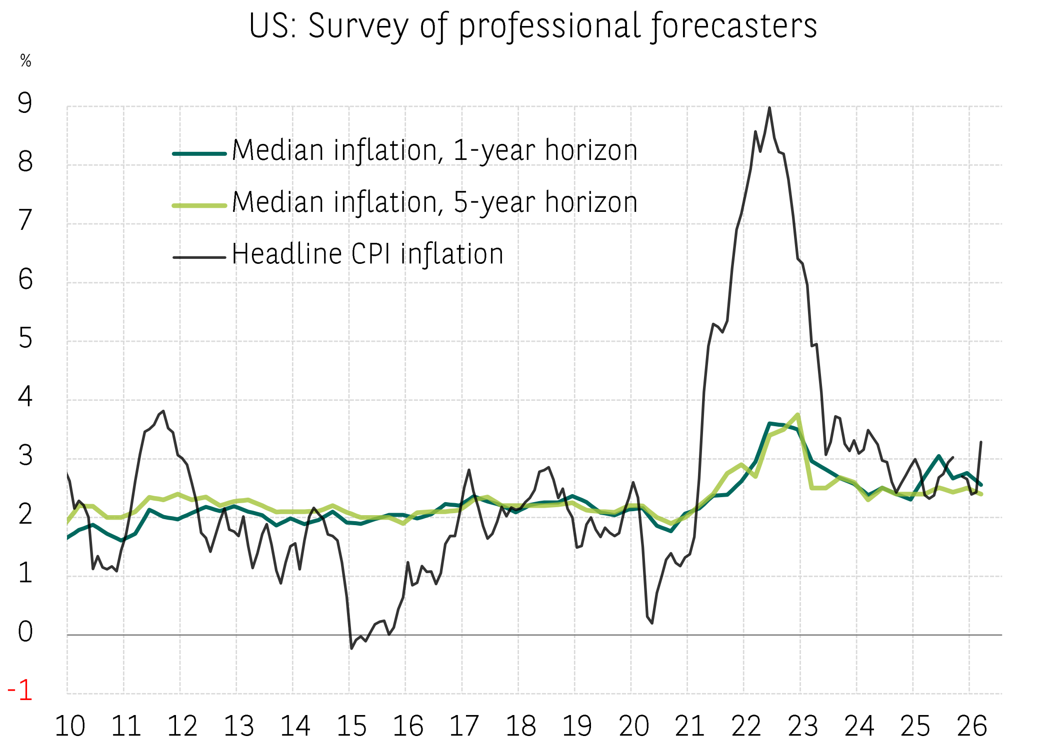
Inflation expectations (households, forecasters, markets):

For now, short-term inflation expectations – whether from households (especially in the US), forecasters, or markets – are rising noticeably. Longer-term expectations remain stable.

Inflation expectations in the United States

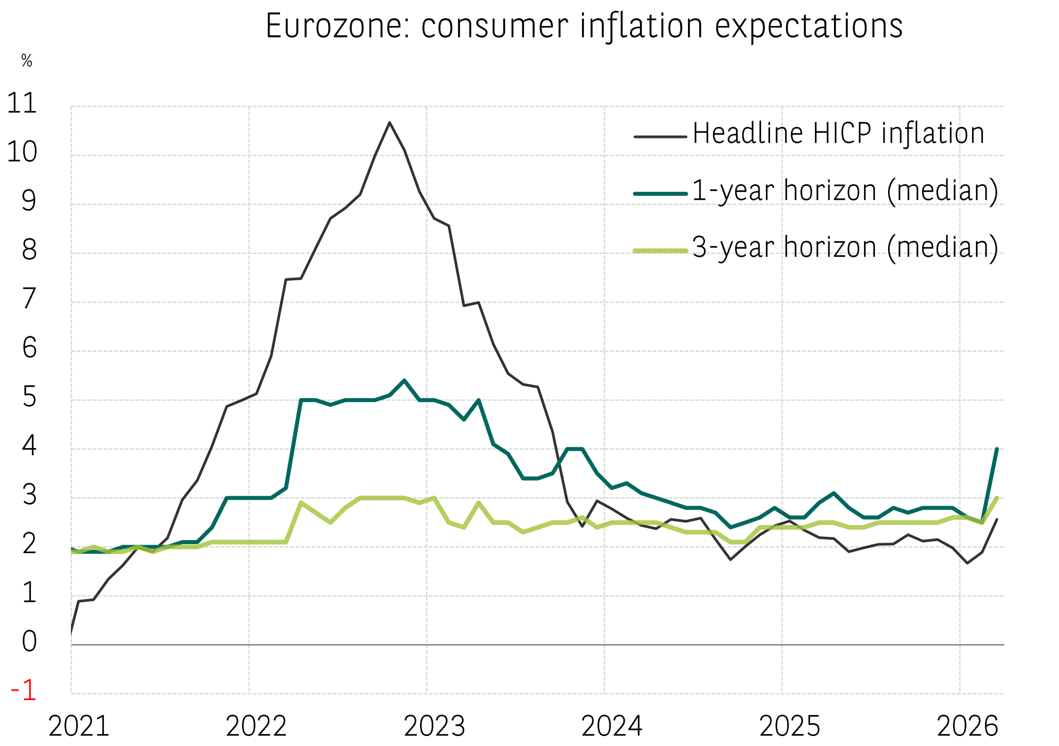


Source: University of Michigan, BLS

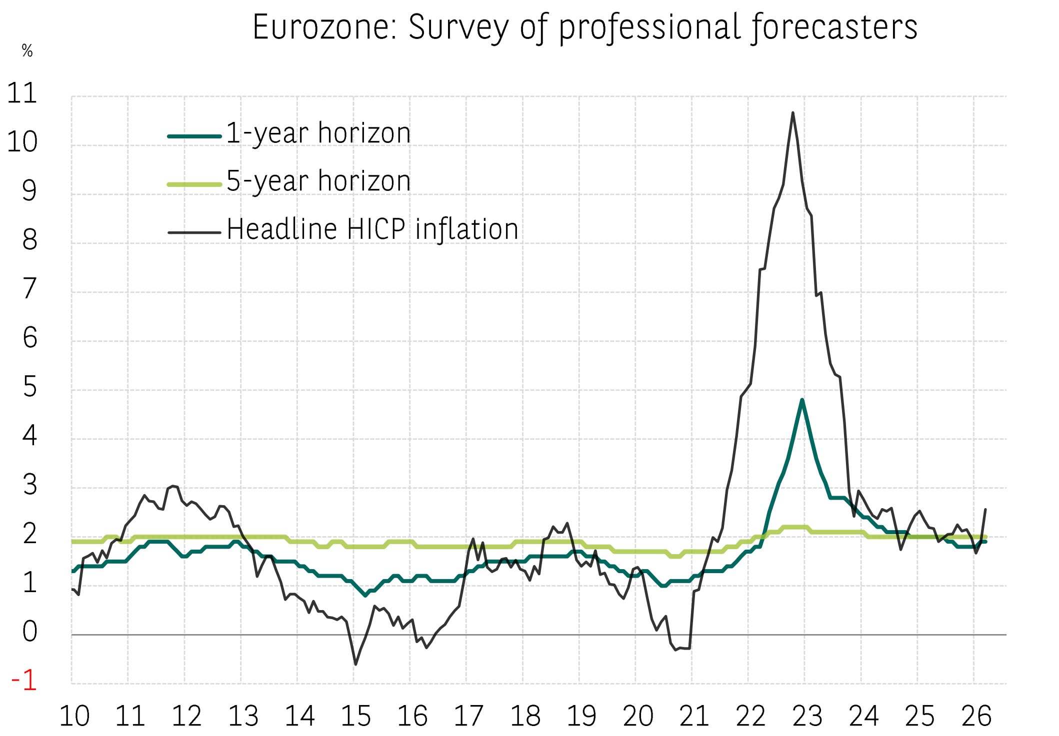


Source: Philadelphia Fed (SPF), BLS

Inflation expectations in the Eurozone

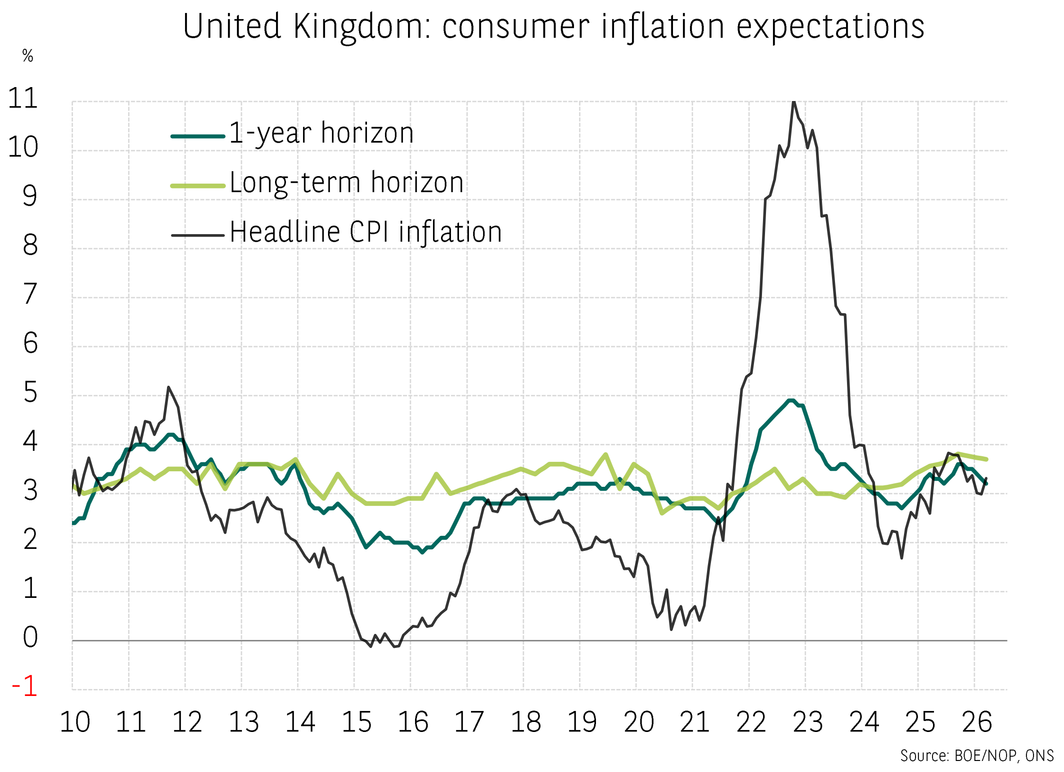


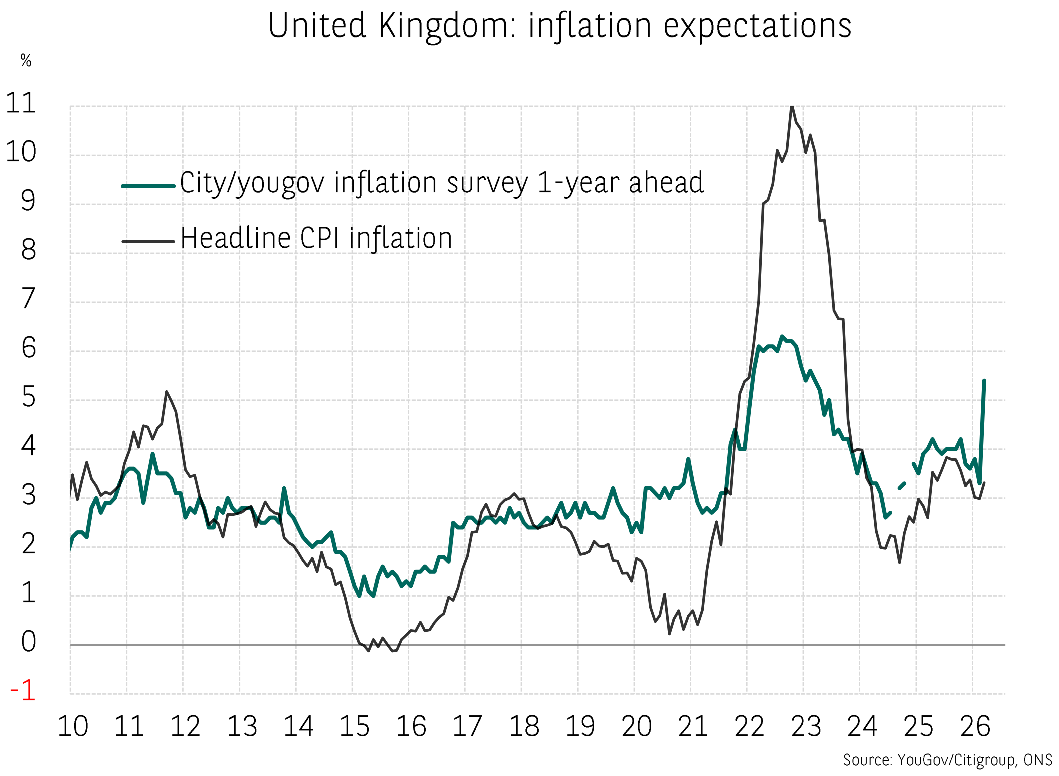
Source: Eurostat, ECB (CES survey)



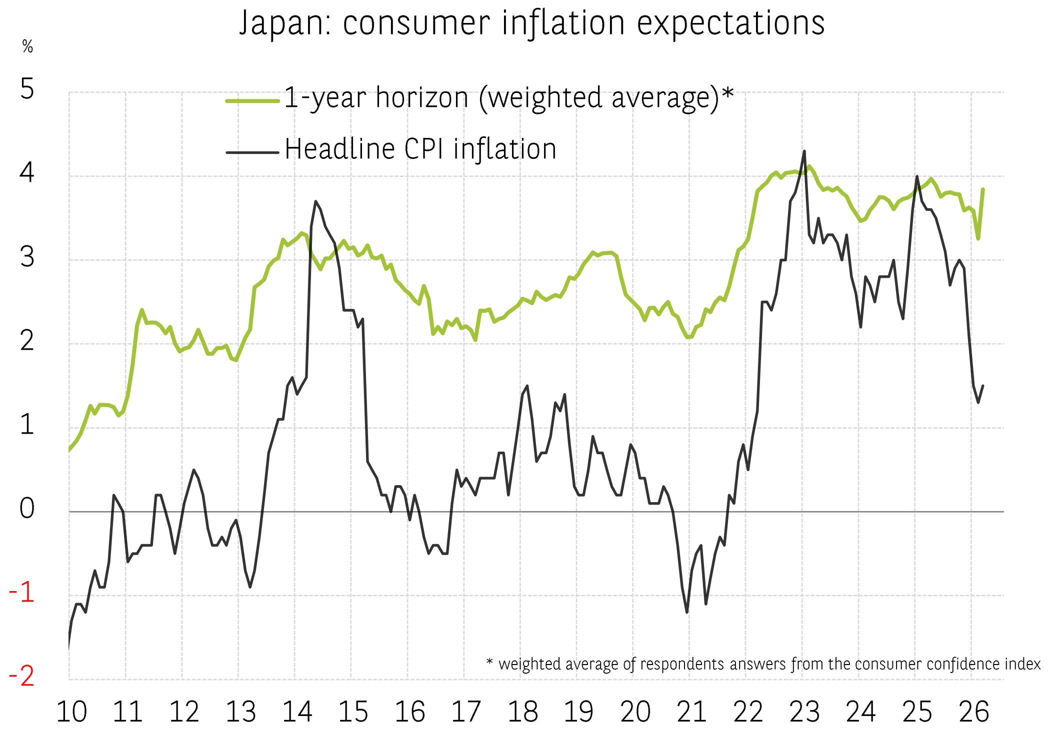
Source: ECB (SPF), Eurostat

Inflation expectations in the United Kingdom

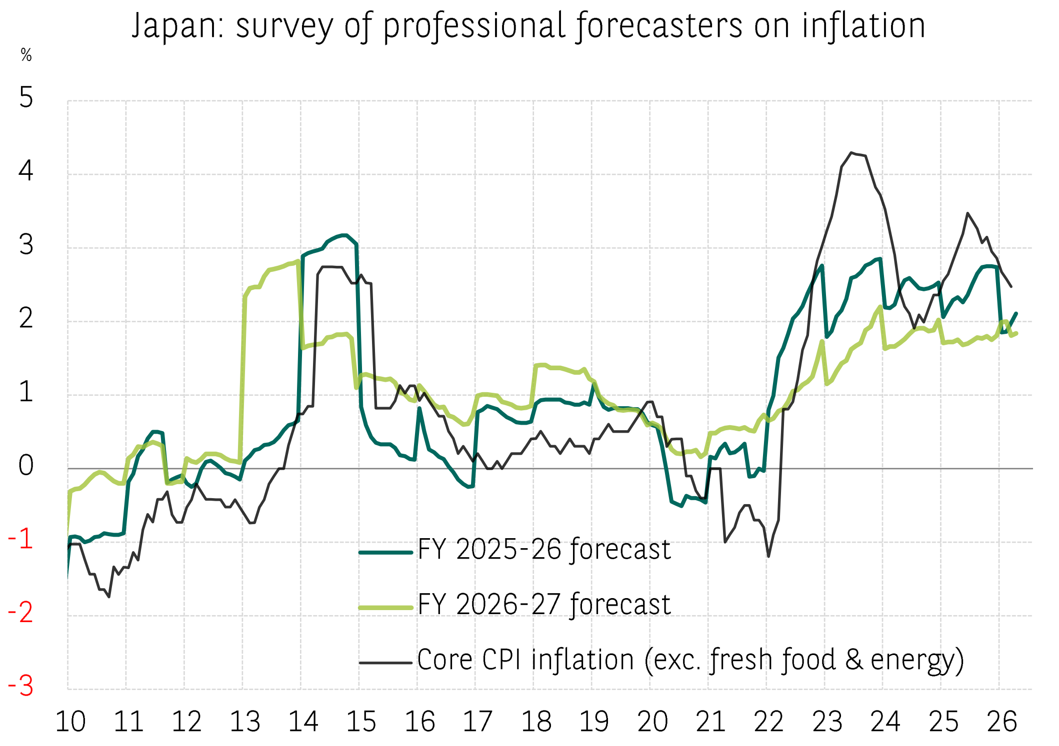




Inflation expectations in Japan

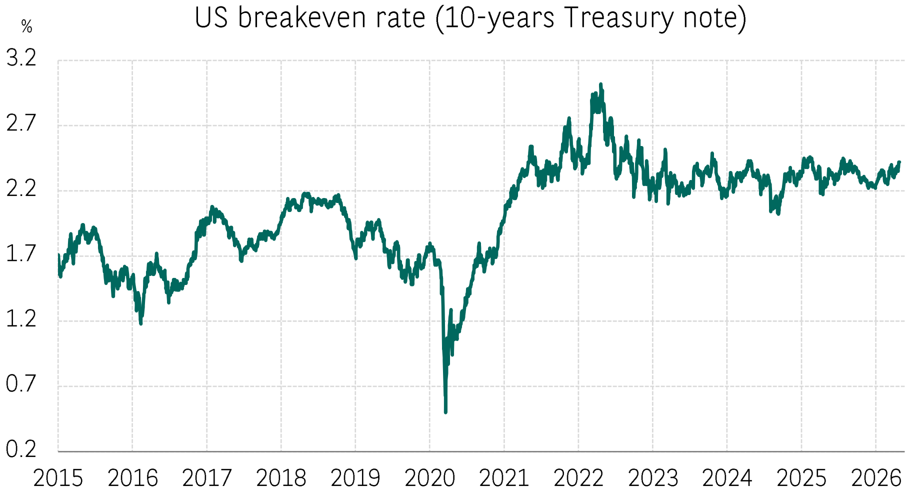


Source: Statistics Bureau of Japan, Cabinet Office

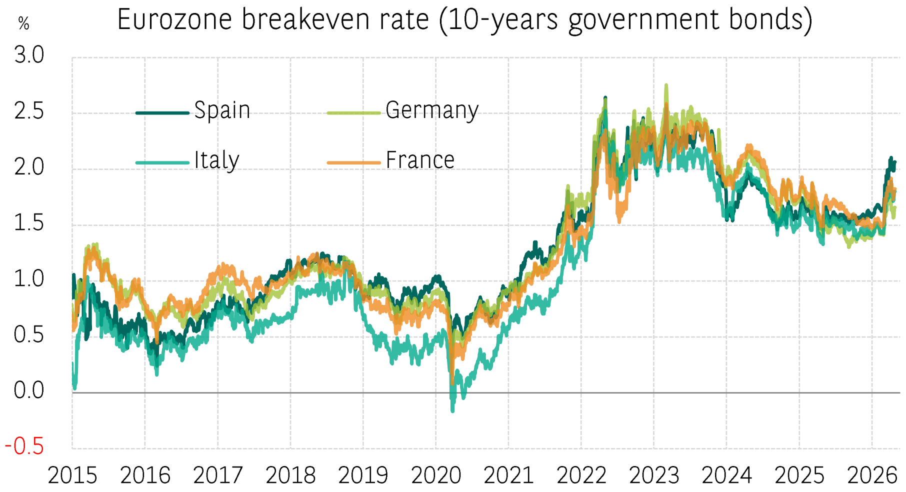


Source: Japan Center of Economic Research, Jaan Bureau of Statistics

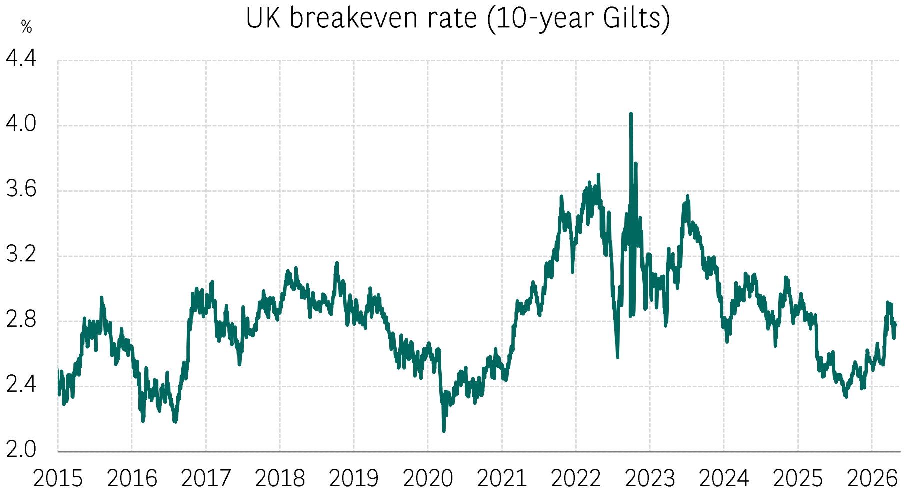
Market expectations: breakeven inflation rate



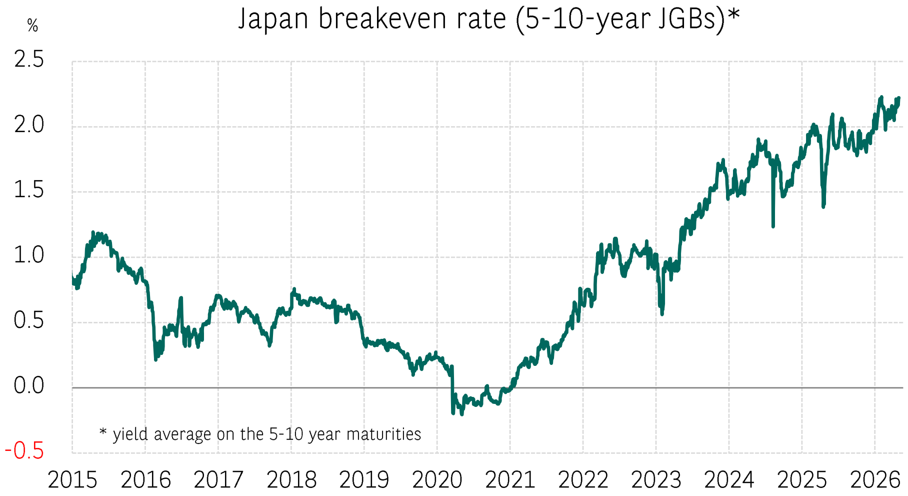
Source: Federal Reserve



Source: Refinitiv, iBoxx

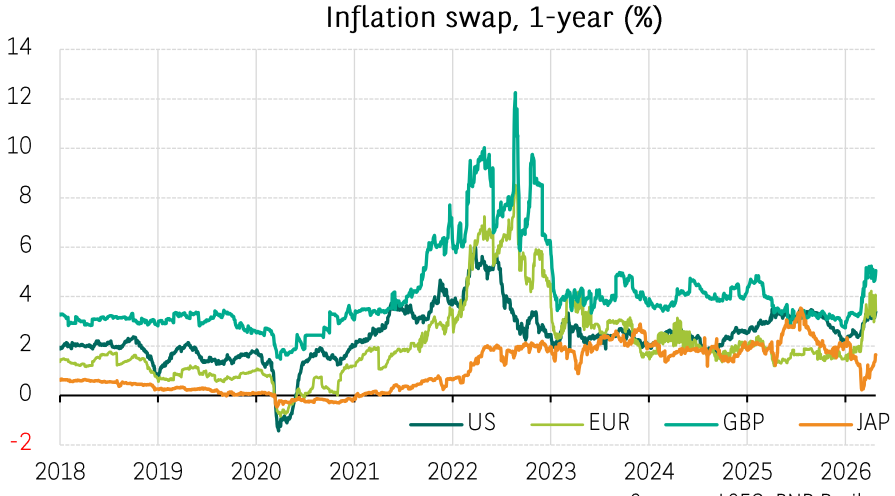


Source: Refinitiv, iBoxx

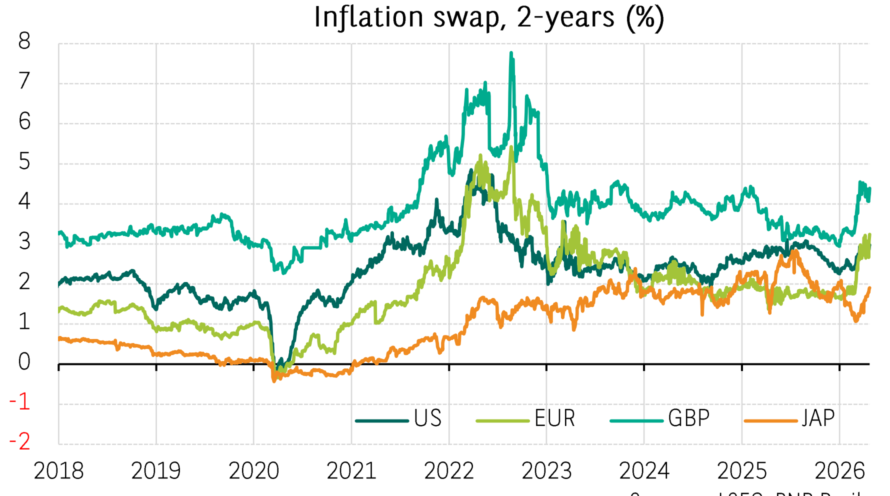


Source: Refinitiv, iBoxx

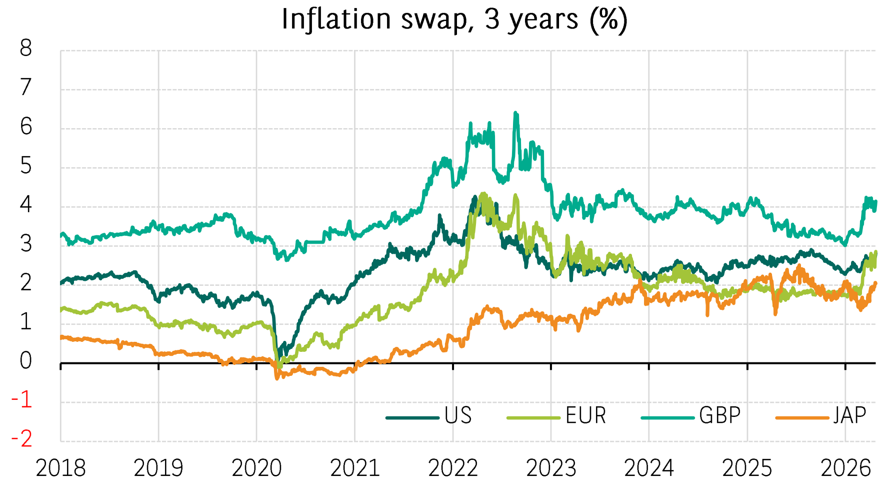
Market expectations: swap rate



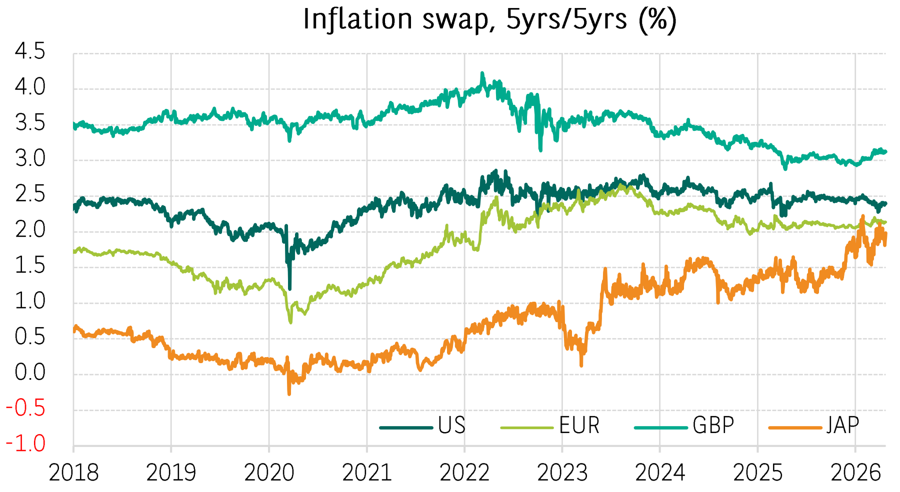
Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas

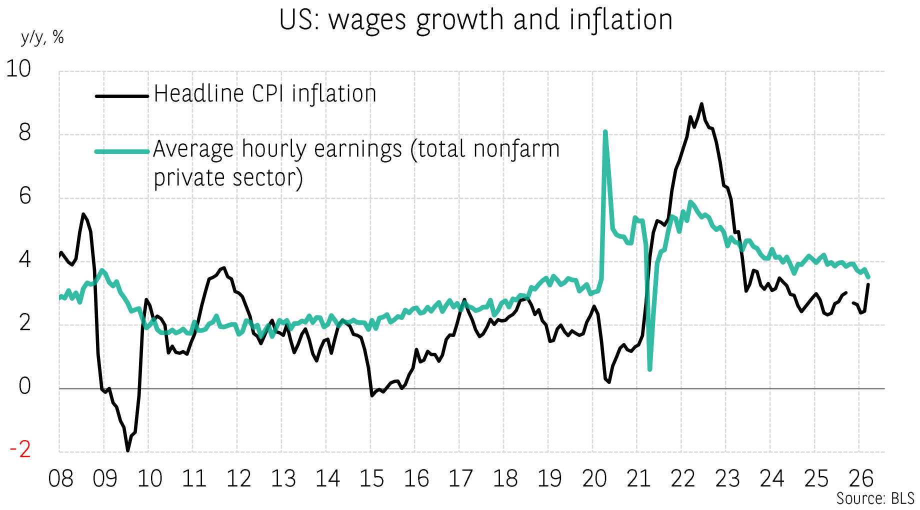


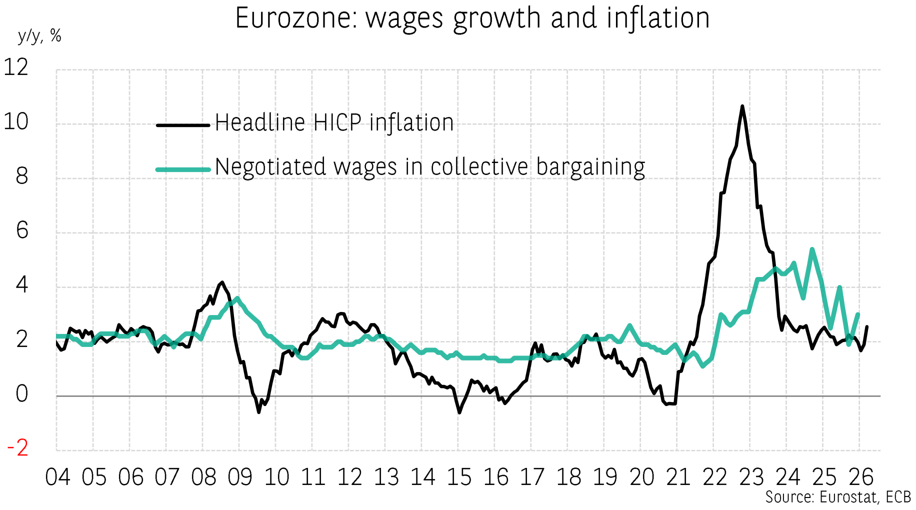
Sources : LSEG, BNP Paribas

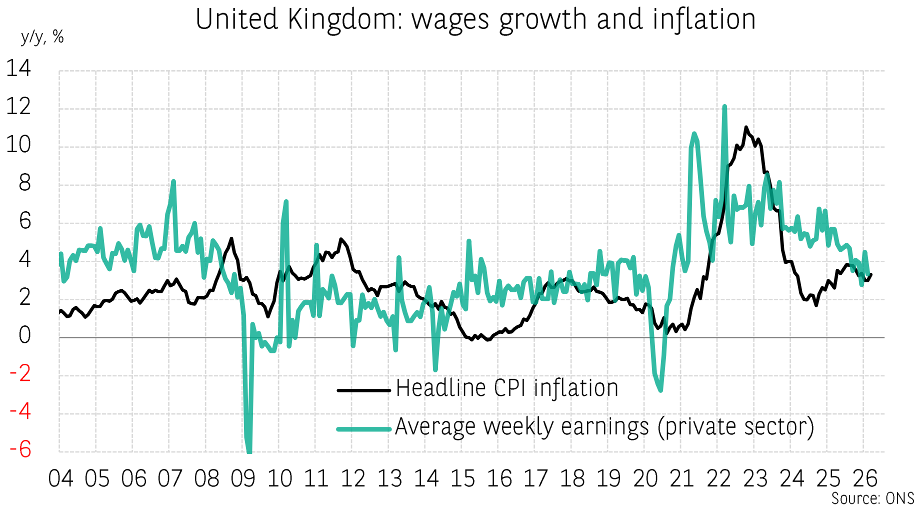
Inflation-wage dynamics:

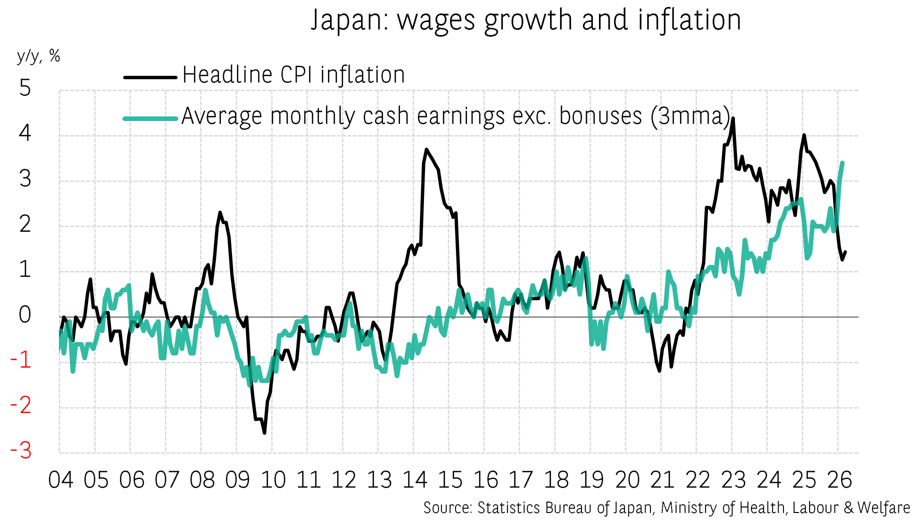
A wage-price spiral is unlikely at this stage, and the risk remains contained

Inflation-wage dynamics





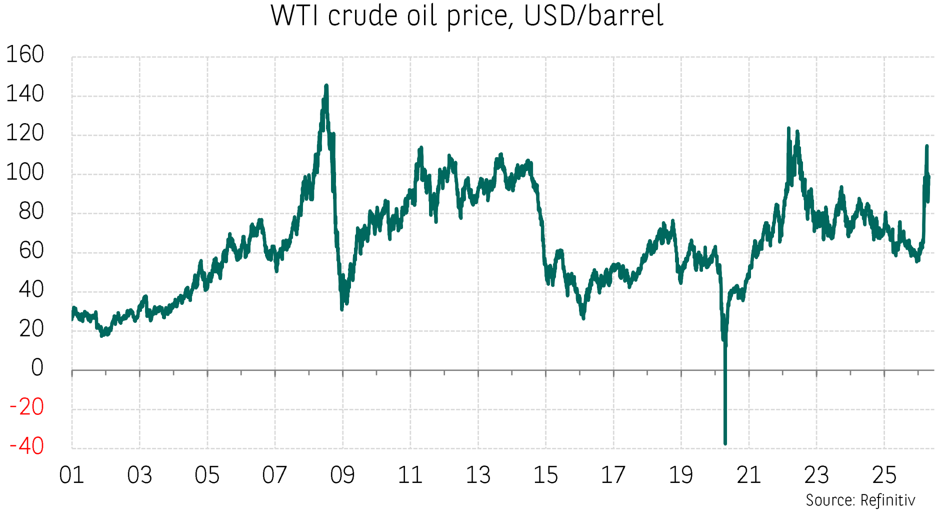


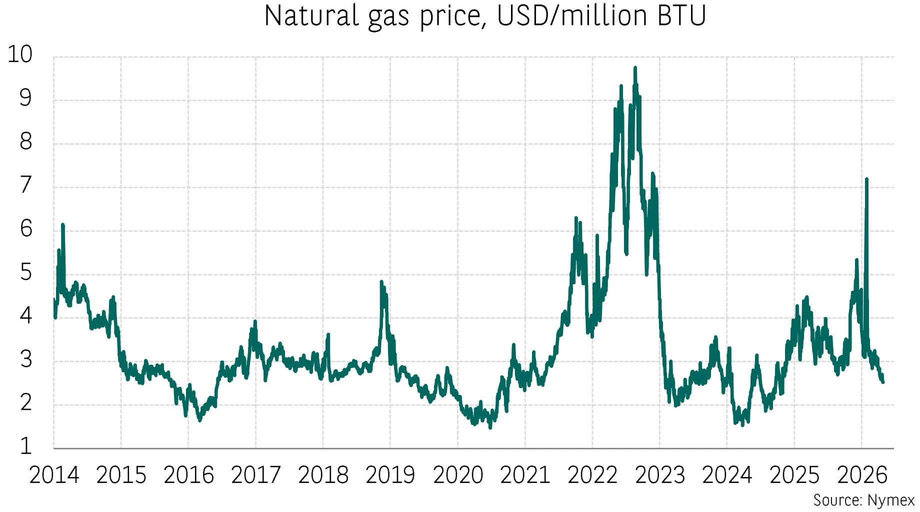


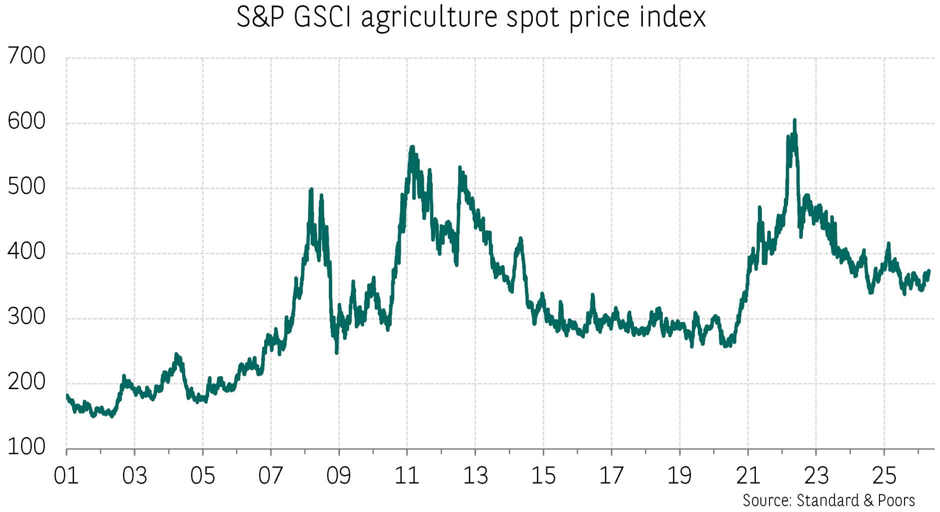
Commodities:

The Middle East conflict has pushed up oil prices and, to a far lesser extent, gas prices. These increases are now spilling over into industrial metals and agricultural products

Commodities







BNP PARIBAS ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

ECONOMIC OUTLOOK 2026-2027: ADVANCED ECONOMIES FACE THE RISK OF STAGFLATION

Before the outbreak of war in the Middle East in late February, our 2026 forecasts for the major advanced economies pointed to higher growth and lower inflation. However, this new conflict in the Persian Gulf is a game-changer. The resulting energy shock is of a stagflationary nature: growth forecasts are being revised downward and inflation forecasts upward, with variations observed across different countries. Most of the supportive factors that were present in 2025 are expected to remain in place in 2026, providing some buffer against the shock. Under the central scenario of the conflict losing intensity by the end of the second quarter, growth forecasts for 2026 are lowered by 0.4 percentage points (an average of the revisions for the countries considered here) while inflation forecasts are revised up by 1.1 percentage points. Fiscal support is expected to remain limited and targeted, with little room for manoeuvre. Monetary support, however, is not currently on the agenda. For the time being, central banks are more concerned about inflationary risks than the negative impact on growth. They appear ready to raise their policy rates, although a definitive decision has yet to be reached. This is our scenario for the ECB and the Bank of England (BoE). For the Bank of Japan (BoJ), such a hike would align with the ongoing process of monetary tightening. The Fed, for its part, would stick to the *status quo*.

At the start of the year, we expected 2026 to be as turbulent as 2025 (judging by geopolitical upheaval and tensions in the early days) as well as characterised by stronger growth, this latter being driven by the reinforcement of the supportive factors at work in 2025 (lower uncertainty, favourable financial conditions, low oil prices, resilient global trade, the AI boom, European revival, good labour market performance, lower inflation, less restrictive monetary policy, and broadly neutral fiscal policy). The challenge was to capitalise on the momentum and, as in 2025, overcome obstacles despite the risks: upward pressure on long-term interest rates, the full impact of the U.S. tariff shock, escalating trade tensions, AI-driven stock market correction, threats to the Fed's independence, and geopolitical tensions[1].

FROM ONE SHOCK TO ANOTHER

A few months later, geopolitical risk resurfaced. The Israeli-American offensive in Iran on 28 February, along with the spread of the conflict throughout the region, propelled the geopolitical risk indicator to an historic high, comparable to that reached when the Russian offensive in Ukraine began (see Chart 1). The resilience of the global economy is being severely tested by the new energy shock triggered by this latest war. This shock affects all countries, albeit to varying degrees, depending on their level of exposure and their capacity to absorb the impact. This is a negative shock for the global economy, in which there are only losers, even if net hydrocarbon-exporting countries will be less impacted than net importers. Of the seven advanced economies reviewed in this issue of EcoPerspectives, the United States is the least vulnerable, while Italy, Germany, the United Kingdom and Japan are more exposed; France and Spain fall somewhere in between.

Deprived of a number of its supporting factors (oil prices, uncertainty, inflation and monetary conditions, all previously favourable), to what extent will growth withstand the shock thanks to the cushioning effect of the remaining factors still in play? To what extent should we also be concerned about the apparent disconnect between, on the one hand, the stock markets' rather benign outlook and the geopolitical de-escalation they seem to be factoring in, and, on the other hand, a more difficult, complex and uncertain reality on the ground, characterised by substantial concerns (disruptions in fuel and derivative supplies, a prolonged and delayed return to normalcy)? Is there excessive optimism on one side and excessive pessimism on the other? At this stage, it is not easy to decide.

The war in the Middle East is driving geopolitical risk to a peak close to that seen at the outbreak of the war in Ukraine

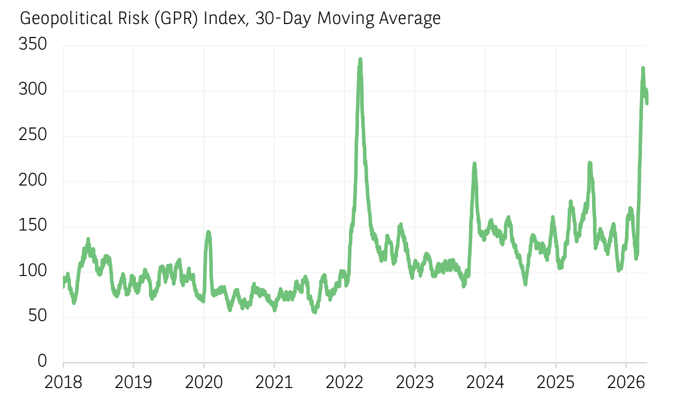


CHART 1 SOURCE: MATTEO IACOVIELLO, BNP PARIBAS

In summary, our new baseline scenario strikes a balance: it acknowledges a definite shock mitigated by several structural supportive forces at play. However, a scenario involving a severe economic crisis cannot be ruled out: the longer the shock lasts, the greater the risk of cascading and non-linear negative effects will become, especially as the likelihood of reaching the limits of fiscal and monetary policies also increases.

Our baseline scenario posits that the conflict and associated supply disruptions will subside by the end of the second quarter. According to our forecasts, the energy shock is expected to reduce growth by 0.4 percentage points in 2026 (averaging our forecast revisions for the economies covered in this publication) and add 1.1 percentage points to inflation. The countries with the most significant revisions are Germany for the growth forecast (revised downward) and Italy and Germany for inflation (revised upward); the countries with the least significant revisions are Spain for growth and the United States for inflation (see Charts 2 and 3). Due to ongoing tailwinds, the shock is anticipated to remain generally manageable, particularly as the economic environment appears, at first glance, less inflationary than in 2022 (see our latest EcoInsight). The spillover of rising energy prices to other components of the consumer price index will, nevertheless, be closely monitored.

1 See Ecoweek editorial, 2026 Economic Outlook in Advanced Countries: Building on the Success of 2025, 12 January 2026.

Growth forecasts (annual average, %, in descending order in 2026): old and new scenarios

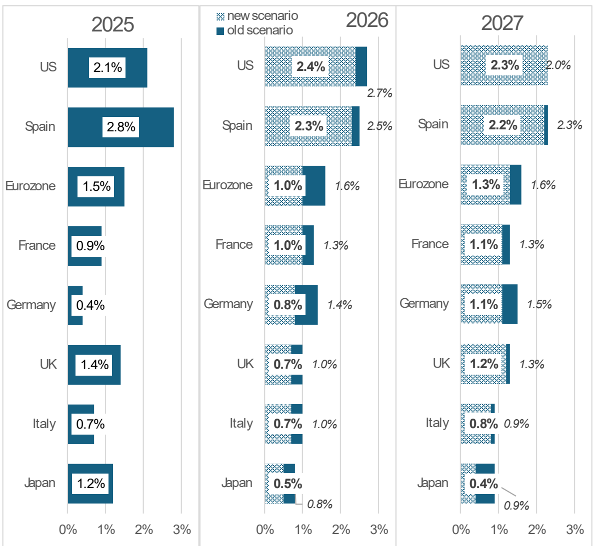


CHART 2 SOURCE: BNP PARIBAS

Inflation forecasts (annual average, %, in descending order in 2026): old and new scenarios

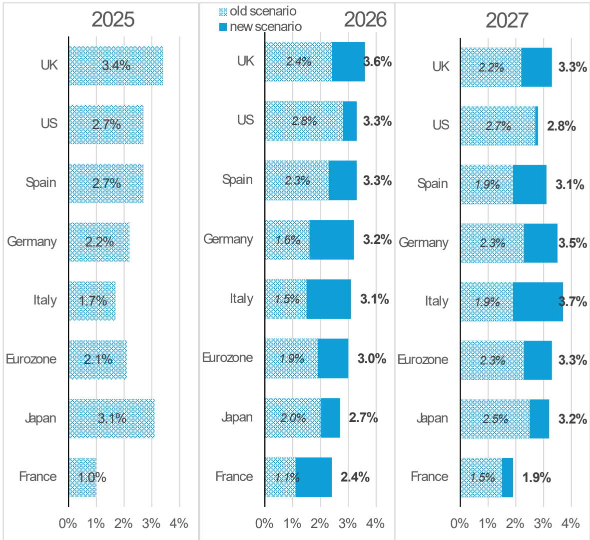


CHART 3 SOURCE: BNP PARIBAS

SUPPORTING FACTORS SHOULD NOT BE OVERLOOKED

Household consumption appears to be the most vulnerable GDP component to this new energy shock, while investment (both private and public) could hold up better. On the one hand, the deterioration in the purchasing power of real wages (with expected inflation once again surpassing the growth in nominal wages, which is slowing) negatively affects household budgets but positively influences corporate margins. On the other hand, investment from both the corporate and public sector is likely to continue benefiting from favourable tailwinds, some of which are common to all countries (AI, defence, decarbonisation, electrification), while others are specific yet have global spillover effects (infrastructure in Germany, aerospace for France, European funds for Italy and Spain). Taken together, these factors would help offset the negative impact of uncertainty, escalating production costs and rising interest rates. The factors bolstering investment would also benefit foreign trade, which is further boosted by the ongoing reconfiguration of global trade and the resurgence of intra-European trade.

Survey data for March showed an initial, immediate but limited impact of the Gulf conflict, more pronounced in household confidence than in business confidence (illustrating households' heightened sensitivity). In terms of the business climate, the impact was more pronounced in the services sector than in manufacturing (illustrating the tailwinds in this sector)[2]. As a well-known adage suggests, the situation is likely to get worse before it gets better. This, in any case, is what is outlined in our baseline scenario.

The resilience of the labour market will also be tested. However, this factor will play a central role in cushioning the impact of the energy shock on household confidence and consumption. Before the outbreak of war in Iran, indicators were mixed, revealing both signs of weakness and resilience. A prime example is the unique, uncomfortable yet sustainable equilibrium that defines the U.S. labour market, characterised by a low hiring and low firing regime. Looking ahead to the coming months, we expect the unemployment rate in the major advanced economies to rise overall, but only to a limited extent.

Fiscal policy should also provide some support, albeit limited, by targeting aid as effectively as possible given the lack of room for manoeuvre. Most governments are constrained by very high public debt ratios and already face challenging trade-offs between resource allocation and spending savings needed to make room for "old new" expenditures (defence, decarbonisation, ageing populations). These constraints are exacerbated by the upward trend in long-term interest rates (see our latest EcoInsight, for more details on the measures taken so far). However, Europe can rely on alternative strategies aimed at jointly and structurally strengthening its growth and internal market (see table).

CENTRAL BANKS: CAUTIOUS, OBSERVANT, BUT ON HIGH ALERT

While the challenges faced by governments are not easy to tackle, those faced by central banks are even more complex. They are caught in a dilemma: should they raise their policy rates to counter inflationary risks (but further weaken growth), or should they lower them to address downside risks to economic activity (but fuel inflation)? For now, caution and patience remain the order of the day while they monitor the actual developments of the situation. Their response will depend on their own reaction function, on the timing and intensity of the risks that materialise, and potentially on the measures taken by governments (the less impactful these measures are, the less central banks will have to counter their demand-supporting effects to contain inflation).

Central banks are also on high alert and appear ready to act, currently leaning more towards tightening rather than easing. According to our forecasts, the ECB, the BoE and the BoJ (for whom this would be part of its ongoing tightening cycle) are expected to raise their policy rates, while the Fed would favour the *status quo*.

Article completed on 23 Avril 2025

Hélène Baudchon
helene.baudchon@bnpparibas.com

2 See our dashboard comparing the current energy shock with that of 2022 Eco Charts 17 April 2026– Economic Research – BNP Paribas.

'One Europe, One Market' Plan — European Council of 18-19 March 2026

Priority areas	Key measures	Target deadlines	Objective
1. Single Market	28th regime ('EU Inc.')	Agreement by end of 2026	Create a unified European legal status for innovative companies to remove barriers to cross-border growth and foster the emergence of European champions.
	Unified electronic declaration — posted workers	Agreement in June 2026	Simplify administrative procedures for employers operating in multiple Member States and facilitate labour mobility within the internal market.
	Mutual recognition of professional qualifications	EC proposal — autumn	Enable skilled workers to practice more quickly in another Member State, boosting productivity and helping meet recruitment needs across Europe.
	European Business Wallet (digital identity, 'once only')	Agreement by end of 2026	Digitalise interactions between companies and public administrations under the 'once only' principle to reduce administrative burden and speed up cross-border operations.
	Merger Regulation review	EC proposal — 2026	Relax EU merger control to remove regulatory barriers to the formation of large, globally competitive European companies
	Priority given to regulations over directives	—	Ensure uniform application of EU law across all Member States to reduce internal market fragmentation and provide a more predictable framework for businesses.
2. Regulatory simplification	Finalisation of the 'Omnibus' packages	Agreement by end of 2026	Ease the regulatory burden on companies, particularly SMEs, to free up their capacity to invest and innovate.
	Omnibus IA	EC proposal — July 2026	Adapt and simplify the regulatory framework for artificial intelligence to accelerate AI deployment and strengthen the competitiveness of European players.
3. Energy	Short-term measures — electricity prices and volatility	End of 2026	Lower energy costs for European companies and limit price volatility — essential conditions for industrial competitiveness and household purchasing power.
	Revision of the ETS (emission allowances)	EC proposal — July 2026	Revise the emissions trading system to better reconcile the decarbonisation pathway with the competitiveness of European industries exposed to international competition.
	Grid package	Agreement in 2026	Modernise and interconnect electricity grids to secure supply, integrate renewables, and support industrial electrification.
4. Industry and innovation	Mapping of critical strategic dependencies	End of 2026	Identify European vulnerabilities in critical raw materials, components and technologies to guide economic sovereignty and industrial resilience policies.
	European Preference / Industrial Accelerator Act	End of 2026	Favour European products and suppliers in public procurement and strategic sectors to support reindustrialisation and accelerate the deployment of key technologies.
	Diversification of trade and investment links	—	Reduce excessive dependencies by diversifying trade and investment partners, strengthening the resilience of European value chains.
5. Investment	Savings and Investment Union (proposals on securitisation, financial markets integration and supervision package)	Agreement by end of 2026	Channel European savings towards companies and innovation projects by deepening capital markets integration and facilitating equity financing.
	Digital euro	Agreement by end of 2026	Provide Europe with a public digital currency to strengthen strategic autonomy in payments and support innovation in financial services.

TABLE SOURCE: EUROPEAN COMMISSION

UNITED STATES

GROWTH AND FULL EMPLOYMENT TESTED BY UNCERTAINTY

US growth remains robust, exhibiting strong momentum, but is still reliant on a narrow base – AI on the activity side and healthcare for jobs. The energy shock presents a new challenge, and its impact will depend on both the duration and severity of the Iran war. In any case, this situation is likely to drive inflation further above the target. Our baseline scenario projects 2.4% annual GDP growth in 2026 (down 0.3pp vs. the pre-conflict outlook) and 2.5% in 2027 (+0.3pp). Inflation is expected to reach 3.2% y/y in 2026. Against this backdrop, we expect the Fed to adopt a two-sided stance, with balanced risks around the Fed Funds rate and a hold as the baseline scenario. Tariffs continue to pose significant uncertainty, as does the trajectory of the federal deficit, which is set to widen, notably due to conflict-related outlays.

GROWTH: WILL AI-LED OUTPERFORMANCE WITHSTAND HIGHER ENERGY PRICES?

In 2026, growth should continue to be driven by the same factors as in 2025 – AI-related CapEx, wealth effects stemming from high equity valuations (until February), and healthcare outlays (up 0.4% to 6.0% of GDP in 2025, with stability expected in 2026). AI diffusion, coupled with near-stagnant employment, underpins productivity gains that significantly exceed pre-pandemic trends (2.3% y/y on average since 2023, vs. 1.4% from 2014 to 2019; see Chart 1). The Congressional Budget Office (CBO) expects productivity gains to continue in 2026 (at 2.2%). Nevertheless, growth remains narrowly based, with limited spillover effects and a "K-shaped" investment pattern (see Chart of the Week on this topic).

The Iran conflict introduces downside risks. Moreover, the US status as a net energy exporter does not fully shield its economy from the effect of higher inflation and rising costs on household purchasing power and corporate profit margins (which are already under strain due to tariffs). Consequently, GDP growth may be reduced by a few tenths in 2026, depending on the duration and severity of the conflict. In summary, the primary risk is not a shortfall relative to potential growth (1.8%), but rather a more uneven economic landscape, characterised by increasing fragility outside of AI-driven sectors.

A PUSH FOR BANK LENDING?

On 19 March, US banking regulators proposed a comprehensive review of the regulatory framework. The primary objective is to encourage banks to increase lending to households and businesses by reducing the capital requirements associated with lending activities, and to curb competition from the largely unregulated non-banking sector. While the expected benefits are unlikely to materialise in the short term (pending the finalisation and implementation of the regulations), their impact in the medium to long term may be constrained by other factors (paperwork and leverage requirements will remain unchanged, and some of the released capital could be allocated to other activities). More immediately, the uncertainties and inflationary pressures triggered by the Middle East conflict are likely to dampen credit demand. While 30-year mortgage rates had been trending downward since May 2025 (-90bp), they have rebounded by 25bp since late February, standing at 6.23% in late April. Therefore, the strong momentum observed in H2 2025 for both outstanding household loans and corporate financing flows could run out of steam.

Growth and inflation

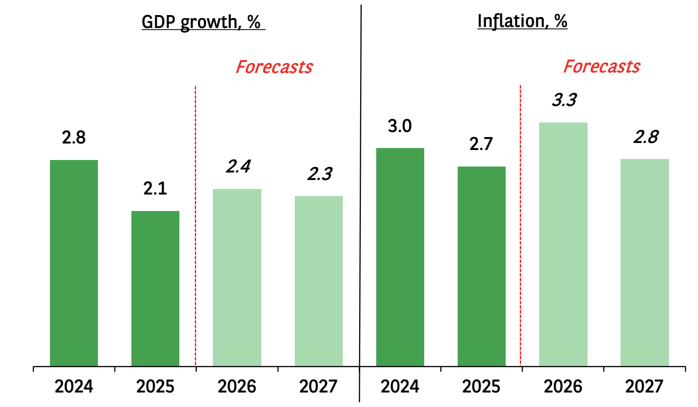


CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

LOW PAYROLL GROWTH, YET FULL EMPLOYMENT PERSISTS

The labour market should remain close to full employment, with the unemployment rate hovering at 4.3%-4.4%, compared with an estimated long-term level of around 4.2%[1]. Job creation has significantly decelerated in recent quarters, deviating from the post-pandemic dynamism. In Q4 2025, non-farm payroll growth stood at 0.2% y/y, marking the slowest rate (excluding recessions) since 2003. In addition, job growth is increasingly concentrated in education and health services (682k y/y in 2025, vs. 116k aggregate; see Chart 2). Those jobs are largely non-cyclical, which is positive, yet they are also low-value-added (17% of employment, 9% of GDP). The low rate of layoffs and discharges (1.1% in 2025, unchanged from 2024) reinforces the full employment scenario. The US economy is effectively in a 'low hiring, low firing' regime, as firms are reluctant to both recruit and reduce staff amid heightened uncertainty. Consequently, a slowdown linked to the Iran conflict would likely only marginally increase the unemployment rate – by 0.1pp to 0.3pp – compared with a flat baseline scenario.

INFLATION RETURNS TO CENTRE STAGE

CPI and core CPI are set to keep overshooting the 2% y/y target, at least until 2028. The pass-through from higher oil prices, coupled with partial, but likely, second-round effects from rising production costs, is driving inflation forecasts upward. Firms have already absorbed tariff

1 Summary of Economic Projections, Federal Reserve, March 2026.

costs into their margins over the past year, leaving little scope for further absorption. The uncertainty around this outlook remains high, hinging on the trajectory, duration and severity of the Middle East conflict. Any extension or escalation would further intensify price pressures. That said, the inflationary spike is likely to be far less pronounced than in 2022, when CPI peaked at 9.1% (June). Current conditions are, in fact, less conducive to second-round effects, on both the supply and demand sides (see Chart of the Week on this topic).

FOMC: TWO-SIDED OUTLOOK, STEADY POLICY RATE

Risks appear to be evenly distributed, given expectations of a slight uptick in inflation alongside ongoing labour market concerns. In this context, we project that the Fed Funds target range will hold steady at 3.5% - 3.75% until 2027. Nonetheless, we expect the FOMC to adopt a two-sided outlook, signaling equal readiness to implement rate hikes or cuts if necessary – marking a departure from the previous downward bias. This stance would allow for a wait-and-see approach on core inflation and economic activity, while keeping market inflation expectations anchored and allowing for the possibility of a rapid policy shift.

As a result, policy will lean more on communication than on adjustments in rates. This reflects the macroeconomic conditions that prevailed prior to the shock. Compared to 2022, the policy rate is significantly higher (3.75% upper bound in February 2026, vs. 0.25% in 2022), while CPI inflation is considerably lower (2.9% y/y in Q4 2025, vs. 6.8% in Q4 2021). Furthermore, the Fed tends to react more forcefully when inflation is demand-driven rather than supply-driven (NBER Working Paper, 2026), as monetary policy tools are more effective on the latter (Powell, 2022).

Finally, the upcoming replacement of Jerome Powell (Chair since 2018) does not alter our outlook. The incoming chair, Kevin Warsh, has recently called for rate cuts, which is at odds with the "hawk" reputation he earned during his governorship (2007–2011). However, the FOMC will continue to be governed by majority rule, and we do not foresee a dovish shift unless macroeconomic data dictate otherwise (see our Eco Insight on this topic).

THE FISCAL RISK OF WAR

The US federal deficit is susceptible to a potential decline in the near to mid-term, after narrowing to -5.9% of GDP (+0.4pp) in FY 2025, bolstered by student loan reform and additional tariff revenues. The latter were expected to stabilise at around USD 300 bn annually, allowing the budget deficit to hold at -5.8% of GDP in 2026 and 2027. However, the Supreme Court's ruling that struck down "reciprocal" tariffs could trigger refunds on duties collected in 2025. At the same time, the Iran conflict is likely to exert pressure on public finances, primarily through higher defence spending, while no tangible measures to support demand have been implemented so far. The upward pressure on bond yields is set to extend, particularly on the long-end of the curve (10- and 30-year yields at 4.55% and 5.15% respectively by end-2026), notably reflecting the fiscal risk of the conflict.

Strong productivity growth is driving economic growth

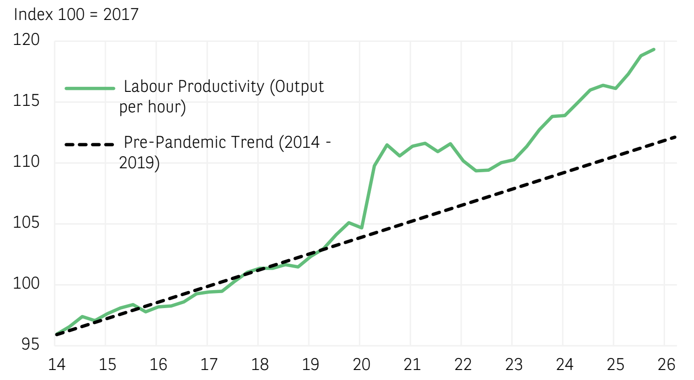


CHART 2 SOURCE: BEA, BNP PARIBAS

In summary, according to our forecasts, the federal deficit could widen to -6.5% of GDP as early as this year. Should plans to ramp up military spending materialise (President Donald Trump has called for a permanent USD 500 bn annual increase, or 1.6% of GDP), against the backdrop of ongoing war (and its associated costs), we anticipate that the deficit could exceed -8.0% of GDP by 2027. Additionally, debt-service costs, estimated at 3.3% of GDP in 2026–2027, could also rise accordingly. In any case, federal debt remains on an upward trajectory and is expected to exceed 100% of GDP as early as 2026.

FOREIGN TRADE: UNCERTAINTY PERSISTS

Following the Supreme Court's ruling that terminated both "reciprocal" and fentanyl-related tariffs, a universal 10% tariff (excluding exemptions and bilateral agreements) has been implemented under Section 122 of the Trade Act of 1974[2], in force until 24 July 2026. By then, President Trump is expected to roll out a new tariff framework: i) sector-specific measures under Section 232 of the Trade Expansion Act of 1962 (pertaining to "national-security"); and ii) country-specific measures, under Section 301 of the Trade Act of 1974 (addressing "unfair trade practices"). According to our estimates, the average effective tariff rate is expected to reach at 8.4% to 10.6% in 2026, down from 10.1% in H2 2025, yet significantly higher than the 2.3% recorded at the end of 2024. While uncertainty is set to persist (particularly regarding the future of the USMCA), the US administration appears inclined to uphold the trade agreements concluded in 2025, notably with the EU and Japan.

Article completed on 23 April 2025

Anis Bensaidani
anis.bensaidani@bnpparibas.com
Céline Choulet
celine.choulet@bnpparibas.com

2 "Section 122 authorises the President to impose temporary import duties or surcharges «[w]henever fundamental international payments problems require special import measures to restrict imports (1) to deal with large and serious United States balance-of-payments deficits" (Congress).

THE RECOVERY IS FRAGILISED BUT NOT CALLED INTO QUESTION

According to our forecasts, the impact of the conflict in the Middle East is likely to restrict GDP growth to 1.0% in 2026 and 1.3% in 2027 (down from 1.6% for both years prior to the conflict). Private consumption will be hit by falling real wages (with inflation projected at 3.0% in 2026 and 3.3% in 2027, compared to initial estimates of 1.9% and 2.3%). However, the high savings rate will enable households to mitigate the impact over time. Economic activity could suffer from less favourable interest rate dynamics (we anticipate a 50bp increase in ECB rates in 2026). However, the ongoing investment in defence, AI and electrification is expected to continue and boost intra-EU trade. The expected deterioration in public finances in 2026 will be significantly less severe than in 2022.

GROWTH HINDERED BUT STRUCTURAL STRENGTHS PRESERVED

The conflict in the Middle East is undermining the prospects for a recovery in household consumption in the first half of the year, as rising energy prices are weighing on real wages. Real wages are expected to fall (by around 0.5 percentage points) this year, with wage growth falling below inflation from Q2 2026 onwards. Nevertheless, the savings rate remains high (14.4% of disposable income in Q4 2025), enabling households to cushion the effects of the shock over time. Furthermore, the more structural factors supporting economic activity remain intact: investment in AI and digital infrastructure is ongoing, while the recovery in hourly productivity is becoming clearer (+0.9% in 2025 compared with 2024), albeit unevenly across different countries, and is expected to continue. Investment spending in Germany is already strengthening (see the Germany section) and, according to our calculations, spending in the European defence sector is set to rise by nearly EUR 80 billion in 2026 (see our analysis). However, due to the strengthening of domestic demand, it will be difficult to improve the external balance's contribution to GDP (it was negative in 2025, at 0.6 pp). Instead of the smooth growth trajectory expected in 2026 prior to the outbreak of war in Iran, the growth trajectory will be bumpy: Q1 is expected to be resilient (as suggested by our nowcast) before a slowdown in Q2, followed by a rebound in activity in the second half of the year.

THE PERIOD OF STABLE INTEREST RATES IS COMING TO AN END

We anticipate monetary tightening by the ECB in 2026, which will likely be accompanied by a rise in long-term rates. Against this backdrop, a continued rise in rates for new household mortgage loans, which began in January 2026, appears inevitable (+10 bp to reach 3.4% in January). For the time being, only rates on new fixed-rate loans – accounting for around 35% of new mortgage lending in the Eurozone – have risen. For the remainder of 2026, their rise is expected to continue but will be more moderate than that of new variable-rate loans (mainly due to the rise in long-term market rates, which anticipates that of short-term rates). The slowdown in new mortgage lending since December 2025 is therefore expected to continue, exerting pressure on the construction sector and property-related activities in particular.

As regards consumer credit, the rise in market rates and risk premiums imposed by banks, together with their reduced risk tolerance, could push up the cost of borrowing, which is already at a historically high level (7.5% in January 2026 compared with an average of 5.5% between 2018 and 2022). The slowdown in new output is expected to intensify in 2026 and weigh on economic activity, particularly in the retail sector (+1.5% y/y in January 2026 compared with +1.7% y/y in December 2025 on a year-to-date basis).

Growth in new investment loans to businesses is already less vigorous (+11.9% y/y in January 2026 compared with +15.2% y/y in October 2025 on a year-to-date basis). Interest rates have remained relatively stable since November 2024, hovering around 3.6% for fixed-rate loans, and are not, to date, among the main factors limiting investment decisions, despite concerns regarding sluggish demand and weak growth. Rising energy and raw material costs are likely to increase demand for working capital, which is already at an unprecedented level.

Growth and inflation

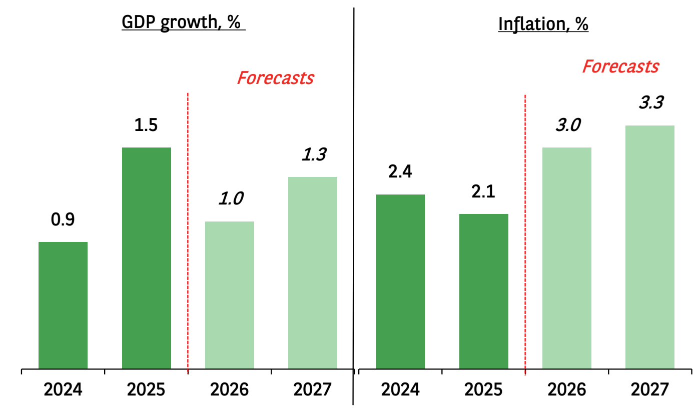


CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

INFLATION: A SIGNIFICANT RISE, BUT LIKELY LESS SEVERE THAN IN 2022

The precise magnitude of the price rise remains dependent on how the conflict in the Middle East unfolds and on the second-round effects of the energy shock. Rising production costs will impact corporate profit margins, which are already under pressure (39.2% of value added in Q3 2025, one percentage point below their historical average). However, the likely fall in real wages should mitigate this shock. Furthermore, firms are expected to limit increases in their selling prices to what is strictly necessary, in light of demand being depressed by the energy shock. Thus, the rise in core inflation is expected to begin only in Q3 and remain contained. Moreover, imported deflation from China remains a significant factor in moderating goods prices in Europe, although this could diminish with the energy shock. Import prices for machinery and equipment from China were still down 2.3% year-on-year in January 2026 (-3.2% for chemicals). Inflation is then expected to ease in 2027, bringing an end to the contraction in real wages in the second half of 2027.

LABOUR MARKET: MORE PRONOUNCED SECTORAL DIFFERENCES

The labour market is expected to continue facing headwinds. AI could have a greater impact on job creation in the digital and tech sectors than in the past. Job creation in this sector has been robust post-Covid (see our analysis), but it slowed significantly in 2025 (41,800 compared with 198,000 in 2024 and an average of 285,000 for 2022–2024). This comes at a time when competitive pressure from China and declining opportunities in the US will continue to affect some industrial employment in 2026, with these difficulties compounded by the renewed rise in energy prices. Nevertheless, the strengthening investment cycle is expected to bolster employment in other sectors (defence, energy, construction), while demographic ageing will continue to underpin employment in healthcare. Against this backdrop, the unemployment rate is expected to remain at a level comparable to that of 2025 (6.2–6.5%), which is close to the structural unemployment rate that does not trigger an acceleration in inflation (6.5% according to the European Commission).

MONETARY POLICY: RATE HIKES COULD OCCUR FROM 2026

The rise in inflation raises the risk of the ECB tightening monetary policy as early as 2026, whereas before the outbreak of the conflict in the Middle East, we had expected this to occur in the second half of 2027. In our previous scenario, these rate hikes were prompted by stronger growth, which in turn fuelled inflation. Now, such tightening would serve to limit second-round effects arising from a supply shock. The question of whether tightening will occur and the timing of any rate hikes remains unresolved, as they are subject to significant uncertainty. The March data does not, for the time being, suggest any significant acceleration in inflation outside of energy prices (three-month selling prices, excluding the oil sector, show a moderate rise; see our analysis). Furthermore, the ECB is likely to take time to observe this transmission mechanism before making any adjustments to its strategy. It aims for price stability in the medium term, which could allow for a temporary increase in inflation above the target, consistent with its operational framework set in June 2025).

Should tensions arise, the ECB might be tempted to take pre-emptive measures to limit second-round effects and reduce the scale of any necessary rate hikes. Real interest rates are now significantly higher than in 2022 and aggregate demand is weaker (see our analysis), which allows for a measured response. Furthermore, the likelihood that fiscal support will be lower than in 2022 should reduce the ECB's risk of needing to counterbalance the impact of this support on inflation dynamics with a more restrictive policy.

PUBLIC FINANCES: MODERATE DETERIORATION EXPECTED, IN CONTRAST TO 2022

In our scenario, national measures designed to cushion the energy shock would remain much more targeted and limited than in 2022, resulting in a limited impact on public finances in 2026. Compared with a pre-conflict scenario, in which the overall public deficit in the Eurozone was expected to stabilise at around -3% of GDP in 2026, as in 2025, there is now a risk of a slight increase. Indeed, a rise in the deficit remains likely in Germany (linked to investment plans rather than the conflict in Iran), while the previously expected improvements in France, Italy and Spain are likely to yield only slight stabilisation.

Intra-UE trade should continue to gain traction

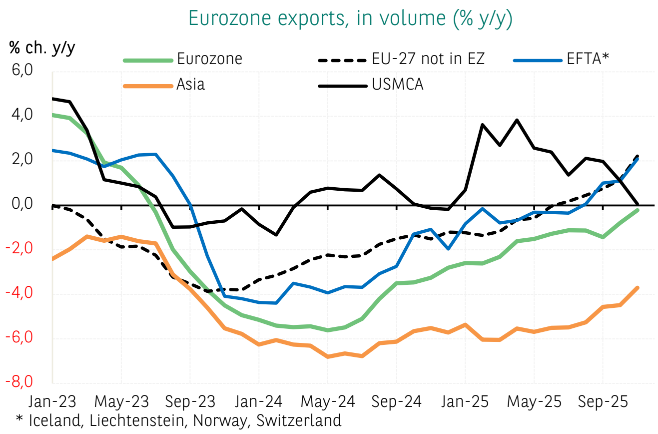


CHART 2 SOURCE: EUROSTAT, BNP PARIBAS

Interest payments are expected to continue rising, reaching 2.0% of GDP in 2026, with an upside risk in countries where inflation-indexed debt is more widely used. The recent rise in bond yields does not alter our longer-term forecasts (see our analysis). Indeed, they have now reached the levels we anticipated (which were below our scenario prior to the conflict in Iran). Furthermore, the average maturity of public debt (8.3 years in February 2026) will help to mitigate the impact of rising rates on interest expenditure over time.

THE REORGANISATION OF EXPORT FLOWS WILL CONTINUE

Exports from the Eurozone to China fell further in 2025 (-9.9% by volume). However, total exports are holding up, thanks to a greater focus on regional markets, particularly neighbouring countries with a growing industrial base (Türkiye, Morocco, the Balkans; see our analysis). The growth of intra-European exports, which was modest in 2025 (+0.4% in volume in 2025, +2% with the rest of the EU and EFTA offsetting the intra-Eurozone decline of -0.2%), is expected to strengthen. This growth would benefit from the ramp-up of the rearmament plan, as well as from European preference policies and the consolidation of the single market, as outlined in the 'One Europe, One Market' plan[1], the effects of which will be more visible in 2027 than in 2026. Furthermore, the extension of the framework agreement with the United States should help stabilise exports to the region in 2026, although there is uncertainty regarding potential new tariffs. The entry into force of the agreement with Mercosur (on 1 May 2026), and the conclusion of new agreements (with Australia, India and Indonesia) are expected to have a positive impact in the medium term.

Article completed on 13 April 2025

Guillaume Derrien
guillaume.a.derrien@bnpparibas.com

Thomas Humblot
thomas.humblot@bnpparibas.com

1 Boosting EU competitiveness: the way forward - Consilium.

A WEAKER RECOVERY, BUT ONE THAT IS STILL EXPECTED TO TAKE HOLD

After two years of recession, German growth began to recover in 2025. We expect it to strengthen in 2026, driven by the ramp-up of investment plans. We are, however, revising our forecasts downwards, as the German economy remains vulnerable to the current shock to energy prices (+0.8% in 2026 [-0.6pp] and +1.1% in 2027 [-0.4pp]). This will weigh on private consumption due to the impact of rising inflation (3.2% in 2026 [+1.6pp] et +3.5% in 2027 [+1.2pp]) on the purchasing power of wages. The fiscal trajectory, meanwhile, is expected to remain broadly unchanged. Public debt is set to continue rising towards 70% of GDP by 2030, which, in the current context, would maintain upward pressure on long-term interest rates.

GROWTH SET TO HOLD UP BETTER THAN IN 2022

After two years of contraction (-0.7% in 2023 and -0.5% in 2024), German growth returned to positive territory in 2025 (+0.4%), despite the US tariff shock. It was mainly driven by private consumption and public spending. Foreign trade weighed on economic activity, but for relatively favourable reasons: nearly two-thirds of the rise in imports came from capital goods, foreshadowing the ramp-up in public investment expected in 2026.

At the same time, investment made no contribution to growth in 2025, as the decline in the private sector was offset by the increase in the public sector. However, it has been rebounding since Q3 and is expected to accelerate further in 2026. It will be supported by public investment plans and tax incentives. The increase in new industrial orders observed at the end of 2025 serves as an additional indicator of an impending acceleration in investment (see our analysis). In our view, the conflict in the Middle East will not undermine this favourable momentum. The prolonged nature of public investment plans and their rapid implementation at the start of the year suggest ongoing support for growth: between January and February, investment spending (excluding SVIK[1]) more than doubled compared with the same period last year (see Chart 2), defence spending rose by 38%, and SVIK disbursements have already reached 1/4 of the 2026 target.

Conversely, the situation for Germany's industrial sector, which is particularly energy-intensive, is more challenging, as this shock compounds the issues faced in 2022, the rise in US tariffs and growing Chinese competition. At this stage, business surveys suggest these risks should be put into perspective: although companies are reporting sharp rises in input costs, the deterioration observed remains less severe than in 2022.

Household consumption, on the other hand, will be significantly affected by the ongoing rise in energy prices. The expected resurgence in inflation will weigh on their spending intentions, even as wages have caught up with inflation in 2022–2023 to a lesser extent than elsewhere in Europe (see Chart 3). The risk is that this will lead, as it did previously, in a sharper rise in the savings rate than in France, Italy or Spain.

Growth and inflation

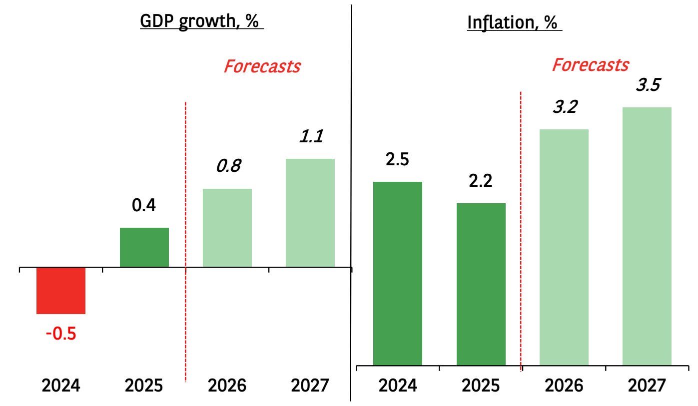


CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

Investment spending (without SVIK) have more than doubled compared to the same period last year

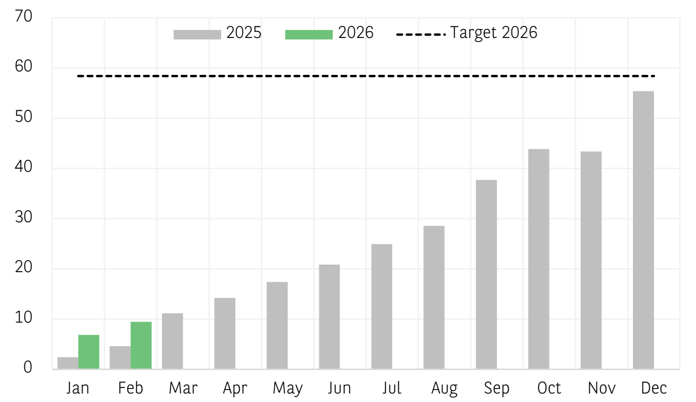


CHART 2 SOURCE: BUNDESFINANZMINISTERIUM, BNP PARIBAS

THE PROSPECT OF WAGE PRESSURES IS RECEDING

The German labour market remains historically strong. The unemployment rate increased from a low of 3% to 4% and stabilised at that level between December 2025 and March 2026, while remaining low compared with the eurozone average (6.2% in February across the eurozone). This rise in unemployment is due to job losses in the manufacturing sector, despite ongoing job creation in the services sector. Job losses are expected to continue in sectors that are already in difficulty, which are also the most exposed to the energy shock.

At the same time, the demand for labour has stabilised at a low level, and the tightness in the labour market continues to ease in both industry and services. Only construction remains an exception, although recruitment difficulties are easing there.

Against this backdrop, the gradual rise in employment linked to investment plans in defence and infrastructure is not expected to generate significant wage pressures. The redeployment of production capacity

1 Investment spending takes into account only spending from the main budget (excluding SVIK, the EUR 500 billion infrastructure fund).

freed up by sectors in difficulty, and in particular their workforce, will in fact help to meet some of the needs of businesses. Furthermore, the prospect of wage growth once again falling short of inflation should mitigate the impact on profit margins of a likely rise in input costs.

INFLATION CONSISTENTLY ABOVE 2% COMPARED WITH THE REST OF THE EUROZONE

Inflation picked up again in March (+0.8 pp to 2.8% y/y), while the core component remained stable (2.5%). This rise is attributable to energy prices (+7.2% y/y). In the coming months, German inflation is expected to remain higher than that of the eurozone (2.5% y/y in March).

The high sensitivity of German electricity prices to fluctuations in gas prices suggests a sharper rise in inflation, which is likely to feed through to core inflation. Having accumulated nearly 5 percentage points of additional inflation compared with France and Italy since the onset of the inflationary crisis in 2022, this gap could widen further. This would pose a challenge to German competitiveness, which has already been in decline for nearly 10 years (see our analysis). Consequently, inflation is expected to remain above 2% at least until the end of 2027, a level below which it has not fallen since 2021.

In Germany, more than in other countries, this inflationary trend has significantly impacted real wages, which remain around 11 percentage points below their levels prior to the post-Covid inflation crisis. The minimum wage increases planned for 2026 and 2027 (+8% and then +5%, to EUR14.60/hour) will have a direct impact on low-wage earners. However, their influence across the entire wage spectrum is likely to be limited. This situation is adversely affecting household confidence and consumption.

A FISCAL TRAJECTORY LARGELY UNCHANGED AT THIS STAGE

The current context does not call into question our assessment of a controlled increase in public spending. This is based on the budgetary reform initiated by the government in 2025, which includes a multi-year plan that derogates from the debt brake to finance investments in infrastructure and defence, while maintaining a constrained federal budget outside these sectors. Consequently, an initial rise in the public debt ratio was observed in 2025, to 63.5% of GDP (up from 62.2% in 2024).

At this stage, the budgetary cost of the measures adopted by the government in response to rising energy prices remains moderate (EUR 1.6 billion). These measures are centred on capping fuel prices and reducing the tax on petrol by EUR 0,17 / litre for a period of two months. In addition, a one-off, tax-free support payment of EUR 1,000 may be paid to employees. Further measures could be introduced if the conflict drags on and energy prices remain high. However, the scale of these measures is expected to be smaller than that seen in 2022, as there is less fiscal room for manoeuvre. Any additional measures or any deterioration in the deficit linked to a slowdown in growth will need to be offset in order to comply with the debt brake rule. Consequently, our public debt scenario remains broadly unchanged from our autumn forecast (see our analysis).

At the same time, financing requirements linked to extra-budgetary funds are likely to continue to exert upward pressure on sovereign yields. The yield on the 10-year Bund crossed the 3% threshold at the end of March, amid inflationary pressures and expectations of increased fiscal support. However, the effective interest rate on debt remains low (due to the prolonged period of negative long-term rates) and the debt burden (1.1% of GDP in 2025) is expected to increase only gradually, reaching 1.7% in 2030.

German wages have recovered less than in other countries to their pre-Covid inflationnary crisis levels

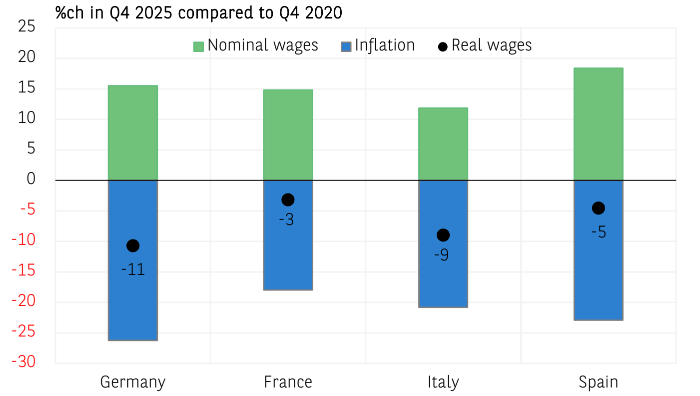


CHART 3 SOURCE: EUROSTAT, NATIONAL STATISTICS, BNP PARIBAS

Furthermore, structural reforms are ongoing, particularly those aimed at bolstering business investment, reforming tax and social protection systems, and expanding the labour supply. Fiscal measures are already in place (accelerated depreciation of business investment until 2027, to be followed by a reduction in corporation tax from 2028), supplemented by administrative simplifications for businesses, which will lead to an overhaul of the tax system effective from 1 January 2027. Finally, proposals for social security reform (pensions) have been put forward and will be finalised by the end of 2026.

A REBALANCING OF FOREIGN TRADE IS UNDERWAY

Exports continue to account for a significant share of the German economy (41% of GDP in 2025), significantly higher than the levels seen in the rest of the eurozone (nearly 30% in France, Italy and Spain). Although exports have not contributed to growth since 2023, they stabilised in 2025. This stabilisation is due to a geographical shift in trade patterns, with exports to the eurozone increasing (+4.1% y/y in 2025), compensating for the decline in markets outside Europe (notably China and the United States).

Beyond this geographical reallocation, a rebalancing of intra-European trade is underway. This shift is prompted by a reversal in competitiveness trends, characterised by a faster rise in labour costs in Germany than in other European countries over the past decade, in contrast to the previous period. As a result, Germany's trade surpluses with other European countries are gradually diminishing, as these countries increasingly benefit from German demand. This trend is reinforced by German investment plans and the intention to establish a European supply base as part of rearmament policies. It is evident in the rise of German imports and a reduction in bilateral surpluses, particularly with France. Therefore, German demand is fostering growth in other European countries, a recent development that is set to continue.

Article completed on 21 April 2026

Lucie Barette
lucie.barette@bnpparibas.com

GROWTH, PUBLIC FINANCES: STAYING ON TRACK

Since rebounding in Q2 2025, French growth has been relatively robust. Things are not expected to have changed in Q1 2026, with growth supported in particular by precautionary spending. In Q2, higher inflation (and thus lower purchasing power) should weigh on household consumption, whilst support from public finances is expected to be more moderate than in 2022. However, French growth is expected to remain resilient, driven in particular by public investment (both French and European) in defence and private investment in AI. Overall, we are revising our growth forecasts to 1% in 2026 (-0.3 pp) and 1.1% in 2027 (-0.2 pp); and our inflation forecasts to 2.4% in 2026 (+1.3 pp) and 1.9% in 2027 (+0.4 pp). However, we are maintaining our forecasts for the public deficit at 5% of GDP in 2026 and 4.5% in 2027.

GROWTH: COPING WITH HIGHER INFLATION, BUT BENEFITTING FROM THE RESILIENCE OF INVESTMENT AND EXPORTS

The stars had aligned for 2026 to be a good year for growth. Rebounding aeronautics production and the implementation of European rearmament plans were set to support exports. The clearer pass-through of the ECB's monetary easing to lending rates for the non-financial private sector had boosted investment. After several months of wage growth outpacing inflation, growth in household consumption was accelerating. Finally, the budget adopted in February pointed to robust public consumption and investment.

With the war in Iran, private domestic demand is facing the most pronounced downside risks. Rising oil prices are weighing on household purchasing power, which is likely to affect their spending intentions. As a result, household consumption will likely decline in the second quarter.

Rising uncertainty and inflation have already weighed on interest rates (a 15-basis-point rise in lending rates to non-financial corporations between August 2025 and February 2026). It is still uncertain as to whether the ECB will raise its key interest rate. This would weigh on private-sector investment prospects, but would not call them into question. Business investment is expected to rise in both the services and construction (AI and data centres) sectors. Household investment is expected to mainly benefit maintenance/renovation (strong performance in second-hand transactions) and, to a lesser extent, new-builds (a slight rebound in housing starts). Public investment (+2.1% in 2025) is expected to continue to grow, supported by decarbonisation, rearmament and service investment efforts.

Overall, the business climate remained stable for the time being. It is underpinned by the situation in industry, which is benefitting in particular from public spending (rearmament plan) and robust exports, which are expected to continue.

FOREIGN TRADE: BULLETPROOF?

Since mid-2025, France has benefitted from a rebound in its exports of goods, particularly in aeronautics, defence, pharmaceuticals and industrial inputs (electronics). This momentum continued in January and February 2026, helping to restore the current account balance (following a deficit of EUR 12.5 billion in 2025, or -0.3% of GDP). Export gains are mainly intra-EU, primarily to Germany, and are expected to provide significant support for GDP growth. This momentum is expected to continue despite the war in Iran, as it is driven by industrial sectors with little exposure to the region. Furthermore, it depends on growing public demand driven by European rearmament plans (which are far from limited to the German plan; see our analysis) or investments that are not sensitive to the economic cycle (AI).

Growth and inflation

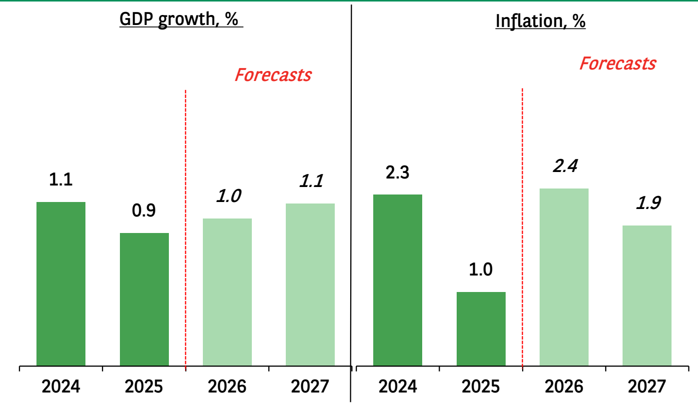


CHART 1 SOURCE: BNP PARIBAS GLOBAL MARKETS

LOANS: GOOD MOMENTUM WITH SLIGHT DETERIORATION RISKS

The rate on new housing loans to households rose by 10 bp in Q1 2026. This modest rise contrasts with the stable rate, at around 3% in 2025. Despite a highly competitive environment, our rate scenario (money market and swap rates) suggests a slight increase in average mortgage rates in Q2, and probably a sharper rise thereafter. At the same time, monthly new lending has stabilised since Q2 2025, hovering around the moderate level of EUR 12.5 billion, before falling slightly in Q1 2026 (EUR 12 billion). A rise in rates would automatically weigh on the figures. Therefore, growth in outstanding loans is modest (+0.2% y/y in February) due to high repayment flows linked to the abundant new lending during the period of low interest rates. As a result of households' decreased ability to purchase property, transaction volumes are expected to decline and prices are expected to stabilise over the coming quarters.

Corporate investment loans remained buoyant in Q1 2026, driven mainly by the acceleration in the lending for construction purposes (up 4.6% y/y and 5.5% y/y in January and February, respectively). Market financing is keeping pace, rising by 6.1% y/y, against a backdrop of a slight fall in the cost of debt issued (-9 bp m/m). The forthcoming rise in market rates is likely to make bank financing more attractive. However, the profitability of investment projects could be eroded, but not enough to jeopardise them.

INFLATION IS PAINFUL FOR THE CONSUMER

Harmonised inflation hit a low in January 2026 (0.4% year-on-year), which pointed to improved household purchasing power and suggested a rebound in household spending. At the time, it was not known that the period of wages rising faster than inflation (by a cumulative 2 percentage points over 2024–25) was about to end. Harmonised inflation accelerated in March to 1.9% y/y, driven by rising fuel prices. As a result, from Q2 onwards, it is expected to outpace wage growth. Although, according to our forecasts, inflation is expected to rise less sharply than in 2022–2023 (peaking at nearly 3% in early 2027, compared with 7.3% in February 2023) and spread less widely to goods and services, household purchasing power is also likely to be less protected than in 2022–2023. According to our calculations, public support measures adopted at the time prevented (at their peak) nearly 2.5 percentage points of inflation, whereas the support is likely to be more limited this time – with the government favouring targeted measures to prevent the public deficit from widening. According to our forecasts, the purchasing power of gross disposable income is set to contract by 0.3% in 2026 (compared with a gain of +0.4% in 2022, despite an inflation of nearly 6% according to the harmonised measure). Consequently (and despite a fall in the savings rate from 18.1% in 2025 to 17.5% in 2026), private consumption is expected to grow by just 0.5% in 2026 (as in 2025), compared with a 1% rebound anticipated before the war in Iran. This would reduce GDP growth by nearly a quarter of a percentage point.

LABOUR MARKET: MODERATE DETERIORATION

The slight decline in salaried employment in 2025 (-0.2% y/y in Q4, compared with +0.2% y/y in Q4 2024) followed the low point recorded in terms of growth (0.7% y/y in Q1 2025) and led to a slight rise in the unemployment rate (7.9% in Q4, compared with 7.3% a year earlier). In 2026, the unemployment rate is expected to rise to 8.2%, driven by a rise in youth unemployment. This moderate deterioration should limit the decline in household confidence. This situation is also consistent with the continued moderation of wage pressures, meaning that, like in 2022, corporate margins would be supported by a decline in real wages (albeit to a lesser extent), partly offsetting the impact of rising oil prices. This trend is expected to persist until mid-2027. Indeed, although an increase in the minimum wage is expected from May (with the price index having risen by 2% compared with the end of 2025), the imperfect indexation of wages above the minimum wage suggests that real wages are likely to decrease.

PUBLIC FINANCES: CONSOLIDATION REMAINS THE TARGET

The public deficit reached 5.1% of GDP in 2025, a more pronounced improvement on its 2024 level (5.8%) than the government's target (5.4%), linked to a 0.8-pp rebound in compulsory levies (43.6% in 2025, see our analysis). In 2026, the public deficit is expected to be in line with the government's 5% target. The consequences of the energy shock are likely to wipe out the fiscal leeway that had emerged following the strong performance of 2025, particularly due to an additional 0.1 percentage point in debt servicing costs (mainly due to the impact of inflation on index-linked bonds). A rise in bond yields would have only a very marginal upward effect on the latter, due to the debt's high average maturity (8.5 years).

French exports have rebounded sharply since mid-2025

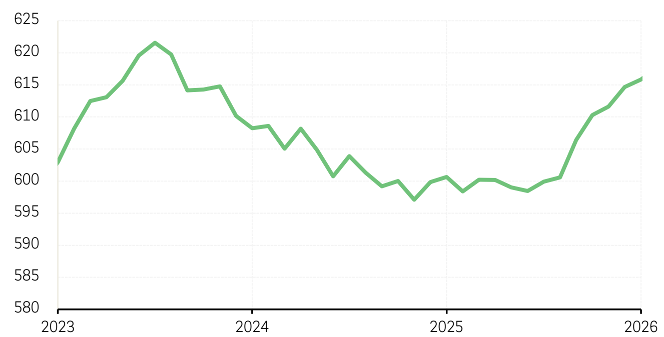


CHART 2 SOURCE: CUSTOMS, BNP PARIBAS

Support measures in response to the inflationary shock, currently amounting to EUR 400 million (less than 0.1% of GDP), have been announced. With no room for manoeuvre, the government has announced that any additional measures will be offset by equivalent savings. The increase in the defence budget and the debt service (together accounting for +0.6 percentage points of GDP) is expected to prevent a decline in the public expenditure ratio (which is projected to stabilise at around 57% of GDP in 2026 and 2027). As a result, the reduction in the public deficit would, once again, rely on a rebound in compulsory levies, which would return to their pre-COVID level (44.4% of GDP) by the end of 2027. Reducing the public deficit at an average rate of 0.5 percentage points of GDP per year would help to slow the rise in public debt (115.6% of GDP in 2025, +3 pp y/y) before stabilising it at around 120% of GDP in 2030, when the budget deficit is expected to return to the 3% of GDP target.

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Stéphane Colliac
stephane.colliac@bnpparibas.com

Thomas Humblot
thomas.humblot@bnpparibas.com

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MIDDLE EAST CONFLICT: MODERATE IMPACT ON ADVANCED ECONOMIES SO FAR, BUT HIGH UNCERTAINTY REMAINS

The war in the Middle East has caused prices of several commodities to rise, in particular oil which has neared historic highs. Although conflict's trajectory remains highly uncertain, weaker supply and demand constraints compared to 2022 should limit the upward pressure on inflation.

Household consumption and sectors least able to pass on rising production costs to sales prices (primarily consumer goods) are likely to be hit hardest. The ultimate effect on GDP growth will depend on the duration and severity of the damage.

According to our baseline scenario, a recession should be avoided. However, if the conflict were to escalate to the point of causing shortages (of fuel or inputs), its impact on growth and inflation could lead to such a recessionary outcome.

High public debt levels and long-term interest rates limit governments' room for manoeuvre, meaning any support measures are expected to be more limited than in 2022. If the conflict and its inflationary effects were to worsen, this reduced room for manoeuvre means that any additional response would have to be financed by equivalent savings.

With weaker demand dynamics than in 2022, and less fiscal stimulus, central banks may face less pressure to tighten monetary policy to curb inflation. While the next move in interest rates is likely to be a hike in most cases, such action remains premature at this stage.

Oil prices: A significant increase to be put into perspective

The rise in oil prices is the primary channel through which the damages of the conflict in Iran are transmitted to the advanced economies. The ultimate impact will depend not only on how the conflict evolves but also on the damage already inflicted.

While the spot price has not yet reached the record highs of 2008 (Chart 1), the picture changes when factoring in the crack spread – the price difference between crude oil and its refined products (specifically petrol and diesel), which includes refining margins and operational costs. Compared to past shocks, the crack spreads which occurred in 2022 and 2026 are significantly higher, pushing the total effective price closer to 2008 levels. However, this line of reasoning must be put into perspective, given that wages and price indices have risen between those two dates. The consumer price index has risen by 42% in the Eurozone. Thus, in real terms, the peak in 2026 is lower than that of 2008.

A closer look at the 2026 shock (Chart 2) reveals that most of the oil price increase affecting consumers stems from the crack spread. However, the common factor between 2022 and 2026 is supply constraints – in 2022, due to Europe's shift away from Russian oil, and, in 2026, because of reduced exports from Gulf countries. As a result, the physical oil price, which reflects immediate supply pressure, diverges from the market price, which relates to deferred delivery.

The impact of such a shock also depends on the length of time during which supply from Gulf producers is reduced, and on the ability of other producers and demand to adjust accordingly. Even if such adaptive capabilities exist, they take time to materialise. In the short term, the oil price will therefore be determined mainly by the evolution of the conflict and the associated geopolitical risk premium.

For our scenario analysis, we have adopted a baseline assumption, which corresponds to the following oil price trajectory (Chart 3). This trend in oil prices aligns with Scenario 3 below. However, several potential outcomes remain possible, as outlined in the following four alternative scenarios (also detailed in our EcoInsight of 20 March, detailed analysis here):

Scenario 1: de-escalation and immediate resolution of the conflict.

Scenario 2: swift resumption of hydrocarbon flows amid lingering instability.

Scenario 3: partial resumption of hydrocarbon flows as tensions gradually ease by the end of Q2 2026. In this scenario, oil prices are expected to decline at a slower rate in 2026 compared to the more favourable scenarios (1 and 2) and are projected to remain elevated in 2027 (between USD 10 and USD 15 higher).

Scenario 4: the continuation of severe restrictions on traffic through the Strait of Hormuz, keeping hydrocarbon prices at very high levels until Q3 2026. Following this period, a gradual decline in prices is anticipated until spring 2027, at which point they would stabilise at levels comparable to those in our intermediate Scenario No. 3.

ECONOMIC RESEARCH

BNP PARIBAS

The bank for a changing world

Including the crack spread to the spot oil price, the total nears 2008 and 2022 peaks

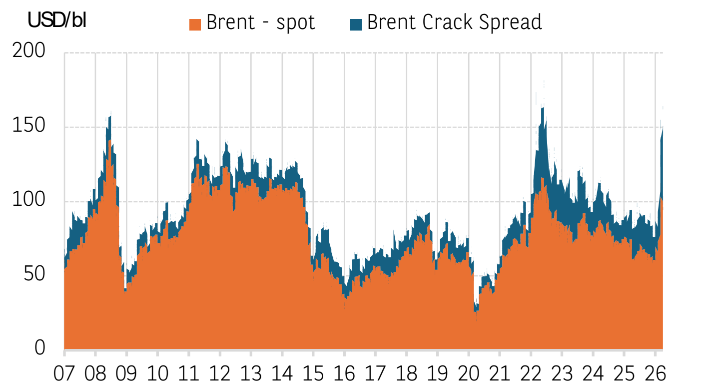


CHART 1 SOURCE: ICE, MACROBOND, BNP PARIBAS

For consumers, in 2026, the increase in oil prices is more driven by the crack spread than by the spot price

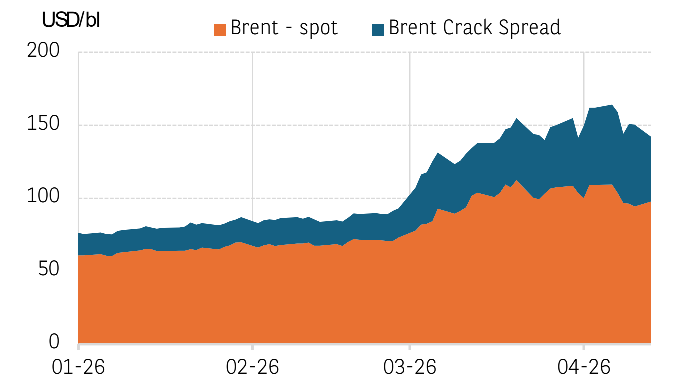


CHART 2 SOURCE: ICE, MACROBOND, BNP PARIBAS

Our central scenario for Brent prices does not foresee any easing of tensions before the end of the second quarter

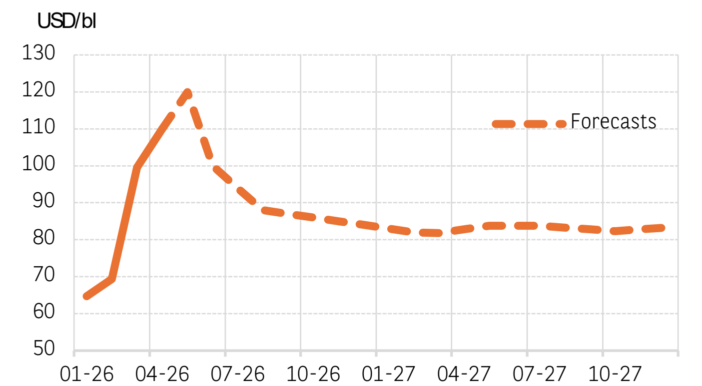
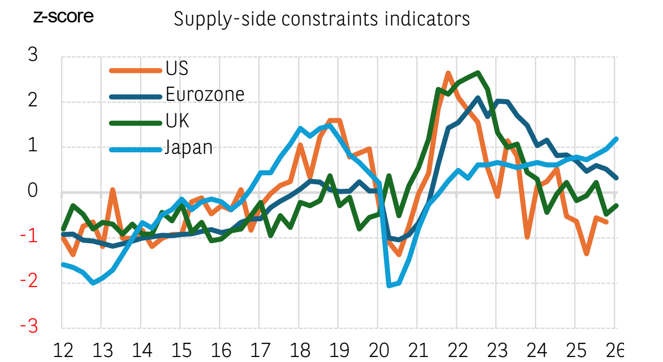


CHART 3 SOURCE: ICE, BNP PARIBAS

Supply constraints are less severe than in 2022



Note: Z-scores are calculated based on the proportion of businesses surveyed in national surveys that report supply constraints limiting their output.

CHART 4 SOURCE: NATIONAL STATISTICS, BNP PARIBAS

Traffic through the Strait of Hormuz remains severely disrupted. Furthermore, the damage inflicted on oil and gas facilities in the region increases the likelihood that hydrocarbon exports will remain disrupted for several months, even if maritime traffic resumes. Scenarios 3 and 4 both assume sustained higher oil prices even after the conflict ends. However, they differ in terms of the duration of the shock and the peak in oil prices, which are more pronounced in Scenario 4. Furthermore, as shown in Chart 1, the crack spread did not return to its pre-conflict level in 2022; a similar pattern is likely in 2026.

The impact of the shock will differ from 2022

Less supply tensions

In 2022, the rise in hydrocarbon prices was preceded by major supply tensions, with numerous shortages (of components and labour) affecting all sectors and spilling over into industrial and food prices.

The current shock caused by the war in Iran, however, arises in a less strained pre-conflict environment. According to survey data, before the outbreak of the conflict in Iran, these supply-side pressures were less severe than the peaks observed before the conflict in Ukraine, with the exception of Japan (Chart 4). In the Eurozone, however, they remained above their pre-Covid levels, a sign of the structural nature of some of these constraints (notably labour shortages).

These supply constraints could, however, intensify in the coming months, as evidenced by the rise in input price indices and delivery times in most countries. Under a more negative scenario (Scenario 4), these tensions could return to their 2022 levels, raising the risk of both a recession and a significantly more pronounced rise in inflation.

Demand is driving inflation to a much lesser extent

In 2022, demand was strong due to the post-Covid economic recovery. As shown in one of our recent analyses (see details), the current situation is quite different. In the Eurozone (and the United Kingdom), a lack of demand is the dominant factor. In the United States, while demand remains relatively robust and is fuelling inflation (accounting for nearly 1 percentage point according to the San Francisco Fed's calculations), its impact is significantly more subdued than in 2022.

This difference is crucial. When demand is weaker, businesses are less inclined to pass on cost increases to final prices, instead opting to absorb some of the pressure by adjusting their profit margins where feasible. Consequently, selling price pressures have, for the time being, remained more constrained, as shown in our recent analysis (Energy shock: 2026 vs. 2022 dashboard).

The decline in fuel consumption remained modest and took time to materialise following the 2022 energy crisis

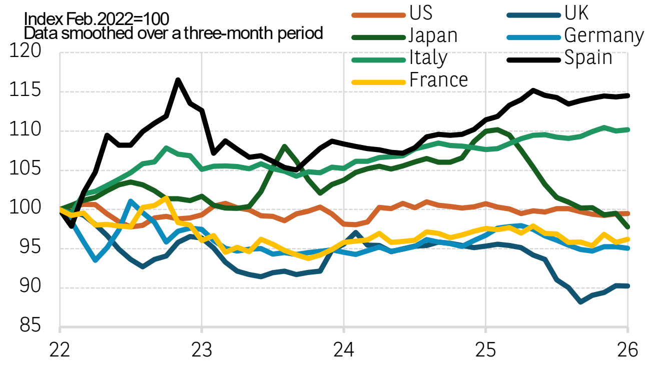


CHART 5 SOURCE: NATIONAL STATISTICS, MACROBOND, BNP PARIBAS

The threat of rising energy prices... and potential shortages?

Every crisis brings with it fears of shortages. The 2022 crisis was confined to Europe and centred on electricity, due to dependence on Russian gas and a decline in French nuclear output linked to maintenance work. This situation contributed to the sharp surge in gas prices, which peaked at nearly EUR 350 per MWh (TTF benchmark), thereby having a tangible impact even though the shortage was ultimately averted.

In 2026, the concern centres around a significant reduction in oil and gas exports from the Gulf states. Despite a partial increase in production in other regions, there was a global shortfall of nearly 13 million barrels of oil per day in March (accounting for almost 12.5% of global oil consumption). In the short term, pre-conflict shipments and strategic stock releases have helped mitigate immediate shortage risk. However, Europe remains particularly vulnerable: its refining capacity has declined in recent years, increasing its reliance on Asian countries for its refined oil (see our analysis).

Against this backdrop, the prospect of limited oil supply for several months coupled with persistently high prices is likely to result in a decrease in hydrocarbon consumption. In 2022, a decline was observed following a sharp rise in prices. However, this decline took time to materialise. For example, in France and Germany, households reduced their fuel consumption by nearly 5%, but only after almost 18 months (Chart 5). The time necessary for this decline in consumption to materialise and its relatively limited scale indicate that advanced economies are vulnerable to the risk of a shortage. Such a shortage would have a nonlinear impact on growth and inflation: it would trigger a recession, coupled with significantly higher inflation.

An impact on inflation, and therefore on consumption and growth

The shock to hydrocarbon prices has an immediate impact on inflation due to a disproportionately high pass-through of higher Brent prices to retail fuel prices (driven by the crack spread, see above). As a result, the year-on-year inflation rate accelerated by 0.6 to 1 percentage point in March (with the exception of Italy, which benefited from the positive spillover effect of the Winter Olympics). In most cases, inflation now exceeds the targets set by central banks.

For now, the 2026 shock remains confined to fuel prices. It is less widespread than in 2022, when core inflation was already rising for reasons predating the energy shock triggered by the outbreak of the war in Ukraine (Chart 6). At this stage, no uptick in core inflation is observed, and it is unlikely to materialise in the next three months at the very least (business surveys on selling prices show no signs of heightened pressure over this time period). Furthermore, wages, another key driver of inflationary spirals, have shown a decelerating trend in recent months, providing a significant mitigating factor.

However, while the inflationary mechanism does not appear to have been triggered, anticipation of it (whether justified or not) could have several effects. The first is, paradoxically, positive: households and businesses may wish to purchase goods before their prices go up, and bolster their inventories of inputs to guard against future shortages. This behaviour, which is particularly noticeable in the case of fuel, as observed in France, has, in our view, helped to underpin growth in the first quarter (see our EcoCharts of 20 April 2026).

Yet this phenomenon carries the risk of a subsequent pullback in the following quarter, which could be exacerbated if spending intentions weaken. Although this is not yet clearly evident in the March household surveys, it could materialise in the coming months.

An impact on growth, primarily through the household consumption channel

Inflationary shocks affect households, prompting them to reduce their consumption when their price expectations rise. Consequently, their perception of their financial wealth deteriorates due to the anticipation of a decline in their purchasing power. This behaviour largely explains the significant impact of an inflationary shock on growth.

Once again, 2022 offers an interesting point of comparison. Our analysis of consumption in the Eurozone and the United States shows that consumption growth slowed significantly post-Covid in the Eurozone, while it largely held up in the United States (due to the wealth effect enjoyed by American households).

Saving behaviour was disrupted by the pandemic (Chart 7). However, the household savings rate in the United States fell below its pre-Covid level. The wealthiest households were able to leverage their financial wealth to take on debt and continue spending. In the Eurozone, by contrast, households have maintained a higher savings rate. This higher level of precautionary savings accounts for the weaker performance of consumption in Europe.

The 2026 inflationary shock could again weigh on household consumption. Before the outbreak of war in Iran, spending intentions in the Eurozone had rebounded (see our analysis), raising the prospect of accelerated consumption growth. However, the current shock now threatens this outlook: our estimates suggest that a more subdued consumption growth could shave roughly a quarter of percentage point off GDP growth in 2026. In the United States, households are also vulnerable to a deterioration in their purchasing power, but two additional factors are likely to be significant: labour market conditions and wealth effect from equity markets. Regarding employment, while the unemployment rate has stabilised, the job market is no longer tight enough to drive strong wage growth, as the number of jobseekers now exceeds vacancies. The wealth effect (albeit unevenly distributed, with the less well-off not benefiting) could once again act as a buffer, provided that the robust performance of the equity markets is sustained. Overall, while U.S. household consumption growth (averaging 2.7% year-on-year between 2023 and 2025) could be affected, it is likely to prove more resilient than in other advanced economies.

Energy inflation has rebounded, but the spillover to other components is not yet visible

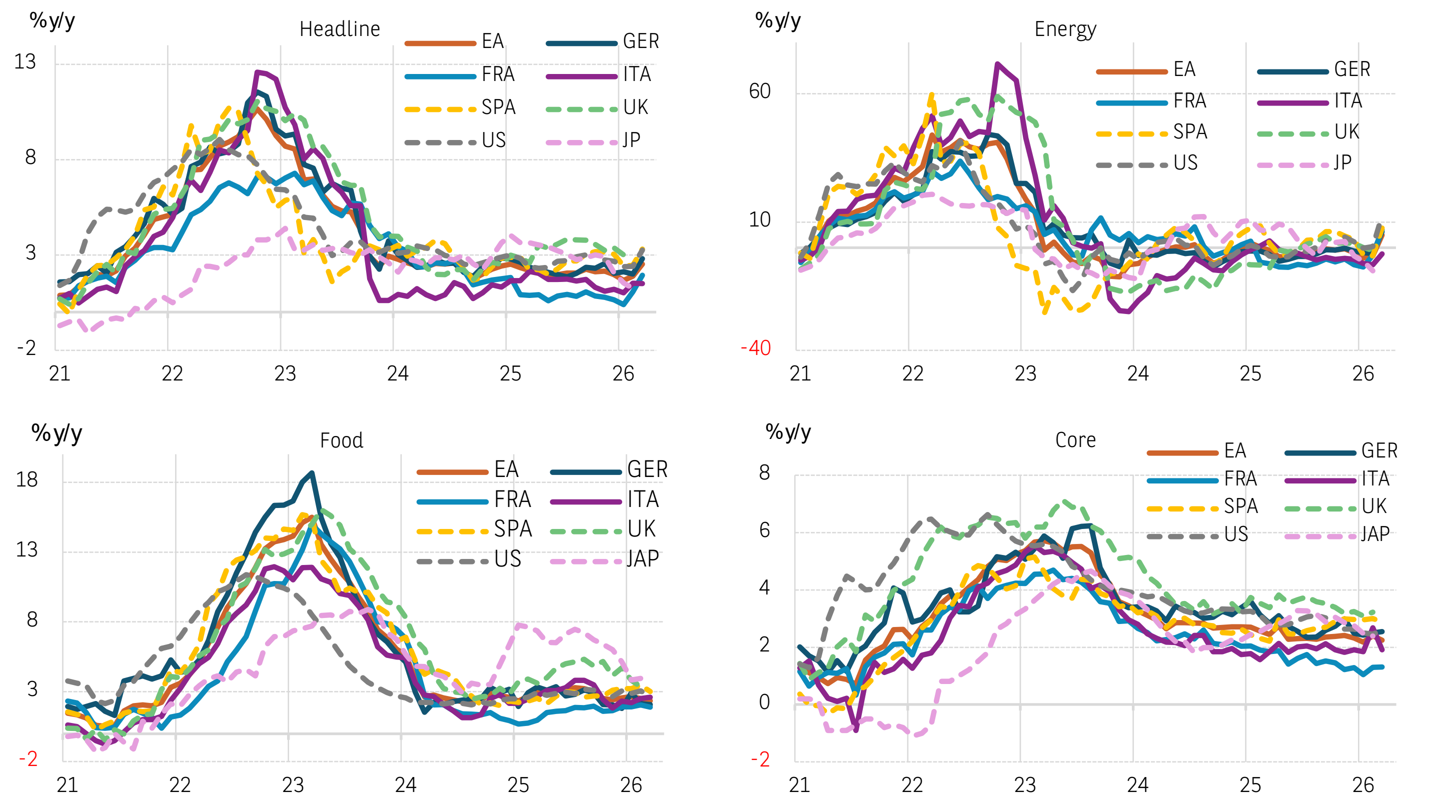


CHART 6

SOURCE: NATIONAL STATISTICS, BNP PARIBAS

The household savings rate is higher than pre-Covid levels in the Eurozone and significantly lower than that level in the United States

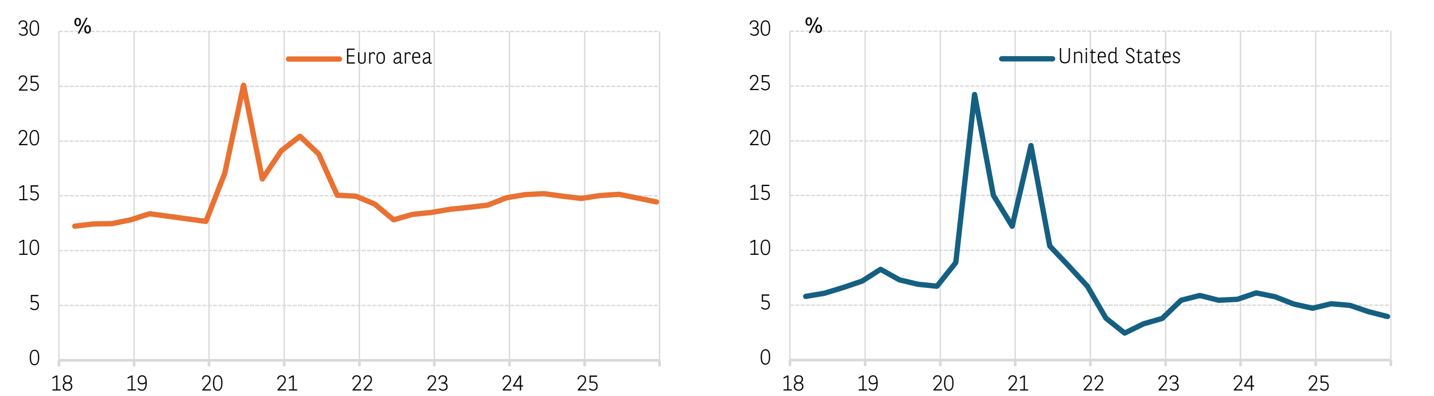


CHART 7

SOURCE: BEA, EUROSTAT, BNP PARIBAS

In Japan, the energy shock is likely to impact household consumption due to the associated loss of purchasing power, further aggravated by the weak yen. However, fiscal policy support and wage growth would help cushion this shock. Consumer confidence had reached a post-Covid high in February 2026, suggesting an acceleration in consumption growth. However, its marked decline in March has significantly diminished these expectations.

A mixed impact on economic sectors and a boost for electrification

Rising production costs are likely to weigh on businesses, particularly in sectors that are heavily dependent on energy, whether in production (primarily industry) and transport (freight, passengers, trade). Therefore, we estimate the following elasticity: a $10/barrel rise in oil prices could reduce the margins of non-financial companies by nearly 0.3 percentage points on average in the Eurozone (the effect would be comparable in France). The impact would be particularly pronounced in the retail sector (a downstream sector that is not always able to pass on cost increases to consumers), as well as in the agrifood sector (-0.7 percentage points) and the rest of industry (-0.4 percentage points). The impact would be more limited in services (excluding transport).

These elasticities should be viewed in context. Indeed, companies have the capacity to adapt and partially absorb the shock. Our country-by-country analyses suggest that wages are likely to increase at a rate lower than inflation, which would support corporate margins. Furthermore, some firms still have the capacity to pass on cost increases to their selling prices, particularly when demand is strong. However, the number of sectors in this position in 2026 is lower than in 2022, given that overall demand is less dynamic this time around: this applies to certain industrial segments, including electrical and electronic equipment, transport equipment and defense equipment. Conversely, sectors linked to consumer goods seem less capable of increasing their selling prices, as demand is more subdued than in 2022.

For industry, the issue of energy costs is not limited to transport but includes also the energy used in production (primarily electricity and gas). It is of particular concern to energy-intensive sectors (notably chemicals, metallurgy, plastics and construction). In 2022, European industry faced a significant competitive disadvantage as the prices of these two resources increased. Energy producer prices, which reflect these impacts, rose sharply at that time (Chart 8) before falling back. Regarding gas prices, the recent increase has been less pronounced compared to oil and the spike seen in 2022. Furthermore, today's lower reliance on gas for electricity generation is expected to mitigate the upside risk to energy producer prices (except in Italy, where the price of electricity remains determined by the price of gas 90% of the time). However, these risks cannot be entirely ruled out in the event of a more adverse scenario (our Scenario 4), where gas prices could rebound more sharply.

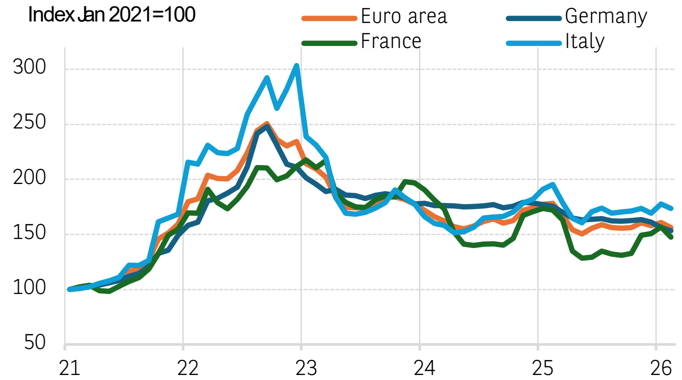
A European 'moment' in favour of electrification

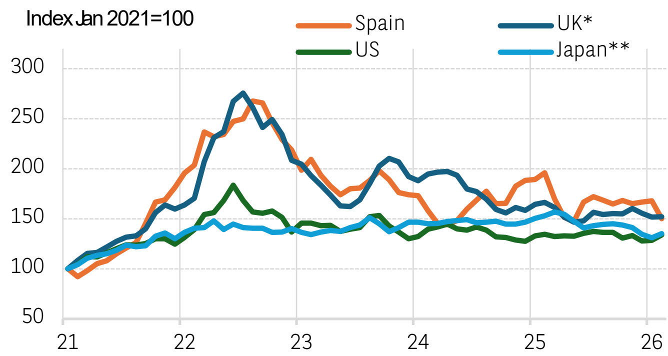
Any sharp rise in fuel prices creates a positive price signal towards the electrification of transport. This opportunity was largely missed in Europe in 2022. Initially, there was a somewhat positive impact on electric vehicle sales, but the momentum stalled. A key factor was the simultaneous rise in electricity costs, which were driven by gas prices due to the pricing system based on the cost of the last unit of energy used (the most expensive), which prevails on the European electricity market. The high price of electric vehicles, uncertainties regarding technological options, battery range, and the lack of charging infrastructure also played a part. The final blow came from the reduction of government funding for the green transition, particularly in Germany and France which was scaled back to facilitate fiscal consolidation.

As a result, the European Union faces the paradox of having some of the most decarbonised electricity in the world (renewables and nuclear power accounted for 71% of generation in 2025), while also having the lowest share of electricity in the energy mix among major economic regions, at nearly 21% in 2024 (see our analysis). This figure is obviously lower than in China, which is ahead in the electrification of its vehicle fleet and in green energy, but also lower than in the United States, despite the current administration not prioritising this issue.

Circumstances may be different today as the stars are aligning. In particular, the European Commission has introduced a strategy aimed at developing mini-nuclear reactors. Furthermore, Member States have made progress in the deployment of renewable energy – particularly in Spain, but also in Germany, which is now less dependent

Energy producer prices stabilised, following the peak in 2022





* coke and refined petroleum products ** petroleum products and coal derivatives

CHART 8

SOURCE:NATIONAL STATISTICS, BNP PARIBAS

The share of electric vehicles in European car registrations is expected to grow

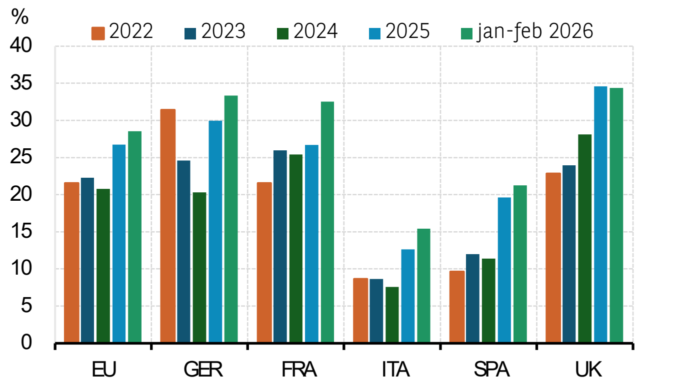


CHART 9 SOURCE: ACEA, BNP PARIBAS

on carbon-based energy for its electricity generation than in 2022. Meanwhile, France has unveiled an electrification strategy, particularly focused on supporting energy renovation of housing (including increased funding for heat pumps) and accelerated electrification of the automotive sector (which households and businesses seem increasingly ready to embrace, see Chart 9).

In this context, rising energy prices could hasten the electrification of end-use sectors and benefit several industries: electrical equipment, green energy (including wind power, of which Europe generates more domestically than solar power, in particular), the automotive sector and building renovation.

A less accommodative fiscal policy than in 2022, owing to the current high level of public debt and the rise in interest rates

The fiscal measures implemented by advanced economies' governments to address the energy shock caused by the Iran war remain, at this stage, broadly limited. Indeed, they are constrained by high levels of debt and long-term interest rates that are significantly higher than in 2022, in the context of initially more moderate inflation. However, the rise in energy prices is creating growing pressure for the introduction of public support, without triggering, at this stage, a response comparable to that seen during the 2022 shock. The latter prompted support measures of exceptional magnitude in Europe (2.2% of European GDP, according to the Commission), though these were not limited to Europe.

In Europe, a coordinated but relatively limited response

The European institutions (the Council and the Commission) are calling for coordinated, temporary and targeted measures. These measures should help contain the short-term effects of rising energy prices, while maintaining incentives for investment in the energy transition. This approach is also supported by the ECB, which is keen to limit the second-round effects of rising energy prices.

In practice, the initiatives remain essentially national and of moderate scale. Several countries are prioritising targeted fiscal or regulatory adjustments to fuel and electricity prices:

- Italy has temporarily reactivated (until 1 May) mechanisms to modify fuel excise duties and has extended certain support schemes for the most vulnerable sectors (a 20% tax credit for particularly energy-intensive agricultural businesses). The estimated cost of these measures is EUR 917 million (with the first phase having already mobilised EUR 417 million over three weeks and the second phase set to mobilise EUR 500 million) and is financed by additional VAT revenue and the sale of carbon allowances.

- The Spanish government has approved a more substantial aid package of EUR 5 billion (0.3% of GDP), combining a reduction in energy taxes (including a VAT cut on electricity from 21% to 10%) with sector-specific support measures until the end of June. Similarly to Italy, Spain plans to increase its LNG imports from Algeria.

- Portugal is maintaining the status quo by extending its fuel tax reduction measures.

- France and Germany are adopting a more cautious approach. In France, the newly introduced measures amount to around EUR 400 million (at the time of writing). These measures target the most exposed sectors (freight transport, agriculture, fishing) as well as 3 million households through fuel subsidies and loans, all within a budget-neutral strategy that avoids any blanket measures. At the same time, forthcoming measures on electrification, the details of which are yet to be finalised, form part of a broader trend combining public action with a rise in private investment in equipment that is less reliant on fossil fuels (increased purchases of electric vehicles).

- In Germany, the government has approved a EUR 1.6 billion fuel cost relief plan. This includes a two-month reduction in gasoline tax (17 cents per litre) and a tax-free employer's allowance of EUR 1,000 to be paid this year. Additional measures such as a temporary windfall tax on energy companies' profits or stricter antitrust rules to help control price rises are still under consideration. The government has also announced a strengthening of its climate strategy with a programme worth around EUR 8 billion by 2030, to accelerate decarbonisation (notably through the development of renewable energy, support for the electrification of industry, and subsidies for the purchase of electric vehicles).

Against this backdrop, several Member States (Germany, Italy, Spain, Portugal and Austria) are calling for windfall profits made by energy companies to be taxed. This initiative builds on the measures introduced in 2022 and aims to fund fiscal support measures without further deteriorating public finances.

In the UK, targeted support with minimal budget impact

Direct support is limited to a GBP 53 million fund (approximately 0.002% of GDP), for the most vulnerable households dependent on heating oil. This approach contrasts with the one implemented in 2022 in terms of scale, and is accompanied by the maintenance of the regulated energy price cap and the extension of fuel tax cuts until September 2026. At the same time, the government continues to implement structural measures to reduce households' energy dependence, notably through greater energy efficiency and electrification.

In the United States, a response focused on energy supply

The U.S. authorities have eased certain logistical constraints, notably by facilitating the domestic transport of hydrocarbons. They have also adopted a more flexible approach to sanctions against oil-producing countries, while mobilising strategic reserves. Meanwhile, targeted-price measures remain an option, such as a temporary suspension of federal gasoline taxes, which is estimated to cost around USD 21 billion over a six-month period. Taken together, this approach reflects a preference for cost-effective instruments amid persistent inflationary pressures and limited fiscal leeway.

In Japan: a more interventionist strategy

Japan stands out with a more proactive response combining the release of oil reserves (to a greater extent than in other advanced economies), subsidies aimed at stabilising prices, and potential interventions in the foreign exchange market (in the case of strong Yen volatility).

Everywhere, limited support due to much tighter fiscal space

The trajectory of public finances is likely to be affected by the macroeconomic and financial repercussions of the shock (including slowing growth, increasing inflation and rising bond yields). The scale of these effects remains highly uncertain, subject to significant risks tied to the unpredictable evolution of the conflict in Iran. Should the conflict escalate and its consequences on inflation worsen, any additional government response would need to be accompanied by consolidation measures to avoid worsening the deficit. The room for manoeuvre is thus limited.

At this stage, our estimates suggest indeed a less favourable equation than in 2022 (when the rapid rise in inflation helped lower the public debt-to-GDP ratio in all countries):

- As inflation is concentrated in the energy sector (which is imported for most countries, with the exception of the United States), nominal GDP is not expected to grow as much as it did in 2022. Back then, the rise in prices was widespread and therefore had a greater positive impact on GDP and tax revenues. In 2026, the price shock stems from imported energy, which acts as a drain on GDP (as imports are deducted from output when calculating GDP). This drain (and its impact on growth) is expected to deteriorate budget balances by approximately 0.3 to 0.5 percentage points of GDP, depending on the country. In some cases (such as France and the United Kingdom), the existence of fiscal leeway (thanks to better than expected 2025 deficits outcomes) could help absorb this impact and keep 2026 deficit targets on track. Conversely, in other cases (Italy and the United States), governments seem willing to tolerate higher deficits.

- For the past four years, all countries have been operating in an environment of elevated interest rates. While rates began to rise in 2022, their immediate impact on debt servicing was muted due to the long average maturity of public debt. Four years later, however, the effective interest rate on public debt has begun to rise, along with debt servicing, which is exerting pressure on the level of public deficits. As a result, the ability of governments to limit these deficits, and thereby stabilise their public debt ratios in the long term, is now more constrained.

Differing exposures across countries

Economies burdened with high debt and already significant deficits see their fiscal manoeuvring room particularly limited, and the impact of the shock is amplified (resulting in a more pronounced effect of rising rates and a risk premium associated with elevated debt levels). This effect is further compounded when a proportion of the debt is inflation-linked and when the average debt maturity is short.

The United States, France and Italy are starting from an already weakened position, characterised by high public debt (97.4%, 115.6% and 137.1% of GDP respectively by the end of 2025) and sizeable deficits (5.8%, 5.1% and 3.1%). This makes them more vulnerable to a rise in interest payments and a slowdown in growth.

Increased exposure of the United States, the United Kingdom, France and Italy to the shock

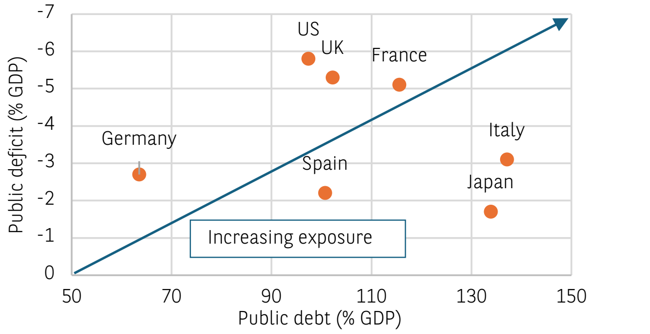


CHART 10 SOURCE: NATIONAL STATISTICS, MACROBOND, BNP PARIBAS

By contrast, Germany enjoys a more comfortable stance, with lower debt (63.5% of GDP by the end of 2025) and a contained deficit (2.7%). In terms of debt structure, the United Kingdom and Japan stand with longer average maturities (14 years and 9.5 years respectively), whereas the United States, France, Germany and Italy have shorter maturities (ranging from roughly 5 to 8 years). The United Kingdom is the most inflation-sensitive, with around 24% of its debt inflation-linked, compared to 8-13% in France, Italy and the United States, and less than 3% in Germany and Japan.

At this stage, public debt forecasts remain largely unchanged. The recent rise in interest rates on the financial markets has simply aligned them more closely with our forecasts. By contrast, the acceleration in inflation is expected to result in higher debt servicing costs (due to inflation-linked bonds) in 2026, and to a lesser extent in 2027, with an additional impact on the debt-to-GDP ratio limited to a range of 0.1 to 0.3 percentage points.

In this context, what role can monetary policy play?

Most central banks are tasked with ensuring medium-term price stability, meaning they are under no obligation to respond to inflation driven by temporary energy price spikes – especially if, as in 2018 such pressures fail to spill over into broader price growth.

Furthermore, monetary policy tends to be less effective at curbing inflation when faced with supply-side pressures compared to situations of excess demand.

- In European economies (the Eurozone and the United Kingdom), demand is considerably weaker than it was in 2022, and governments do not appear as keen to bolster it. If second-round effects were to push inflation above the targets set by the ECB or BoE (which is already the case for the latter), then central banks would still be required to respond, especially if the core component is affected. This is the likely outcome in our two most probable scenarios (Scenarios 3 and 4). Therefore, the central banks' next decision is likely to be a rate hike. However, the timing of this decision remains uncertain. In the Eurozone, inflation has so far been limited to energy prices and is not expected to extend into Q2. The BoE could be the first to act, as it had not yet managed to bring inflation back to its target when the conflict in Iran broke out.

- For the BoJ, the logic is different: the current environment only reinforces its upward bias, amidst a still gradual normalisation of its monetary policy. This normalisation could accelerate if the government were to implement its expansionary fiscal plans, which would further support demand and inflation.

- Ultimately, the greatest uncertainty lies with the Fed. The United States remains the economy where demand-driven inflation is most pronounced. However, the Fed's dual mandate – balancing price stability and maximum employment – inherently introduces two-sided risks. Our scenario assumes unchanged rates, but a sharp inflation surprise or labour market deterioration – could quickly force the Fed to abandon neutrality, as it did between September and December 2025 when employment risks intensified. Currently, the Fed is equally concerned about the risks affecting inflation as it is about those impacting employment. This ambiguity and uncertainty are far from neutral in a context where, despite a relative weakening of the dollar, the interest rates set by the world's leading central bank retain the power to drive long-term interest rates in other countries.

By the Advanced Economies Team
with the contribution of Maëlys Biot (intern)

GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

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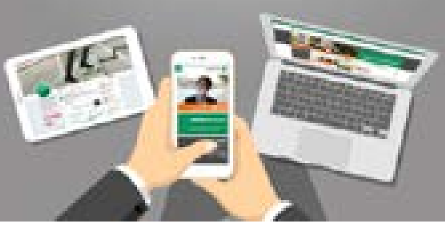

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